BANK MELLAT, HEAD OFFICE: TAHRAN-IRAN
İSTANBUL TURKEY MAIN, ANKARA
AND İZMİR BRANCHES

INDEPENDENT AUDITOR'S REPORT,
FINANCIAL STATEMENTS AND NOTES
FOR THE YEAR ENDED
31 DECEMBER 2018
(TRANSLATED INTO ENGLISH FROM THE
ORIGINAL TURKISH REPORT)
SEE NOTE I. OF SECTION THREE

INDEPENDENT AUDITOR'S REPORT

To the Board of Managers of Bank Mellat, Head Office: Tahran-Iran İstanbul Turkey Main, Ankara and İzmir Branches

A. Audit of the Unconsolidated Financial Statements

1. Opinion

We have audited the accompanying unconsolidated financial statements of Bank Mellat, Head Office: Tahran-Iran İstanbul Turkey Main, Ankara and İzmir Branches (the "Branch"), which comprise the statement of unconsolidated balance sheet as at 31 December 2018, unconsolidated income statement, unconsolidated statement of income and expense items under shareholders' equity, unconsolidated statement of changes in shareholders' equity, unconsolidated statement of cash flows for the year then ended and the notes to the unconsolidated financial statements and a summary of significant accounting policies and unconsolidated financial statement notes.

In our opinion, the unconsolidated financial statements present fairly, in all material respects, the unconsolidated financial position of the Branch as at 31 December 2017, and its unconsolidated financial performance and its unconsolidated cash flows for the year then ended in accordance with the Banking Regulation and Supervision Agency ("BRSA") Accounting and Financial Reporting Legislation which includes "Regulation on Accounting Applications for Banks and Safeguarding of Documents" published in the Official Gazette no.26333 dated 1 November 2006, and other regulations on accounting records of Banks published by Banking Regulation and Supervision Agency and circulars and interpretations published by BRSA and Turkish Accounting Standards ("TAS") for those matters not regulated by the aforementioned regulations.

2. Basis for Opinion

Our audit was conducted in accordance with the "Regulation on Independent Audit of Banks" published by the BRSA on the Official Gazette No.29314 dated 2 April 2015 and the Standards on Independent Auditing (the "SIA") that are part of Turkish Standards on Auditing issued by the Public Oversight Accounting and Auditing Standards Authority (the "POA"). Our responsibilities under these standards are further described in the "Auditor's Responsibilities for the Audit of the Unconsolidated Financial Statements" section of our report. We hereby declare that we are independent of the Branch in accordance with the Ethical Rules for Independent Auditors (the "Ethical Rules") and the ethical requirements regarding independent audit in regulations issued by POA that are relevant to our audit of the unconsolidated financial statements. We have also fulfilled our other ethical responsibilities in accordance with the Ethical Rules and regulations. We believe that the audit evidence we have obtained during the independent audit provides a sufficient and appropriate basis for our opinion.

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3. Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the unconsolidated financial statements of the current period. Key audit matters were addressed in the context of our independent audit of the unconsolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key Audit Matters	***How Our Audit Addressed the Key Audit Matter***
Going concern basis The unconsolidated financial statements have been prepared assuming that the Branch will continue as a going concern on the basis that it will be able to realize its assets and discharge its liabilities in the normal course of business. As explained in detail in Section Six Note I "Other Explanations on the Branch's Operations", on 17 October 2018 following the inclusion of some Iran-based financial and industrial institutions, including Bank Mellat into the list of secondary sanctions, some domestic banks working with the Branch has requested to terminate the business relations. As of the date of this report, the effects of this development on the Branch's operations and financial statements are explained in detail in Section Six Note I "Other Explanations on the Branch's Operations" and the management of the Branch has taken precautions with regard to current situation. Appropriateness of going concern basis used by the Branch management for the preparation of unconsolidated financial statements and as a result the assessment of the Branch's ability to continue as a going concern basis is a key adUit matter for our audit.	In relation to going concern assumptions, we inquired with the Branch management to understand their plans of the entity's ability to continue as a going concern and we obtained written representation from Branch management regarding their plans for future action and the feasibility of these plans for the next year. We evaluated management's plans, whether these plans are feasible under the circumstances. We evaluated Branch management's budget for one year after the balance sheet date and reliability of the assumptions underlying these forecasts. We performed audit procedures as of the date of this report regarding subsequent events to identify those that either mitigate or otherwise affect the enetity's ability to continue as a going concern. We evaluated the appropriateness and the adequacy of disclosures in relation to the events and conditions that may cast doubt on the Branch's ability to continue as a going concern and the plans vis a vis this situation.

4. Responsibilities of Management and Those Charged with Governance for the Unconsolidated Financial Statements

The Branch management is responsible for the preparation and fair presentation of the unconsolidated financial statements in accordance with the BRSA Accounting and Financial Reporting Legislation, and for such internal control as management determines is necessary to enable the preparation of unconsolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the unconsolidated financial statements, management is responsible for assessing the Branch's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Branch or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Branch's financial reporting process.

5. Auditor's Responsibilities for the Audit of the Unconsolidated Financial Statements

Responsibilities of independent auditors in an independent audit are as follows:

Our aim is to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an independent auditor's report that includes our opinion. Reasonable assurance expressed as a result of an independent audit conducted in accordance with "Regulation on Independent Audit of Banks" published by the BRSA on the Official Gazette No.29314 dated 2 April 2015 and SIA is a high level of assurance but does not guarantee that a material misstatement will always be detected. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these unconsolidated financial statements.

As part of an independent audit conducted in accordance with "Regulation on Independent Audit of Banks" published by the BRSA on the Official Gazette No.29314 dated 2 April 2015 and SIA, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement in the unconsolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Assess the internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Branch's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Branch ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the unconsolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our independent auditor's report. However, future events or conditions may cause the Branch to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the unconsolidated financial statements, including the disclosures, and whether the unconsolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence. We also communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

B. Other Responsibilities Arising From Regulatory Requirements

1. No matter has come to our attention that is significant according to subparagraph 4 of Article 402 of Turkish Commercial Code ("TCC") No. 6102 and that causes us to believe that the Branch's bookkeeping activities concerning the period from 1 January to 31 December 2018 period are not in compliance with the TCC and provisions of the Branch's articles of association related to financial reporting.

2. In accordance with subparagraph 4 of Article 402 of the TCC, the Board of Managers submitted the necessary explanations to us and provided the documents required within the context of our audit.

Additional Paragraph for Convenience Translation

The effects of differences between accounting principles and standards explained in detail in Section Three and accounting principles generally accepted in countries in which the accompanying unconsolidated financial statements are to be distributed and International Financial Reporting Standards ("IFRS") have not been quantified in the accompanying unconsolidated financial statements. Accordingly, the accompanying unconsolidated financial statements are not intended to present the financial position, results of operations and changes in financial position and cash flows in accordance with the accounting principles generally accepted in such countries and IFRS.

PwC Bağımsız Denetim ve
Serbest Muhasebeci Mali Müşavirlik A.Ş.

Talar Gül, SMMM
Partner

Istanbul, 10 April 2019

bank mellat
TÜRKİYE

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THE UNCONSOLIDATED FINANCIAL REPORT OF BANK MELLAT, HEAD OFFICE: TAHRAN-İRAN İSTANBUL TURKEY MAIN, ANKARA AND İZMİR BRANCHES AS OF 31 DECEMBER 2018

Headquarter's Address	: Taleghani Avenue. No: 276 Tahran – İran
Turkey Main Branch Address	: Büyükdere Cd. Binbirçiçek Sk. No.1 34330 1.Levent-İstanbul/Türkiye
Telephone	: (0212) 279 80 15
Fax	: (0212) 284 62 14
Website	: www.mellatbank.com
E-mail address	: mellat@mellatbank.com

The year end unconsolidated financial report designed by the Banking Regulation and Supervision Agency in line with Communiqué on Financial Statements to be Publicly Announced and the Related Policies and Disclosures consists of the sections listed below:

- GENERAL INFORMATION ABOUT THE BRANCH AND HEAD OF BRANCH
- UNCONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH
- CONSOLIDATED FINANCIAL STATEMENTS OF HEAD OF BRANCH
- EXPLANATIONS ON THE CORRESPONDING ACCOUNTING POLICIES APPLIED IN THE RELATED PERIOD
- INFORMATION ON FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH
- EXPLANATORY DISCLOSURES AND FOOTNOTES ON UNCONSOLIDATED FINANCIAL STATEMENTS
- OTHER EXPLANATIONS
- INDEPENDENT AUDITOR'S REPORT

The unconsolidated financial statements and the explanatory footnotes and disclosures, unless otherwise indicated, are prepared in **thousands of Turkish Lira**, in accordance with the Communique on Banks' Accounting Practice and Maintaining Documents, Turkish Accounting Standards, Turkish Financial Reporting Standards, related communiqués and the Banks' records, have been independently audited and presented as attached.

Hamid Tajikbaghkhavas
Chairman of the Board of Managers

Aziz Akhondi Asl
Member of the Board of Managers

MohammadHossein Abbasi
General Manager and Member of the Board of Managers

Ahmad Jamehdor
Deputy General Manager and Member of the Board of Managers

Erol Asma
Member of the Board of Manager and Internal Systems Executive

Information related to responsible personnel for the questions can be raised about financial statements:

Name-Surname / Title	: Yener Bozkurt / Accounting Department Second Manager
Phone No	: (0212) 279 80 15
Fax No	: (0212) 284 62 14

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Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

SECTION ONE

GENERAL INFORMATION

I. HISTORY OF THE BRANCH, INCLUDING ITS ESTABLISHMENT DATE, INITIAL LEGAL STATUS AND AMENDMENTS TO LEGAL STATUS, IF ANY:

Bank Mellat, Head Office: Tahran-Iran Istanbul Turkey Main, Ankara and Izmir Branches ("the Branch"), which is based in Tahran, Iran, established its branches in Istanbul, Ankara and Izmir on 18 August 1981, 23 February 1984 and 16 January 1992, respectively. The branches are registered under the scope of Foreign Capital Encouragement Law No. 6224, which permits the transfer of distributable profits to the Headquarter. The branches started operations after getting the approval from the Treasury Undersecretariat in April 1982, May 1985 and October 1992, respectively.

II. EXPLANATION ABOUT THE BRANCH'S SHAREHOLDING STRUCTURE, SHAREHOLDERS WHO INDIVIDUALLY OR JOINTLY HAVE POWER TO CONTROL THE MANAGEMENT AND AUDIT DIRECTLY OR INDIRECTLY, CHANGES REGARDING THESE SUBJECTS DURING THE YEAR, IF ANY, AND INFORMATION ABOUT THE CONTROLLING GROUP OF THE BRANCH:

The shareholding structure of the main shareholder of the Branch – Bank Mellat Tahran, Iran, is as follows:

Shareholders	31 December 2018 Share Percentage (%) (*)	31 December 2017 Share Percentage (%) (**)
Justice share recipients (provincial investors)	30,00	30,00
Islamic Republic of Iran	17,00	17,00
Saba Tamin Investment Co	6,70	4,22
Bank Mellat's Staff Future Security Fund	6,45	6,45
Social Security Organisation of Iran	3,81	3,81
Social Security Organisation of Iran	3,15	3,77
Other Shares Quoted on Stock Exchange	32,89	34,75
Total	**100,00**	**100,00**

(*) Shareholding structure as of 31 December 2018, announced by the Bank Mellat General Directorate of Financial Affairs, Stock Exchange and Shareholders of Iran.
(**) Shareholding structure as of 31 December 2017, announced by the Bank Mellat General Directorate of Financial Affairs, Stock Exchange and Shareholders of Iran

III. EXPLANATION ABOUT THE BRANCH'S CHAIRMAN AND MEMBERS OF THE BOARD OF MANAGERS, MEMBERS OF THE AUDIT COMMITTEE, PRESIDENT AND EXECUTIVE VICE PRESIDENTS, ANY CHANGES, AND THE INFORMATION ABOUT THE BRANCH SHARES THEY HOLD

Title	Name	Responsibility	Education
Chairman of the Board of Managers (*):	Hamid Tajikbaghkhavas	Chairman	Postgraduate
Members of the Board of Managers:	Aziz Akhondi Asl	Member	Under Graduate
	Mohammadhossein Abbasi	General Manager	Under Graduate
	Ahmad Jamehdor	Member	Under Graduate
	Erol Asma	Member Responsible For Internal Systems	Under Graduate
Assistant General Manager / Vice General Managers:	Ahmad Jamehdor	Financial Controlling, Treasury, Accounting, Human Resources, Information Systems, Administrative and Operations Assistant Responsible General Manager	Under Graduate
	Nader Motedaien(**)	Assistant General Manager Responsible for Current Accounts	Under Graduate
	Mostafa Sharafi	Assistant General Manager for Loans and Foreign Transactions	Under Graduate

(*) Per the Board of Managers Decision no.28 dated 6 August 2018, Hamid Tajikbaghkhavas has been appointed as Chairman of the Board of Managers. Per the same Borard of Managers Decision no, the former Chairman of the Board of Managers Aziz Akhondi Asl will continue with the responsibility of member of the Board of Managers.
(**) Nader Motedaien has resigned from his role as of 31 October 2018.

The individuals mentioned above do not possess any share of the Bank.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

GENERAL INFORMATION (Countinued)

IV. INFORMATION ON SHAREHOLDERS HAVING QUALIFIED SHARES

Explanations of shareholders and entities that have share in the capital of Bank Mellat Tahran Iran, which has all of the capital of the company;

	31 December 2018			
Name/Commercial Title	**Share amounts**	**Share percentage**	**Paid-in capital**	**Unpaid portion**
Justice share recipients (provincial investors)	60.000	%30,00	60.000	-
Islamic Republic of Iran	34.000	%17,00	34.000	-
Name/Commercial Title	**31 December2017**			
Justice share recipients (provincial investors)	**Share amounts**	**Share percentage**	**Paid in capital**	**Unpaid portion**
Islamic Republic of Iran	60.000	%30,00	60.000	-
Name/Commercial Title	34.000	%17,00	34.000	-

V. BRIEF INFORMATION ON THE BRANCH'S SERVICES AND AREAS OF OPERATION:

The Branch operates in banking services and its core business activity is financing the commercial activities between The Republic of Turkey and Islamic Republic of Iran.

On 17 October 2018, it was announced by Foreign Assets Control Office ("OFAC"), operating under US Treasury Department, that some Iran-based financial and industrial institutions, including Bank Mellat, the main shareholder of the Branch, were included in the list of secondary sanctions. In addition, after the US announced sanctions, SWIFT, headquartered in Belgium, announced that some Iranian banks on the sanctions list would be suspended for access to the system. Access of the Branch to SWIFT has been cancelled.

Following the transfer of the Branch to the secondary sanctions list, the effects on the Branch's operations are summarized in detail in Section Six Note I Other Explanations on the Branch's Operations.

As of 31 December 2018, the Branch has 51 employees (31 December 2017: 50 employees).

VI. DIFFERENCES BETWEEN THE COMMUNIQUE ON PREPARATION OF FINANCIAL STATEMENTS OF BANKS AND TURKISH ACCOUNTING STANDARDS AND SHORT EXPLANATION ABOUT THE ENTITIES SUBJECT TO FULL CONSOLIDATION OR PROPORTIONAL CONSOLIDATION AND ENTITIES WHICH ARE DEDUCTED FROM EQUITY OR ENTITIES WHICH ARE NOT INCLUDED IN THESE THREE METHODS

The Branch does not have investments in subsidiaries and associates subject to consolidation.

VII. CURRENT OR LIKELY, ACTUAL OR LEGAL BARRIERS TO IMMEDIATE TRANSFER OF EQUITY OR REPAYMENT OF DEBTS BETWEEN BRANCH AND ITS SUBSIDIARIES

None.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

SECTION TWO
UNCONSOLIDATED FINANCIAL STATEMENTS

I. BALANCE SHEET (STATEMENT OF FINANCIAL POSITION)

			Audited		
			Current Period		
	ASSETS	Notes (Section Five)	31 December 2018		
			TL	FC	Total
I.	**FINANCIAL ASSETS (NeT)**		**567.512**	**406.099**	**973.611**
1.1	**Cash and Cash Equivalents**		**321.973**	**406.099**	**728.072**
1.1.1	Cash and Balances with Central Bank	(I-a)	210.782	192.164	402.946
1.1.2	Banks	(I-c)	111.191	213.935	325.126
1.1.3	Money Markets		-	-	-
1.2	**Financial Assets at Fair Value Through Profit or Loss**	**(I-b)**	**492**	**-**	**492**
1.2.1	Government Debt Securities		-	-	-
1.2.2	Equity Instruments		492	-	492
1.2.3	Other Financial Assets		-	-	-
1.3	**Financial Assets at Fair Value Through Other Comprehensive Income**	**(I-d)**	**245.047**	**-**	**245.047**
1.3.1	Government Debt Securities		170.493	-	170.493
1.3.2	Equity Instruments		-	-	-
1.3.3	Other Financial Assets		74.554	-	74.554
1.4	**Financial Assets measured at Amortised Cost**	**(I-f)**	**-**	**-**	**-**
1.4.1	Government Debt Securities		-	-	-
1.4.2	Other Financial Assets		-	-	-
1.5	**Derivative Financial Assets**		**-**	**-**	**-**
1.5.1	Derivative Financial Assets at Fair Value Through Profit or Loss		-	-	-
1.5.2	Derivative Financial Assets at Fair Value Through Other Comprehensive Income	(I-k)	-	-	-
II.	**LOANS (Net)**	**(I-e)**	**5.931**	**-**	**5.931**
2.1	**Loans**		**1.059**	**-**	**1.059**
2.1.1	Loans Measured at Amortised Cost		1.059	-	**1.059**
2.1.2	Loans at Fair Value Through Profit or Loss		-	-	-
2.1.3	Loans at Fair Value Through Other Comprehensive Income		-	-	-
2.2	**Lease Receivables**	**(I-j)**	**-**	**-**	**-**
2.2.1	Financial Lease Receivables		-	-	-
2.2.2	Operating Lease Receivables		-	-	-
2.2.3	Unearned Income (-)		-	-	-
2.3	**Factoring Receivables**		**-**	**-**	**-**
2.3.1	Measured at Amortised Cost		-	-	-
2.3.2	Fair Value Through Profit or Loss		-	-	-
2.3.3	Fair Value Through Other Comprehensive Income		-	-	-
2.4	**Non-Performing Loans**		**8.449**	**-**	**8.449**
2.5	**Specific Provisions (-)**		**(3.577)**	**-**	**(3.577)**
III.	**NON-CURRENT ASSETS OR DISPOSAL GROUPS "HELD FOR SALE"AND "HELD FROM DISCONTINUED OPERATIONS" (Net)**	**(I-p)**	**-**	**-**	**-**
3.1	Held for Sale Purposes		-	-	-
3.2	Related to Discontinued Operations		-	-	-
IV.	**EQUITY INVESTMENTS**		**-**	**-**	**-**
4.1	**Investments in Associates (Net)**	**(I-g)**	**-**	**-**	**-**
4.1.1	Associates Valued Based on Equity Method		-	-	-
4.1.2	Unconsolidated Associates		-	-	-
4.2	**Investment in Subsidiaries (Net)**	**(I-h)**	**-**	**-**	**-**
4.2.1	Unconsolidated Financial Subsidiaries		-	-	-
4.2.2	Unconsolidated Non-Financial Subsidiaries		-	-	-
4.3	**Jointly Controlled Partnerships (Joint Ventures) (Net)**	**(I-i)**	**-**	**-**	**-**
4.3.1	Joint Ventures Valued Based on Equity Method		-	-	-
4.3.2	Unconsolidated Joint Ventures		-	-	-
V.	**PROPERTY AND EQUIPMENT (Net)**	**(I-l)**	**8.506**	**-**	**8.506**
VI.	**INTANGIBLE ASSETS (Net)**	**(I-m)**	**352**	**-**	**352**
6.1	Goodwill		-	-	-
6.2	Other		352	-	352
VII.	**INVESTMENT PROPERTY (Net)**	**(I-n)**	**-**	**-**	**-**
VIII.	**CURRENT TAX ASSET**		**-**	**-**	**-**
IX.	**DEFERRED TAX ASSET**	**(I-o)**	**854**	**-**	**854**
X.	**OTHER ASSETS**	**(I-r)**	**2.388**	**105**	**2.493**
	TOTAL ASSETS		**585.543**	**406.204**	**991.747**

Note: The prior period financial statements and related disclosures are not restated as permitted by TFRS 9 transition rules. Since, 2017 and 2018 financial statements are prepared on different principles, 2017 financial statements are presented separately.

The accompanying explanations and notes form an integral part of these financial statements.

BANK MELLAT, HEAD OFFICE: TAHRAN-IRAN İSTANBUL TURKEY MAIN, ANKARA AND İZMİR BRANCHES

UNCONSOLIDATED BALANCE SHEET AS OF 31 DECEMBER 2017 (STATEMENT OF FINANCIAL POSITION)

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL")

I. BALANCE SHEET (STATEMENT OF FINANCIAL POSITION)

	ASSETS	Note (Section Five)	Audited Prior Period 31 December 2017		
			TL	FC	Total
I.	**CASH AND BALANCES WITH CENTRAL BANK**	**(I-a)**	**23.042**	**110.366**	**133.408**
II.	**FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS (Net)**	**(I-b)**	-	-	-
2.1	Trading Financial Assets		-	-	-
2.1.1	Public Debt Securities		-	-	-
2.1.2	Share Certificates		-	-	-
2.1.3	Trading Derivative Financial Assets		-	-	-
2.1.4	Other Marketable Securities		-	-	-
2.2	Financial Assets Designated at Fair Value through Profit or Loss		-	-	-
2.2.1	Public Debt Securities		-	-	-
2.2.2	Share Certificates		-	-	-
2.2.3	Loans		-	-	-
2.2.4	Other Marketable Securities		-	-	-
III.	**BANKS**	**(I-c)**	**97.167**	**386.348**	**483.515**
IV.	**MONEY MARKETS**		-	-	-
4.1	Interbank Money Market Placements		-	-	-
4.2	Receivables from Istanbul Stock Exchange Money Market		-	-	-
4.3	Receivables from Reverse Repurchase Agreements		-	-	-
V.	**AVAILABLE-FOR-SALE FINANCIAL ASSETS (Net)**	**(I-d)**	**376.764**	-	**376.764**
5.1	Share Certificates		755	-	755
5.2	Public Debt Securities		100.228	-	100.228
5.3	Other Marketable Securities		275.781	-	275.781
VI.	**LOANS AND RECEIVABLES**	**(I-e)**	**6.466**	**1.486**	**7.952**
6.1	Loans and Receivables		1.333	1.486	2.819
6.1.1	Bank's Risk Group		182	1.486	1.668
6.1.2	Public Debt Securities		-	-	-
6.1.3	Other		1.151	-	1.151
6.2	Non-Performing Loans		8.305	-	8.305
6.3	Specific Provisions (-)		(3.172)	-	(3.172)
VII.	**FACTORING RECEIVABLES**		-	-	-
VIII.	**HELD-TO-MATURITY SECURITIES (Net)**	**(I-f)**	-	-	-
8.1	Public Debt Securities		-	-	-
8.2	Other Marketable Securities		-	-	-
IX.	**INVESTMENTS IN ASSOCIATES (Net)**	**(I-g)**	-	-	-
9.1	Associates Consolidated Based on Equity Method		-	-	-
9.2	Unconsolidated		-	-	-
9.2.1	Financial Investments in Associates		-	-	-
9.2.2	Non-Financial Investments in Associates		-	-	-
X.	**SUBSIDIARIES (Net)**	**(I-h)**	-	-	-
10.1	Unconsolidated Financial Subsidiaries		-	-	-
10.2	Unconsolidated Non-financial Subsidiaries		-	-	-
XI.	**JOINT VENTURES (Net)**	**(I-i)**	-	-	-
11.1	Accounted Based on Equity Method		-	-	-
11.2	Unconsolidated		-	-	-
11.2.1	Financial Joint Ventures		-	-	-
11.2.2	Non-Financial Joint Ventures		-	-	-
XII.	**FINANCIAL LEASE RECEIVABLES (Net)**	**(I-j)**	-	-	-
12.1	Financial Lease Receivables		-	-	-
12.2	Operating Lease Receivables		-	-	-
12.3	Other		-	-	-
12.4	Unearned Income (-)		-	-	-
XIII.	**HEDGING DERIVATIVE FINANCIAL ASSETS**	**(I-k)**	-	-	-
13.1	Fair Value Hedge		-	-	-
13.2	Cash Flow Hedge		-	-	-
13.3	Foreign Net Investment Hedge		-	-	-
XIV.	**TANGIBLE ASSETS (Net)**	**(I-l)**	**8.930**	-	**8.930**
XV.	**INTANGIBLE ASSETS (Net)**	**(I-m)**	**452**	-	**452**
15.1	Goodwill		-	-	-
15.2	Other		452	-	452
XVI.	**INVESTMENT PROPERTY (Net)**	**(I-n)**	-	-	-
XVII.	**TAX ASSET**		**662**	-	**662**
17.1	Current Tax Asset		-	-	-
17.2	Deferred Tax Asset	(I-o)	662	-	662
XVIII.	**ASSETS HELD FOR RESALE AND RELATED TO DISCONTINUED OPERATIONS (Net)**	**(I-p)**	-	-	-
18.1	Held for Sale Purposes		-	-	-
18.2	Related to Discontinued Operations		-	-	-
XIX.	**OTHER ASSETS**	**(I-r)**	**654**	**301**	**955**
	TOTAL ASSETS		**514.137**	**498.501**	**1.012.638**

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The accompanying explanations and notes form an integral part of these financial statements.

BANK MELLAT, HEAD OFFICE: TAHRAN-IRAN İSTANBUL TURKEY MAIN, ANKARA AND İZMİR BRANCHES

UNCONSOLIDATED BALANCE SHEET AS OF 31 DECEMBER 2018 (STATEMENT OF FINANCIAL POSITION)

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

I. BALANCE SHEET (STATEMENT OF FINANCIAL POSITION)

			Audited		
			Current Period		
		Notes	31 December 2018		
	LIABILITIES	**(Section Five)**	**TL**	**FC**	**Total**
I.	**DEPOSITS**	**(II-a)**	**223.914**	**324.938**	**548.852**
II.	**FUNDS BORROWED**	**(II-c)**	-	-	-
III.	**MONEY MARKETS**		-	-	-
IV.	**SECURITIES ISSUED (Net)**		-	-	-
4.1	Bills		-	-	-
4.2	Asset Backed Securities		-	-	-
4.3	Bonds		-	-	-
V.	**FUNDS**		-	-	-
5.1	Borrower Funds		-	-	-
5.2	Other		-	-	-
VI.	**FINANCIAL LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS**		-	-	-
VII.	**DERIVATIVE FINANCIAL LIABILITIES**	**(II-b)**	-	-	-
7.1	Derivative Financial Liabilities at Fair Value Through Profit or Loss		-	-	-
7.2	Derivative Financial Liabilities at Fair Value Through Other Comprehensive Income	(II-f)	-	-	-
VIII.	**FACTORING LIABILITES**		-	-	-
IX.	**LEASE LIABILITIES**	**(II-e)**	-	-	-
9.1	Financial Lease Payables		-	-	-
9.2	Operational Lease Payables		-	-	-
9.3	Other		-	-	-
9.4	Deferred Leasing Expenses (-)		-	-	-
X.	**PROVISIONS**	**(II-g)**	**3.943**	**2.726**	**6.669**
10.1	General Loan Loss Provision		573	2.501	3.074
10.2	Provision for Restructing		-	-	-
10.3	Reserves for Employee Benefits		3.314	-	3.314
10.4	Insurance Technical Reserves (Net)		-	-	-
10.5	Other Provisions		56	225	281
XI.	**CURRENT TAX LIABILITY**	**(II-h)**	**7.611**	-	**7.611**
XII.	**DEFERRED TAX LIABILITY**	**(II-h)**	-	-	-
XIII.	**LIABILITIES RELATED TO NON-CURRENT ASSETS "HELD FOR SALE" AND "HELD FROM DISCOUNTINUED OPERATIONS"(Net)**	**(II-i)**	-	-	-
13.1	Held for Sale Purpose		-	-	-
13.2	Related to Discontinued Operations		-	-	-
XIV.	**SUBORDINATED DEBT**	**(II-j)**	-	-	-
14.1	Loans		-	-	-
14.2	Other Debt Instruments		-	-	-
XV.	**OTHER LIABILITIES**	**(II-d)**	**2.941**	**3.418**	**6.359**
XVI.	**SHAREHOLDERS' EQUITY**	**(II-k)**	**422.256**	-	**422.256**
16.1	Paid-in capital		200.000	-	200.000
16.2	Capital Reserves		-	-	-
16.2.1	Share Premium		-	-	-
16.2.2	Share Cancellation Profits		-	-	-
16.2.3	Other Capital Reserves		-	-	-
16.3	Accumulated Other Comprehensive Income or Loss Not Reclassified Through Profit or Loss		(173)	-	(173)
16.4	Accumulated Other Comprehensive Income or Loss Reclassified Through Profit or Loss		(1.805)	-	(1.805)
16.5	Profit Reserves		662	-	662
16.5.1	Legal Reserves		-	-	-
16.5.2	Status Reserves		-	-	-
16.5.3	Extraordinary Reserves		662	-	662
16.5.4	Other Profit Reserves		-	-	-
16.6	Profit or (Loss)		223.572	-	223.572
16.6.1	Prior Years' Income or (Loss)		92.621	-	92.621
16.6.2	Current Year Income or (Loss)		130.951	-	130.951
	TOTAL LIABILITIES		**660.665**	**331.082**	**991.747**

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The accompanying explanations and notes form an integral part of these financial statements.

UNCONSOLIDATED BALANCE SHEET AS OF 31 DECEMBER 2017 (STATEMENT OF FINANCIAL POSITION)

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

I. BALANCE SHEET (STATEMENT OF FINANCIAL POSITION)

	LIABILITIES	Notes (Section Five)	Audited Prior Period 31 December 2017		
			TL	FC	Total
I.	**DEPOSITS**	**(II-a)**	**252.014**	**456.231**	**708.245**
1.1	Deposits of Bank's Risk Group		239.568	175.927	415.495
1.2	Other		12.446	280.304	292.750
II.	**TRADING DERIVATIVE FINANCIAL LIABILITIES**	**(II-b)**	-	-	-
III.	**FUNDS BORROWED**	**(II-c)**	-	-	-
IV.	**MONEY MARKETS**		-	-	-
4.1	Funds from Interbank Money Market		-	-	-
4.2	Funds from Istanbul Stock Exchange Money Market		-	-	-
4.3	Funds Provided Under Repurchase Agreements		-	-	-
V.	**MARKETABLE SECURITIES ISSUED (Net)**		-	-	-
5.1	Bills		-	-	-
5.2	Asset Backed Securities		-	-	-
5.3	Bonds		-	-	-
VI.	**FUNDS**		-	-	-
6.1	Borrower Funds		-	-	-
6.2	Other		-	-	-
VII.	**SUNDRY CREDITORS**		**547**	**103**	**650**
VIII.	**OTHER LIABILITIES**	**(II-d)**	**2.204**	**313**	**2.517**
IX.	**FACTORING PAYABLES**		-	-	-
X.	**FINANCIAL LEASE PAYABLES (Net)**	**(II-e)**	-	-	-
10.1	Financial Lease Payables		-	-	-
10.2	Operational Lease Payables		-	-	-
10.3	Other		-	-	-
10.4	Deferred Financial Lease Expenses (-)		-	-	-
XI.	**HEDGING DERIVATIVE FINANCIAL LIABILITIES**	**(II-f)**	-	-	-
11.1	Fair Value Hedge		-	-	-
11.2	Cash Flow Hedge		-	-	-
11.3	Foreign Net Investment Hedge		-	-	-
XII.	**PROVISIONS**	**(II-g)**	**3.461**	**1.391**	**4.852**
12.1	General Loan Loss Provision		868	1.291	2.159
12.2	Restructuring Provisions		-	-	-
12.3	Reserve for Employee Rights		2.537	-	2.537
12.4	Insurance Technical Provisions (Net)		-	-	-
12.5	Other Provisions		56	100	156
XIII.	**TAX LIABILITY**	**(II-h)**	**3.999**	**-**	**3.999**
13.1	Current Tax Liability		3.999	-	3.999
13.2	Deferred Tax Liability		-	-	-
XIV.	**PAYABLES RELATED TO ASSETS HELD FOR SALE AND DISCONTINUED OPERATIONS (Net)**	**(II-i)**	-	-	-
14.1	Held for Sale		-	-	-
14.2	Discontinued Operations		-	-	-
XV.	**SUBORDINATED LOANS**	**(II-j)**	-	-	-
XVI.	**SHAREHOLDERS' EQUITY**	**(II-k)**	**292.375**	**-**	**292.375**
16.1	Paid-in capital		200.000	-	200.000
16.2	Capital Reserves		(908)	-	(908)
16.2.1	Share Premium		-	-	-
16.2.2	Share Cancellation Profits		-	-	-
16.2.3	Marketable Securities Valuation Differences	(II-l)	(602)	-	(602)
16.2.4	Tangible Assets Revaluation Differences		-	-	-
16.2.5	Intangible Assets Revaluation Differences		-	-	-
16.2.6	Revaluation differences of investment property		-	-	-
16.2.7	Bonus Shares from Investments in Associates, Subsidiaries and Joint Ventures (Business Partners)		-	-	-
16.2.8	Hedging Funds (Effective Portion)		-	-	-
16.2.9	Accumulated valuation differences from assets held for sale and from discontinued operations		-	-	-
16.2.10	Other Capital Reserves		(306)	-	(306)
16.3	Profit Reserves		698	-	698
16.3.1	Legal Reserves		-	-	-
16.3.2	Status Reserves		-	-	-
16.3.3	Extraordinary Reserves		698	-	698
16.3.4	Other Profit Reserves		-	-	-
16.4	Profit or (Loss)		92.585	-	92.585
16.4.1	Prior Years' Income or (Loss)		39.696	-	39.696
16.4.2	Current Year Income or (Loss)		52.889	-	52.889
	TOTAL LIABILITIES		**554.600**	**458.038**	**1.012.638**

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Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

II. OFF-BALANCE SHEET COMMITMENTS

			Audited Current Period 31 December 2018		
			TL	FC	Total
A. OFF-BALANCE SHEET COMMITMENTS (I+II+III)			**404**	**761**	**1.165**
I.	**GUARANTEES AND WARRANTIES**	**(III-a-2,3)**	**385**	**761**	**1.146**
1.1.	Letters of Guarantee		385	198	583
1.1.1.	Guarantees Subject to State Tender Law		-	-	-
1.1.2.	Guarantees Given for Foreign Trade Operations		-	-	-
1.1.3.	Other Letters of Guarantee		385	198	583
1.2.	Bank Acceptances		-	-	-
1.2.1.	Import Letter of Acceptance		-	-	-
1.2.2.	Other Bank Acceptances		-	-	-
1.3.	Letters of Credit		-	563	563
1.3.1.	Documentary Letters of Credit		-	563	563
1.3.2.	Other Letters of Credit		-	-	-
1.4.	Prefinancing Given as Guarantee		-	-	-
1.5.	Endorsements		-	-	-
1.5.1.	Endorsements to the Central Bank of the Republic of Turkey		-	-	-
1.5.2.	Other Endorsements		-	-	-
1.6.	Securities Issue Purchase Guarantees		-	-	-
1.7.	Factoring Guarantees		-	-	-
1.8.	Other Guarantees		-	-	-
1.9.	Other Collaterals		-	-	-
II.	**COMMITMENTS**	**(III-a-1)**	**19**	**-**	**19**
2.1.	Irrevocable Commitments		19	-	19
2.1.1.	Forward Asset Purchase Commitments		-	-	-
2.1.2.	Forward Deposit Purchase and Sales Commitments		-	-	-
2.1.3.	Share Capital Commitments to Associates and Subsidiaries		-	-	-
2.1.4.	Loan Granting Commitments		-	-	-
2.1.5.	Securities Underwriting Commitments		-	-	-
2.1.6.	Commitments for Reserve Deposit Requirements		-	-	-
2.1.7.	Commitments for Cheques		19	-	19
2.1.8.	Tax and Fund Liabilities from Export Commitments		-	-	-
2.1.9.	Commitments for Credit Card Limits		-	-	-
2.1.10.	Commitments for Credit Cards and Banking Services Promotions		-	-	-
2.1.11.	Receivables from Short Sale Commitments of Marketable Securities		-	-	-
2.1.12.	Payables for Short Sale Commitments of Marketable Securities		-	-	-
2.1.13.	Other Irrevocable Commitments		-	-	-
2.2.	Revocable Commitments		-	-	-
2.2.1.	Revocable Loan Granting Commitments		-	-	-
2.2.2.	Other Revocable Commitments		-	-	-
III.	**DERIVATIVE FINANCIAL INSTRUMENTS**	**(III-b)**	**-**	**-**	**-**
3.1	Hedging Derivative Financial Instruments		-	-	-
3.1.1	Transactions for Fair Value Hedge		-	-	-
3.1.2	Transactions for Cash Flow Hedge		-	-	-
3.1.3	Transactions for Foreign Net Investment Hedge		-	-	-
3.2	Trading Transactions		-	-	-
3.2.1	Forward Foreign Currency Buy/Sell Transactions		-	-	-
3.2.1.1	Forward Foreign Currency Transactions-Buy		-	-	-
3.2.1.2	Forward Foreign Currency Transactions-Sell		-	-	-
3.2.2	Swap Transactions Related to Foreign Currency and Interest Rates		-	-	-
3.2.2.1	Foreign Currency Swap-Buy		-	-	-
3.2.2.2	Foreign Currency Swap-Sell		-	-	-
3.2.2.3	Interest Rate Swap-Buy		-	-	-
3.2.2.4	Interest Rate Swap-Sell		-	-	-
3.2.3	Foreign Currency, Interest Rate and Securities Options		-	-	-
3.2.3.1	Foreign Currency Options-Buy		-	-	-
3.2.3.2	Foreign Currency Options-Sell		-	-	-
3.2.3.3	Interest Rate Options-Buy		-	-	-
3.2.3.4	Interest Rate Options-Sell		-	-	-
3.2.3.5	Securities Options-Buy		-	-	-
3.2.3.6	Securities Options-Sell		-	-	-
3.2.4	Foreign Currency Futures		-	-	-
3.2.4.1	Foreign Currency Futures-Buy		-	-	-
3.2.4.2	Foreign Currency Futures-Sell		-	-	-
3.2.5	Interest Rate Futures		-	-	-
3.2.5.1	Interest Rate Futures-Buy		-	-	-
3.2.5.2	Interest Rate Futures-Sell		-	-	-
3.2.6	Other		-	-	-
B. CUSTODY AND PLEDGES RECEIVED (IV+V+VI)			**10.385**	**1.814.069**	**1.824.454**
IV.	**ITEMS HELD IN CUSTODY**		**-**	**1.498**	**1.498**
4.1.	Customer Fund and Portfolio Balances		-	-	-
4.2.	Investment Securities Held in Custody		-	-	-
4.3.	Checks Received for Collection		-	1.498	1.498
4.4.	Commercial Notes Received for Collection		-	-	-
4.5.	Other Assets Received for Collection		-	-	-
4.6.	Assets Received for Public Offering		-	-	-
4.7.	Other Items Under Custody		-	-	-
4.8.	Custodians		-	-	-
V.	**PLEDGES RECEIVED**		**4.677**	**289.937**	**294.614**
5.1.	Marketable Securities		-	-	-
5.2.	Guarantee Notes		2.625	87.087	89.712
5.3.	Commodity		-	-	-
5.4.	Warranty		-	-	-
5.5.	Immovable		2.052	202.507	204.559
5.6.	Other Pledged Items		-	343	343
5.7.	Pledged Items-Depository		-	-	-
VI.	**ACCEPTED INDEPENDENT GUARANTEES AND WARRANTIES**		**5.708**	**1.522.634**	**1.528.342**
	TOTAL OFF BALANCE SHEET COMMITMENTS (A+B)		**10.789**	**1.814.830**	**1.825.619**

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II. OFF-BALANCE SHEET COMMITMENTS

	OFF-BALANCE SHEET COMMITMENTS	Notes (Section Five)	Audited Prior Period 31 December 2017 TL	FC	Total
A.	**OFF-BALANCE SHEET COMMITMENTS (I+II+III)**		**5.809**	**3.201**	**9.010**
I.	**GUARANTEES AND WARRANTIES**	**(III-a-2, 3)**	**5.722**	**3.201**	**8.923**
1.1.	Letters of Guarantee		5.722	266	5.988
1.1.1	Guarantees Subject to State Tender Law		-	-	-
1.1.2	Guarantees Given for Foreign Trade Operations		-	-	-
1.1.3	Other Letters of Guarantee		5.722	266	5.988
1.2.	Bank Acceptances		-	-	-
1.2.1	Import Letter of Acceptance		-	-	-
1.2.2	Other Bank Acceptances		-	-	-
1.3.	Letters of Credit		-	2.935	2.935
1.3.1	Documentary Letters of Credit		-	2.935	2.935
1.3.2	Other Letters of Credit		-	-	-
1.4	Prefinancing Given as Guarantee		-	-	-
1.5.	Endorsements		-	-	-
1.5.1	Endorsements to the Central Bank of the Republic of Turkey		-	-	-
1.5.2	Other Endorsements		-	-	-
1.6	Securities Issue Purchase Guarantees		-	-	-
1.7	Factoring Guarantees		-	-	-
1.8	Other Guarantees		-	-	-
1.9	Other Collaterals		-	-	-
II.	**COMMITMENTS**	**(III-a-1)**	**87**	**-**	**87**
2.1.	Irrevocable Commitments		87	-	87
2.1.1	Forward Asset Purchase Commitments		-	-	-
2.1.2	Forward Deposit Purchase and Sales Commitments		-	-	-
2.1.3	Share Capital Commitments to Associates and Subsidiaries		-	-	-
2.1.4	Loan Granting Commitments		-	-	-
2.1.5	Securities Underwriting Commitments		-	-	-
2.1.6	Commitments for Reserve Deposit Requirements		-	-	-
2.1.7	Commitments for Cheques		87	-	87
2.1.8	Tax and Fund Liabilities from Export Commitments		-	-	-
2.1.9	Commitments for Credit Card Limits		-	-	-
2.1.10	Commitments for Credit Cards and Banking Services Promotions		-	-	-
2.1.11	Receivables from Short Sale Commitments of Marketable Securities		-	-	-
2.1.12	Payables for Short Sale Commitments of Marketable Securities		-	-	-
2.1.13	Other Irrevocable Commitments		-	-	-
2.2.	Revocable Commitments		-	-	-
2.2.1	Revocable Loan Granting Commitments		-	-	-
2.2.2	Other Revocable Commitments		-	-	-
III.	**DERIVATIVE FINANCIAL INSTRUMENTS**	**(III-b)**	-	-	-
3.1.	Hedging Derivative Financial Instruments		-	-	-
3.1.1	Transactions for Fair Value Hedge		-	-	-
3.1.2	Transactions for Cash Flow Hedge		-	-	-
3.1.3	Transactions for Foreign Net Investment Hedge		-	-	-
3.2.	Trading Transactions		-	-	-
3.2.1.	Forward Foreign Currency Buy/Sell Transactions		-	-	-
3.2.1.1	Forward Foreign Currency Transactions-Buy		-	-	-
3.2.1.2	Forward Foreign Currency Transactions-Sell		-	-	-
3.2.2.	Swap Transactions Related to Foreign Currency and Interest Rates		-	-	-
3.2.2.1	Foreign Currency Swap-Buy		-	-	-
3.2.2.2	Foreign Currency Swap-Sell		-	-	-
3.2.2.3	Interest Rate Swap-Buy		-	-	-
3.2.2.4	Interest Rate Swap-Sell		-	-	-
3.2.3.	Foreign Currency, Interest Rate and Securities Options		-	-	-
3.2.3.1	Foreign Currency Options-Buy		-	-	-
3.2.3.2	Foreign Currency Options-Sell		-	-	-
3.2.3.3	Interest Rate Options-Buy		-	-	-
3.2.3.4	Interest Rate Options-Sell		-	-	-
3.2.3.5	Securities Options-Buy		-	-	-
3.2.3.6	Securities Options-Sell		-	-	-
3.2.4.	Foreign Currency Futures		-	-	-
3.2.4.1	Foreign Currency Futures-Buy		-	-	-
3.2.4.2	Foreign Currency Futures-Sell		-	-	-
3.2.5.	Interest Rate Futures		-	-	-
3.2.5.1	Interest Rate Futures-Buy		-	-	-
3.2.5.2	Interest Rate Futures-Sell		-	-	-
3.2.6	Other		-	-	-
B.	**CUSTODY AND PLEDGES RECEIVED (IV+V+VI)**		**63.736**	**1.458.708**	**1.522.444**
IV.	**ITEMS HELD IN CUSTODY**		**-**	**1.072**	**1.072**
4.1	Customer Fund and Portfolio Balances		-	-	-
4.2	Investment Securities Held in Custody		-	-	-
4.3	Checks Received for Collection		-	1.072	1.072
4.4	Commercial Notes Received for Collection		-	-	-
4.5	Other Assets Received for Collection		-	-	-
4.6	Assets Received for Public Offering		-	-	-
4.7	Other Items Under Custody		-	-	-
4.8	Custodians		-	-	-
V.	**PLEDGES RECEIVED**		**10.616**	**227.599**	**238.215**
5.1	Marketable Securities		-	-	-
5.2	Guarantee Notes		2.744	65.131	67.875
5.3	Commodity		-	-	-
5.4	Warranty		-	-	-
5.5	Immovable		7.872	162.223	170.095
5.6	Other Pledged Items		-	245	245
5.7	Pledged Items-Depository		-	-	-
VI.	**ACCEPTED INDEPENDENT GUARANTEES AND WARRANTIES**		**53.120**	**1.230.037**	**1.283.157**
	TOTAL OFF-BALANCE SHEET COMMITMENTS (A+B)		**69.545**	**1.461.909**	**1.531.454**

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Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

III. STATEMENT OF PROFIT OR LOSS

	INCOME AND EXPENSE ITEMS	Notes	Audited Current Period
		(Section Five)	1 January - 31 December 2018
I.	**INTEREST INCOME**	**(IV-a)**	**138.745**
1.1	Interest on Loans	(IV-a-1)	322
1.2	Interest Received from Reserve Requirements		9.046
1.3	Interest Received from Banks	(IV-a-2)	37.751
1.4	Interest Received from Money Market Transactions		14.805
1.5	Interest Received from Marketable Securities Portfolio	(IV-a-3)	76.813
1.5.1	Financial Assets at Fair Value through Profit or (Loss)		-
1.5.2	Financial Assets at Fair Value Through Other Comprehensive Income		76.813
1.5.3	Financial Assets at Measured at Amortised Cost		-
1.6	Financial Lease Income		-
1.7	Other Interest Income		8
II.	**INTEREST EXPENSE**	**(IV-b)**	**(11.986)**
2.1	Interest on Deposits	(IV-b-3)	(10.888)
2.2	Interest on Funds Borrowed	(IV-b-1)	-
2.3	Interest Expense on Money Market Transactions		-
2.4	Interest on Securities Issued		-
2.5	Other Interest Expenses		(1.098)
III.	**NET INTEREST INCOME (I + II)**		**126.759**
IV.	**NET FEES AND COMMISSIONS INCOME**		**40.052**
4.1	Fees and Commissions Received		40.268
4.1.1	Non-Cash Loans		2.078
4.1.2	Other		38.190
4.2	Fees and Commissions Paid		(216)
4.2.1	Non-Cash Loans		-
4.2.2	Other		(216)
V.	**PERSONNEL EXPENSES (-)**		**(10.524)**
VI	**DIVIDEND INCOME**	**(IV-c)**	-
VII.	**TRADING INCOME/(LOSS) (Net)**	**(IV-d)**	**22.861**
7.1	Trading Gains / (Losses) on Securities		-
7.2	Trading Gains/(Losses) on Derivative Financial Instruments		-
7.3	Foreign Exchange Gains / (Losses)		22.861
VIII.	**OTHER OPERATING INCOME**	**(IV-e)**	**600**
IX.	**TOTAL OPERATING INCOME (III+IV+V+VI+VII+VIII)**		**179.748**
X.	**PROVISION FOR LOAN LOSSES (-)**	**(IV-f)**	**(3.048)**
XI.	**OTHER OPERATING EXPENSES (-)**	**(IV-g)**	**(8.481)**
XII.	**NET OPERATING INCOME/(LOSS) (IX-X-XI)**		**168.219**
XIII.	**EXCESS AMOUNT RECORDED AS INCOME AFTER MERGER**		-
XIV.	**INCOME/(LOSS) FROM INVESTMENTS IN SUBSIDIARIES CONSOLIDATED BASED ON EQUITY METHOD**		-
XV.	**INCOME/(LOSS) ON NET MONETARY POSITION**		-
XVI.	**INCOME/EXPENSE BEFORE TAXES FROM CONTINUING OPERATIONS (XII+...+XV)**		**168.219**
XVII.	**PROVISION FOR TAXES ON INCOME FROM CONTINUING OPERATIONS (±)**	**(IV-i)**	**(37.268)**
17.1	Current Tax Provision		(36.951)
17.2	Deferred Tax Income Effect (+)		(539)
17.3	Deferred Tax Expense Effect (-)		222
XVIII.	**NET PROFIT/LOSSES FROM CONTINUING OPERATIONS (XVI±XVII)**		**130.951**
XIX.	**INCOME FROM DISCONTINUED OPERATIONS**		-
19.1	Income from Non-Current Assets Held for Resale		-
19.2	Profit from Sales of Associates, Subsidiaries and Joint Ventures (Business Partners)		-
19.3	Income on other discontinued operations		-
XX.	**LOSS FROM DISCONTINUED OPERATIONS (-)**		-
20.1	Loss from assets held for sale		-
20.2	Loss on sale of associates, subsidiaries and jointly controlled entities (Joint vent.)		-
20.3	Loss from other discontinued operations		-
XXI.	**PROFIT /LOSSES BEFORE TAXES FROM DISCONTINUED OPERATIONS (XVIII-XIX)**		-
XXII.	**PROVISION FOR INCOME TAXES FROM DISCONTINUED OPERATIONS (±)**		-
22.1	Current Tax Provision		-
22.2	Deferred Tax Provision		-
22.3	**NET PROFIT/LOSSES FROM DISCONTINUED OPERATIONS (XX±XXI)**		-
XXIII.	**NET PROFIT/LOSSES (XVII+XXII)**	**(IV-j)**	**130.951**
	Earnings/(Loss) per share		0,6548

Note: The prior period financial statements and related disclosures are not restated as permitted by TFRS 9 transition rules. Since, 2017 and 2018 financial statements are prepared on different principles, 2017 financial statements are presented separately.

BANK MELLAT, HEAD OFFICE: TAHRAN-IRAN İSTANBUL TURKEY MAIN, ANKARA AND İZMİR BRANCHES

UNCONSOLIDATED STATEMENT OF INCOME FOR THE YEAR ENDED 31 DECEMBER 2017

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

III. INCOME STATEMENT

		Notes (Section Five)	Audited Prior Period 1 January - 31 December 2017
I.	**INTEREST INCOME**	**(IV-a)**	**46.926**
1.1	Interest on Loans	(IV-a-1)	471
1.2	Interest Received from Reserve Requirements		1.247
1.3	Interest Received from Banks	(IV-a-2)	8.352
1.4	Interest Received from Money Market Transactions		-
1.5	Interest Received from Marketable Securities Portfolio	(IV-a-3)	36.856
1.5.1	Trading Financial Assets		-
1.5.2	Financial Assets at Fair Value through Profit or (Loss)		-
1.5.3	Available-for-sale Financial Assets		36.856
1.5.4	Held to Maturity Investments		-
1.6	Financial Lease Income		-
1.7	Other Interest Income		-
II.	**INTEREST EXPENSE**	**(IV-b)**	**(3.154)**
2.1	Interest on Deposits	(IV-b-3)	(3.154)
2.2	Interest on Funds Borrowed	(IV-b-1)	-
2.3	Interest Expense on Money Market Transactions		-
2.4	Interest on Securities Issued		-
2.5	Other Interest Expenses		-
III.	**NET INTEREST INCOME (I - II)**		**43.772**
IV.	**NET FEES AND COMMISSIONS INCOME**		**26.527**
4.1	Fees and Commissions Received		26.805
4.1.1	Non-Cash Loans		1.589
4.1.2	Other		25.216
4.2	Fees and Commissions Paid		(278)
4.2.1	Non-Cash Loans		-
4.2.2	Other		(278)
V.	**DIVIDEND INCOME**	**(IV-c)**	-
VI.	**TRADING INCOME/(LOSS) (Net)**	**(IV-d)**	**10.475**
6.1	Trading Gains / (Losses) on Securities		-
6.2	Derivative Financial Transactions Gains/Losses		-
6.3	Foreign Exchange Gains/Losses		10.475
VII.	**OTHER OPERATING INCOME**	**(IV-e)**	**1.185**
VIII.	**TOTAL OPERATING INCOME (III+IV+V+VI+VII)**		**81.959**
IX.	**PROVISION FOR LOAN LOSSES AND OTHER RECEIVABLES (-)**	**(IV-f)**	**(2.272)**
X.	**OTHER OPERATING EXPENSES (-)**	**(IV-g)**	**(13.409)**
XI.	**NET OPERATING INCOME/(LOSS) (IX-X-XI)**		**66.278**
XII.	**EXCESS AMOUNT RECORDED AS INCOME AFTER MERGER**		-
XIII.	**INCOME/(LOSS) FROM INVESTMENTS IN SUBSIDIARIES CONSOLIDATED BASED ON EQUITY METHOD**		-
XIV.	**INCOME/(LOSS) ON NET MONETARY POSITION**		-
XV.	**INCOME/EXPENSE BEFORE TAXES FROM CONTINUING OPERATIONS (XI+XII+XIII+XIV)**		**66.278**
XVI.	**PROVISION FOR TAXES ON INCOME FROM CONTINUING OPERATIONS (±)**	**(IV-i)**	**(13.389)**
16.1	Current Tax Provision		(13.300)
16.2	Deferred Tax Provision		(89)
XVII.	**NET PROFIT/LOSSES FROM CONTINUING OPERATIONS (XV±XVI)**		**52.889**
XVIII.	**INCOME FROM DISCONTINUED OPERATIONS**		-
18.1	Income from Non-Current Assets Held for Sale		-
18.2	Profit from Sales of Associates, Subsidiaries and Joint Ventures (Business Partners)		-
18.3	Other Income From Discontinued Operations		-
XIX.	**EXPENSES FROM DISCONTINUED OPERATIONS (-)**		-
19.1	Expenses for Non-Current Assets Held for Sale		-
19.2	Loss from Sales of Associates, Subsidiaries and Joint Ventures (Business Partners)		-
19.3	Other Expenses From Discontinued Operations		-
XX.	**PROFIT/LOSSES BEFORE TAXES FROM DISCONTINUED OPERATIONS (XVIII-XIX)**		-
XXI.	**PROVISION FOR INCOME TAXES FROM DISCONTINUED OPERATIONS (±)**		-
21.1	Current Tax Provision		-
21.2	Deferred Tax Provision		-
XXII.	**NET PROFIT/LOSSES FROM DISCONTINUED OPERATIONS (XX±XXI)**		-
XXIII.	**NET PROFIT/LOSSES (XVII+XXII)**	**(IV-j)**	**52.889**
	Earnings/Loss per Share		-

Note: The prior period financial statements and related disclosures are not restated as permitted by TFRS 9 transition rules. Since, 2017 and 2018 financial statements are prepared on different principles, 2017 financial statements are presented separately.

The accompanying explanations and notes form an integral part of these financial statements.

BANK MELLAT, HEAD OFFICE: TAHRAN-IRAN İSTANBUL TURKEY MAIN, ANKARA AND İZMİR BRANCHES

UNCONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2018 AND UNCONSOLIDATED STATEMENT OF PROFIT OR LOSS ITEMS RECOGNISED UNDER SHAREHOLDERS' EQUITY FOR THE YEAR ENDED 31 DECEMBER 2017

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

IV. STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

		Audited Current Period 31 December 2018
I.	**CURRENT PERIOD INCOME/LOSS**	**130.951**
II.	**OTHER COMPREHENSIVE INCOME**	**(1.070)**
2.1	**Not Reclassified Through Profit or Loss**	**133**
2.1.1	Property and Equipment Revaluation Increase/Decrease	-
2.1.2	Intangible Assets Revaluation Increase/Decrease	-
2.1.3	Defined Benefit Pension Plan Remeasurement Gain/Loss	133
2.1.4	Other Comprehensive Income Items Not Reclassified Through Profit or Loss	-
2.1.5	Tax Related Other Comprehensive Income Items Not Reclassified Through Profit or Loss	-
2.2	**Reclassified Through Profit or Loss**	**(1.203)**
2.2.1	Foreign Currency Translation Differences	-
2.2.2	Valuation and/or Reclassification Income/Expense of the Financial Assets at Fair Value through Other Comprehensive Income	(1.203)
2.2.3	Cash Flow Hedge Income/Loss	-
2.2.4	Foreign Net Investment Hedge Income/Loss	-
2.2.5	Other Comprehensive Income Items Reclassified Through Profit or Losses	-
2.2.6	Tax Related Other Comprehensive Income Items Reclassified Through Profit or Loss	-
III.	**TOTAL COMPREHENSIVE INCOME (I+II)**	**129.881**

IV. STATEMENT OF PROFIT OR LOSS ITEMS RECOGNISED UNDER SHAREHOLDERS' EQUITY

	PROFIT AND LOSS ITEMS RECOGNISED UNDER SHAREHOLDERS` EQUITY	Audited Prior Period 31 December 2017
	ADDITIONS TO THE MARKETABLE VALUATION DIFFERENCES FROM THE AVAILABLE FOR SALE FINANCIAL ASSETS	**(433)**
I.	**TANGIBLE ASSETS REVALUATION DIFFERENCES**	**-**
II.	**INTANGIBLE ASSETS REVALUATION DIFFERENCES**	**-**
III.	**CURRENCY TRANSLATION DIFFERENCES FOR FOREIGN CURRENCY TRANSACTIONS**	**-**
IV.	**PROFIT OR LOSS ON CASH FLOW HEDGE DERIVATIVE FINANCIAL ASSETS (Effective part of the fair value differences)**	**-**
V.	**THE EFFECT OF CORRECTION OF ERRORS AND CHANGES IN ACCOUNTING POLICIES**	**-**
VI.	**EFFECTS OF CHANGES IN ACCOUNTING POLICY AND ADJUSTMENT OF ERRORS**	**-**
VII.	**OTHER PROFIT AND LOSS ACCOUNTED FOR UNDER EQUITY ACCORDING TO TAS**	**(53)**
VIII.	**DEFERRED TAX RELATED TO VALUATION DIFFERENCES**	**-**
IX.	**NET PROFIT OR LOSS ACCOUNTED DIRECTLY UNDER SHAREHOLDERS' EQUITY (I+II+...+IX)**	**(486)**
X.	**CURRENT YEAR PROFIT/LOSS**	**52.889**
XI.	Net change in fair value of marketable securities (transfer to profit-loss)	169
1.1	Reclassification of cash flow hedge transactions and presentation of the related under income statement	-
1.2	Reclassification of foreign net investment hedge transactions and presentation of the related part under income statement	-
1.3	Other	52.720
	TOTAL PROFIT/LOSS RELATED TO THE CURRENT PERIOD (X-XI)	**52.403**

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The accompanying explanations and notes form an integral part of these financial statements

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

V. STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY

	CHANGES IN SHAREHOLDERS EQUITY	Paid in Capital	Share Premiums	Share Cancellation Profits	Other Capital Reserves	Accumulated Other Comprehensive Income or Expense Not Reclassified through Profit or Loss 1	2	3	Accumulated Other Comprehensive Income or Expense Reclassified through Profit or Loss 4	5	6	Profit Reserves	Prior Year Profit / (Loss)	Net profit Profit/ (Loss)	Total Equity
	Audited														
	Currency Year														
	31 December 2018														
I.	Prior Period End Balance	**200.000**	**-**	**-**	**-**	**-**	**(306)**	**-**	**-**	**(602)**	**-**	**698**	**39.696**	**52.889**	**292.375**
II.	Corrections According to Turkish Accounting Standard No.8	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2.1	Corrections of Errors	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2.2	Changes in Accounting Policies	-	-	-	-	-	-	-	-	-	-	-	-	-	-
III.	**Adjusted Beginning Balance (I+II)**	**200.000**	**-**	**-**	**-**	**-**	**(306)**	**-**	**-**	**(602)**	**-**	**698**	**39.696**	**52.889**	**292.375**
IV.	**Total Comprehensive Income**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
V.	**Capital Increase by Cash**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
VI.	**Capital Increase by Internal Sources**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
VII.	**Paid-in capital inflation adjustment difference**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
VIII.	**Convertible Bonds to Shares**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
IX.	**Subordinated Debt Instruments**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
X.	**Increase/Decrease by Other Changes**	**-**	**-**	**-**	**-**	**-**	**133**	**-**	**-**	**(1.203)**	**-**	**-**	**-**	**-**	**(1.070)**
XI.	**Profit Distribution**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**(36)**	**52.925**	**78.062**	**130.951**
11.1	Dividend Paid	-	-	-	-	-	-	-	-	-	-	-	-	-	-
11.2	Transfers to Reserves	-	-	-	-	-	-	-	-	-	-	(36)	52.925	(52.889)	-
11.3	Other	-	-	-	-	-	-	-	-	-	-	-	-	130.951	130.951
	Period End Balance (III+IV+…...+X+XI)	**200.000**	**-**	**-**	**-**	**-**	**(173)**	**-**	**-**	**(1.805)**	**-**	**662**	**92.621**	**130.951**	**422.256**

1. Increase/Decrease of Accumulated Revaluation Reserve on Tangible,
2. Accumulated Gains/Losses on Remeasurement of Defined Benefit Plans,
3. Other (Other Comprehensive Income of Associates and Joint Ventures Accounted with Equity Method That Will Not Be Reclassified at Profit and Loss and Other Accumulated Amounts of Other Comprehensive Income Items That Will Not Be Reclassified at Profit or Loss,
4. Exchange Differences on Translation Reserve,
5. Accumulated Revaluation and/or Classification Gains / (Losses) of Financial Assets at Fair Value through Other Comprehensive Income,
6. Other (Cash Flow Hedge Gains/Losses, Other Comprehensive Income of Associates and Joint Ventures Accounted with Equity Method That Will Be Reclassified at Profit or Loss and Other Accumulated Amounts of Other Comprehensive Income Items That Will Be Reclassified at Profit or Loss).

Note: The prior period financial statements and related disclosures are not restated as permitted by TFRS 9 transition rules. Since, 2017 and 2018 financial statements are prepared on different principles, 2017 financial statements are presented separately.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira (“TL”).

V. STATEMENT OF CHANGES IN SHAREHOLDERS’ EQUITY (Continued

	PRIOR PERIOD 01/01/2017 – 31/12/2017	Note	Paid-in Capital	Adjustment to Share Capital	Share Premiums	Share Cancellation Profits	Legal Reserves	Status Reserves	Extraordinary Reserves	Other Reserves	Current Period Net Income/ (Loss)	Prior Period Net Income/ (Loss)	Marketable Securities Value Increase Fund	Tangible and Intangible Assets Revaluation Fund	Bonus Shares From Investment in Associates and Subsidiaries	Hedging Transactions Funds	Held for Resale/ Discontinued Operations Revaluation Fund	Total Shareholders’Equity
I.	**Prior Period End Balance**		**200.000**	**-**	**-**	**-**	**-**	**-**	**724**	**(253)**	**28.368**	**11.302**	**(169)**	**-**	**-**	**-**	**-**	**239.972**
II.	**Corrections According to Turkish Accounting Standard No.8**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2.1	Corrections of Errors		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2.2	Changes in Accounting Policies		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
III.	**Adjusted Beginning Balance (I + II)**		**200.000**	**-**	**-**	**-**	**-**	**-**	**724**	**(253)**	**28.368**	**11.302**	**(169)**	**-**	**-**	**-**	**-**	**239.972**
	Changes during the period		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IV.	**Increase/Decrease due to the Merger**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
V.	**Marketable Securities Valuation Differences**	**(V-d)**	-	-	-	-	-	-	-	-	-	-	**(433)**	-	-	-	-	**(433)**
VI.	**Hedging Funds (Effective Portion)**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6.1	Cash Flow Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6.2	Foreign Investment Hedge		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VII.	**Tangible Assets Revaluation Differences**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
VIII.	**Intangible Assets Revaluation Differences**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
IX.	**Bonus Shares Obtained from Associates, Subsidiaries and Entities Under Common Control (Joint vent.)**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
X.	**Foreign Exchange Differences**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XI.	**The Disposal of Assets**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XII.	**The Reclassification of Assets**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIII.	**Effect of the Changes in Investment in Associates’ Equity to the Bank’s Equity**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XIV.	**Capital Increase**	**(V-c)**	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
14.1	Cash Increase		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
14.2	Internal Resources		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XV.	**Share Premium**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVI.	**Share Cancellation Profits**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVII.	**Paid in-capital Adjustment Difference**		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
XVIII.	**Other**		-	-	-	-	-	-	-	**(53)**	-	-	-	-	-	-	-	**(53)**
XIX.	**Current Year Income or Loss**		-	-	-	-	-	-	-	-	**52.889**	-	-	-	-	-	-	**52.889**
XX.	**Profit Distribution**	**(V-a)**	-	-	-	-	-	-	**(26)**	-	**(28.368)**	**28.394**	-	-	-	-	-	-
20.1	Dividend Paid		-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
20.2	Transfers to Reserves	**(V-b)**	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
20.3	Other		-	-	-	-	-	-	(26)	-	(28.368)	28.394	-	-	-	-	-	-
	Period End Balance (I+….+XVIII)		**200.000**	**-**	**-**	**-**	**-**	**-**	**698**	**(306)**	**52.889**	**39.696**	**(602)**	**-**	**-**	**-**	**-**	**292.375**

Note: The prior period financial statements and related disclosures are not restated as permitted by TFRS 9 transition rules. Since, 2017 and 2018 financial statements are prepared on different principles, 2017 financial statements are presented separately.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL")

VI. STATEMENT OF CASH FLOWS

		Notes (Section Five)	Audited Current Period 31 December 2018
A.	**CASH FLOWS FROM BANKING OPERATIONS**		
1.1	**Operating Profit Before Changes in Operating Assets and Liabilities**		**116.860**
1.1.1	Interest Received		131.160
1.1.2	Interest Paid		(12.174)
1.1.3	Dividend Received		-
1.1.4	Fees and Commissions Received		40.268
1.1.5	Other Income		272
1.1.6	Collections From Previously Written-Off Loans and Other Receivables		221
1.1.7	Cash Payments to Personnel and Service Suppliers		(10.524)
1.1.8	Taxes paid		(38.552)
1.1.9	Other		6.189
1.2	**Changes in Operating Assets and Liabilities Subject to Banking Operations**		**(153.656)**
1.2.1	Net (Increase)/Decrease in Financial Assets at Fair Value Through Profit or Loss		263
1.2.2	Net (Increase)/Decrease in Due From Banks		-
1.2.3	Net (Increase)/Decrease in Loans		1.798
1.2.4	Net (Increase)/Decrease in other assets		(1.080)
1.2.5	Net Increase/(Decrease) in Bank Deposits		(96.876)
1.2.6	Net Increase/(Decrease) in Other Deposits		(62.330)
1.2.7	Net Increase/(Decrease) in Financial Liabilities at Fair Value Through Profit or Loss		-
1.2.8	Net Increase/(Decrease) in Funds Borrowed		-
1.2.9	Net Increase/(Decrease) in Matured Payables		-
1.2.10	Net Increase/(Decrease) in Other Liabilities		4.569
I.	**Net cash provided from banking operations**		**(36.796)**
B.	**CASH FLOWS FROM INVESTING ACTIVITIES**		
II.	**Net Cash Provided From Investing Activities**		**133.899**
2.1	Cash Paid for the Purchase of Associates, Subsidiaries and Joint Ventures		-
2.2	Cash Obtained from the Sale of Associates, Subsidiaries and Joint Ventures		-
2.3	Cash Paid for the Purchase of Tangible and Intangible Asset		(272)
2.4	Cash Obtained from the Sale of Tangible and Intangible Asset		796
2.5	Cash Paid for Purchase of Financial Assets at Fair Value Through Other Comprehensive Income		(209.625)
2.6	Cash Obtained from the Sale of Financial Assets at Fair Value Through Other Comprehensive Income		343.000
2.7	Cash Paid for Purchase of Financial Assets at Amortised Cost		-
2.8	Cash Obtained From Sale of Financial Assets at Amortised Cost		-
2.9	Other		-
C.	**CASH FLOWS FROM FINANCING ACTIVITIES**		
III.	**Net cash provided from financing activities**		**-**
3.1	Cash Obtained From Funds Borrowed and Securities Issued		-
3.2	Cash Outflow From Funds Borrowed and Securities Issued		-
3.3	Equity Instruments Issued		-
3.4	Dividends Paid		-
3.5	Payments for Finance Lease Liabilities		-
3.6	Other		-
IV.	**Effect of Change in Foreign Exchange Rate on Cash and Cash Equivalents**		**10.371**
V.	**Net increase in cash and cash equivalents**	**(VI-a)**	**107.474**
VI.	**Cash and cash equivalents at beginning of the period**		**616.413**
VII.	**Cash and cash equivalents at end of the period**		**723.887**

Note: The prior period financial statements and related disclosures are not restated as permitted by TFRS 9 transition rules. Since, 2017 and 2018 financial statements are prepared on different principles, 2017 financial statements are presented separately.

The accompanying explanations and notes form an integral part of these financial statements.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL")

VI. STATEMENT OF CASH FLOWS

		Notes (Section Five)	Audited Prior Period 1 January- 31 December 2017
A.	**CASH FLOWS FROM BANKING OPERATIONS**		
1.1	**Operating Profit before changes in operating assets and liabilities**		**37.687**
1.1.1	Interest received		39.358
1.1.2	Interest paid		(3.045)
1.1.3	Dividend received		-
1.1.4	Fees and commissions received		26.805
1.1.5	Other income		140
1.1.6	Collections from previously written-off loans and other receivables		3
1.1.7	Payments to personnel and service suppliers		(8.162)
1.1.8	Taxes paid		(14.875)
1.1.9	Other		(2.537)
1.2	**Changes in operating assets and liabilities**		**431.746**
			-
1.2.1	Net (increase) / decrease in trading financial assets		-
1.2.2	Net (increase) / decrease in fair value through profit/loss financial assets		-
1.2.3	Net (increase) / decrease in banks		(272)
1.2.4	Net (increase) / decrease in loans		(37)
1.2.5	Net (increase) / decrease in other assets		(76)
1.2.6	Net increase in bank deposits		323.218
1.2.7	Net increase / (decrease) in other deposits		109.479
1.2.8	Net (decrease) in funds borrowed		-
1.2.9	Net increase / (decrease) in payables		-
1.2.10	Net increase in other liabilities		(566)
I.	**Net cash provided from banking operations**		**469.433**
B.	**CASH FLOWS FROM INVESTING ACTIVITIES**		
II.	**Net cash provided from investing activities**		**(137.876)**
2.1	Cash paid for purchase of entities under common control, associates and subsidiaries (Joint Vent.)		-
2.2	Cash obtained from sale of entities under common control, associates and subsidiaries (Joint Vent.)		-
2.3	Fixed assets purchases		(358)
2.4	Fixed assets sales		-
2.5	Cash paid for purchase of investments available-for-sale		(322.318)
2.6	Cash obtained from sale of investments available-for-sale		184.800
2.7	Cash paid for purchase of investment securities		-
2.8	Cash obtained from sale of investment securities		-
2.9	Other		-
C.	**CASH FLOWS FROM FINANCING ACTIVITIES**		
III.	**Net cash provided from financing activities**		**-**
3.1	Cash obtained from funds borrowed and securities issued		-
3.2	Cash used for repayment of funds borrowed and securities issued		-
3.3	Capital increase		-
3.4	Dividends paid		-
3.5	Payments for finance leases		-
3.6	Other		-
IV.	**Effect of change in foreign exchange rate on cash and cash equivalents**		**9.561**
V.	**Net increase in cash and cash equivalents (I + II + III + IV)**	**(VI-a)**	**341.118**
VI.	**Cash and cash equivalents at beginning of the period**		**275.295**
VII.	**Cash and cash equivalents at end of the period (V + VI)**		**616.413**

Note: The prior period financial statements and related disclosures are not restated as permitted by TFRS 9 transition rules. Since, 2017 and 2018 financial statements are prepared on different principles, 2017 financial statements are presented separately.

The accompanying explanations and notes form an integral part of these financial statements.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL")

VII. PROFIT DISTRIBUTION TABLE

		(*) CURRENT PERIOD (01/01/2018 - 31/12/2018)	PRIOR PERIOD (01/01/2017 - 31/12/2017)
I.	**DISTRIBUTION OF CURRENT YEAR INCOME**		
1.1	Current Year Income	168.219	66.278
1.2	Taxes And Duties Payable (-)	(37.268)	(13.389)
1.2.1	Corporate Tax (Income tax)	(36.951)	(13.300)
1.2.2	Income withholding tax	-	-
1.2.3	Other taxes and duties (**)	(317)	(89)
A.	**NET INCOME FOR THE YEAR (1.1-1.2)**	**130.951**	**52.889**
1.3	Prior Year Losses (-)	-	-
1.4	First Legal Reserves (-)	-	-
1.5	Other Statutory Reserves (-)	-	-
B.	**NET INCOME AVAILABLE FOR DISTRIBUTION [(A+(1.3+1.4+1.5)]**	**130.951**	**52.889**
1.6	First Dividend To Shareholders (-)	-	-
1.6.1	To Owners Of Ordinary Shares	-	-
1.6.2	To Owners Of Preferred Shares	-	-
1.6.3	To Owners Of Preferred Shares (Preemptive Rights)	-	-
1.6.4	To Profit Sharing Bonds	-	-
1.6.5	To Holders Of Profit And Loss Sharing Certificates	-	-
1.7	Dividends To Personnel (-)	-	-
1.8	Dividends To Board Of Directors (-)	-	-
1.9	Second Dividend To Shareholders (-)	-	-
1.9.1	To Owners Of Ordinary Shares	-	-
1.9.2	To Owners Of Preferred Shares	-	-
1.9.3	To Owners Of Preferred Shares (Preemptive Rights)	-	-
1.9.4	To Profit Sharing Bonds	-	-
1.9.5	To Holders Of Profit And Loss Sharing Certificates	-	-
1.10	Second Legal Reserves (-)	-	-
1.11	Statutory Reserves (-)	-	-
1.12	Extraordinary Reserves	-	-
1.13	Other Reserves	-	-
1.14	Special Funds	-	-
II.	**DISTRIBUTION OF RESERVES**		
2.1	Distributed Reserves	-	-
2.2	Second Legal Reserves (-)	-	-
2.3	Dividends To Shareholders (-)	-	-
2.3.1	To Owners Of Ordinary Shares	-	-
2.3.2	To Owners Of Preferred Shares	-	-
2.3.3	To Owners Of Preferred Shares	-	-
2.3.4	To Profit Sharing Bonds	-	-
2.3.5	To Holders Of Profit And Loss Sharing Certificates	-	-
2.4	Dividends To Personnel (-)	-	-
2.5	Dividends To Board Of Directors (-)	-	-
III.	**EARNINGS PER SHARE**		
3.1	To Owners Of Ordinary Shares	-	-
3.2	To Owners Of Ordinary Shares (%)	-	-
3.3	To Owners Of Preferred Shares	-	-
3.4	To Owners Of Preferred Shares (%)	-	-
IV.	**DIVIDEND PER SHARE**		
4.1	To Owners Of Ordinary Shares	-	-
4.2	To Owners Of Ordinary Shares (%)	-	-
4.3	To Owners Of Preferred Shares	-	-
4.4	To Owners Of Preferred Shares (%)	-	-

(*) As at date of these financial statements, profit distribution has not yet been determined.

(**) Since it is considered that the income amounts related to deferred tax assets will not be considered as cash or internal resources and therefore the portion of the profit attributable to the subject matter of the period should not be subject to profit distribution and capital increase, therefore deferred tax assets will not be subject to profit distribution.The Branch calculated net deferred tax expense of TL 317 due to the occurrence of temporary differences as of 31 December 2018 (31 December 2017: TL 89 deferred tax expense).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL")

VIII. CONSOLIDATED FINANCIAL STATEMENTS OF THE BRANCH'S HEADQUARTER

As of 20 March 2018, the financial statements issued by the Headquarters of the Branch is presented below.

BANK MELLAT (IRAN)
CONSOLIDATED COMPARATIVE BALANCE SHEET
(THOUSANDS OF USD)

	CURRENT PERIOD (*) (20 March 2018)	**PRIOR PERIOD (**) (20 March 2017)**
Cash and cash equivalents	3.760.832	2.253.859
Central bank	2.781.237	2.268.904
Other assets	53.045.184	44.158.971
Total Assets	**59.587.253**	**48.681.734**
Deposits	11.609.567	8.784.600
Other liabilities	46.236.173	38.429.391
Shareholders' equity	1.741.513	1.467.743
Total Liabilities	**59.587.253**	**48.681.734**

BANK MELLAT (IRAN)
CONSOLIDATED COMPARATIVE BALANCE SHEET
(THOUSANDS OF USD)

	CURRENT PERIOD (*) (20 March 2018)	**PRIOR PERIOD (**) (20 March 2017)**
Interest and investment income	4.935.647	6.267.870
Interest expense on deposits	(4.199.645)	(3.895.616)
Other expenses	(703.079)	(1.701.659)
Other income	1.718.386	1.327.868
Total net income	1.751.309	1.998.463
Personnel and operating expenses	(1.350.853)	(1.881.622)
Profit before tax	400.456	116.841
Taxes payables	(181.583)	(33.612)
Net Profit	**218.873**	**83.229**

(*) Since the financial statements for the period 1 January – 31 December 2018 have not been published, the financial statements prepared by the headquarters of the Branch dated 20 March 2018 are presented.
(**) The prior period has been revised.

SECTION THREE

EXPLANATIONS ON ACCOUNTING POLICIES

I. EXPLANATIONS ON THE BASIS OF PRESENTATION

The unconsolidated financial statements are prepared within the scope of the “Regulation on Accounting Applications for Banks and Safeguarding of Documents” related with Banking Act numbered 5411 published in the Official Gazette no.26333 dated 1 November 2006 and other regulations related to reporting principles on accounting records of Banks published by Banking Regulation and Supervision Agency and circulars and interpretations published by Banking Regulation and Supervision Authority (together referred as BRSA Accounting and Reporting Legislation) and in case where a specific regulation is not made by BRSA, Turkish Financial Reporting Standards (“TFRS”) and related appendices and interpretations (referred as “Turkish Accounting Standards” or “TAS”) put into effect by Public Oversight Accounting and Auditing Standards Authority (“POA”) (all referred as “Reporting Standards”). The Branch maintains its books in Turkish Lira in accordance with the Banking Act, Turkish Commercial Code and Turkish Tax Legislation.

The format and content of the publicly announced unconsolidated financial statements and notes to these statements have been prepared in accordance with the “Communiqué on Publicly Announced Financial Statements, Explanations and Notes to These Financial Statements”, published in Official Gazette no. 28337, dated 28 June 2012, and amendments to this Communiqué.

The prior period financial statements are prepared in line with the principles of TAS No:1 “Fundamentals of Preparing and Presenting Financial Statements” published in the Official Gazette on January 16, 2005 with No: 25702, and in accordance with Turkish Accounting Standards and Turkish Financial Reporting Standards; and other principles, methods and explanations about accounting and financial reporting issued by the BRSA. Certain reclassifications have been made to the prior year financial statements in order to comply with the current year presentation whenever required. The accounting principles except TFRS 9 Financial Instruments Standard’s impact, are in accordance with the used principles in preparation of yearly financial statement as of 31 December 2017.

The accounting policies and valuation principles applied in the preparation of unconsolidated financial statements, are determined and applied in accordance with regulations, communiqués, explanations and circulars on accounting and financial reporting principles published by the BRSA, and in case where there is no special regulation made by the BRSA, in accordance with principles in the context of TAS and TFRS. In accordance with the transition requirements of TFRS 9, the prior period financial statements and notes are not restated. As per the article named “Financial Reporting” of BRSA No. 24049440-045.01[3/8]-E.5358 dated 17 April 2018, prior periods’ informations are presented in old format. Accounting policies and valuation principles used for the year 2018 and 2017 periods are separately presented in the notes and the accounting policies for the period 2017 are included in Section Three notes XXX.

Explanations on IFRS 16 Leases Standard:

TFRS 16 Leases (“TFRS 16”), removes the distinction between operating and finance leases applied by the lessee. Instead, it is set forth a single accounting model similar to the accounting of finance leases on balance sheet. For lessors, the accounting stays almost the same. The Bank does not expect a significant impact in its financials with the adaptation of TFRS 16 at 1 January 2019.

Additional paragraph for convenience of translation into English:

The differences between accounting principles, as described in the preceding paragraphs, and accounting principles generally accepted in countries in which these accompanying unconsolidated financial statements are to be distributed and International Financial Reporting Standards (“IFRS”) have not been quantified in the accompanying unconsolidated financial statements. Accordingly, the accompanying unconsolidated financial statements are not intended to present the financial position, results of operations and changes in financial position and cash flows in accordance with the accounting principles generally accepted in such countries and IFRS.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

II. EXPLANATIONS ON STRATEGY OF USING FINANCIAL INSTRUMENTS AND FOREIGN CURRENCY TRANSACTIONS

The Branch’s operation scope involves all commercial banking operations and business lines described in the banking legislation.

The Branch invests the funds obtained through fixed rate deposits, loans from Head Office and cash guarantees to short-term, high interest bearing and relatively low risk bank placements and credit for banks. The Branch manages the liquidity risk by providing sufficient cash and cash equivalent sources for its current and contingent liabilities. In this context, the Branch aims at ensuring a liquidity structure which matches liabilities due.

The Branch protects itself from interest rate risk, currency risk and price fluctuations by its investments in short-term placements and provides cash collaterals.

The Branch takes a position according to the currency basket of the Central Bank of the Republic of Turkey (“CBRT”) in order to hedge itself against possible foreign exchange risks. The Branch with the change in the currency system to floating currency, limits the total foreign currency position in accordance with the legal limits because of the increasing uncertainties in the changing currency path.

As of 31 December 2018, rates used for conversion of foreign currency balances into Turkish Lira are TL 5,2810 for USD, TL 6,0422 for Euro and TL 0,04783 for Yen.

III. EXPLANATIONS ON INVESTMENTS IN ASSOCIATES AND SUBSIDIARIES

As of 31 December 2018 and 31 December 2017, the Branch has no investments in associates and subsidiaries.

IV. EXPLANATIONS ON FORWARD TRANSACTIONS, OPTIONS AND DERIVATIVE INSTRUMENTS

Liabilities and receivables arising from the derivative instruments are followed in the off-balance sheet accounts at their contractual values. Derivative instruments are initially recorded at their fair values at the date of occurrence. If the fair value of derivative financial instruments is positive, it is disclosed under the main account “Derivative financial assets at fair value through profit or loss”; and if the fair value difference is negative, it is disclosed under “Derivative financial liabilities at fair value through profit or loss”. Fair value changes for derivatives are recorded in the account of “Profit/losses from derivative financial transactions” within the income statement.

The fair values of the derivative financial instruments are calculated using quoted market prices or by using discounted cash flow models.

The Branch has no option contracts or derivative instruments for risk protection. The Branch has no forward transactions, options and derivative instruments.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

V. EXPLANATIONS ON INTEREST INCOME AND EXPENSE:

Interest income and expenses are recognised in the income statement on an accrual basis using the effective interest method.The Branch, ceases accruing interest income on non-performing loans according to the related regulation.

VI. EXPLANATIONS ON FEE AND COMMISSION INCOME AND EXPENSES

Fees and commission income/expenses are accounted according to the principles of TFRS 15 “Revenue from Contracts with Customers”, except for the integral part of the effective interest rate of financial instruments measured at amortized cost.

Income on banking services which are not related to periodic services are recorded as income when they are collected. In order to classify the fees and commissions collected from customers as income on banking services or as other non-interest income, they shouldn’t be related with a credit transaction.

All type of fees and commissions collected from customers regarding cash loans are deferred in “commissions on cash loans” account and are recognized as income over the period of the loan by discounting with effective interest rate.

The commissions related with non-cash loans or periodic banking services, are deferred and recorded as income over the period according to the cut-off principle. Credit fee and commission expenses which are paid to other companies and institutions regarding financial liabilities and which create operational costs are discounted by effective interest rate and are recorded as expenses in the relevant period according to the cut-off principle.

VII. EXPLANATIONS ON FINANCIAL ASSETS

The Branch categorizes its financial assets as fair value through profit/loss, fair value through other comprehensive income or measured at amortized cost. Such financial assets are recognized or derecognized according to TFRS 9 Financial Instruments Part 3 Issued for classification and measurement of the financial instruments published in the Official Gazette No. 29953 dated 19 January 2017 by the Public Oversight Accounting and Auditing Standards Authority. Financial assets are measured at fair value at initial recognition in the financial statements. During the initial recognition of financial assets other than "Financial Assets at Fair Value through Profit or Loss", transaction costs are added to fair value or deducted from fair value.

The Branch recognize a financial asset into financial statements when it becomes a party to the contractual terms of a financial instrument. During the first recognition of a financial asset into the financial statements, business model determined by Branch management and the nature of contractual cash flows of the financial asset are taken into consideration.

a. Financial assets at fair value through profit or loss

Financial assets at fair value through profit/loss” are financial assets other than the ones that are managed with business model that aims to hold to collect contractual cash flows or business model that aims to collect both the contractual cash flows and cash flows arising from the sale of the assets; and if the contractual terms of the financial asset do not lead to cash flows representing solely payments of principal and interest at certain date; that are either acquired for generating a profit from short-term fluctuations in prices or are financial assets included in a portfolio aiming to short-term profit making. Financial assets at the fair value through profit or loss are initially recognized at fair value and remeasured at their fair value after recognition. All gains and losses arising from these valuations are reflected in the income statement.

Marketable securities that are classified as financial assets at fair value through profit or loss are accounted with their fair values.

Accounting policies related to derivative financial instruments at fair value through profit or loss are explained in Section III. Footnote IV.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VII. EXPLANATIONS ON FINANCIAL ASSETS (Continued)

b. Financial Assets at Fair Value Through Other Comprehensive Income:

In addition to Financial assets within a business model that aims to hold to collect contractual cash flows and aims to hold to sell, financial asset with contractual terms that lead to cash flows are solely payments of principal and interest at certain dates, they are classified as fair value through other comprehensive income.

Financial assets at fair value through other comprehensive income are recognized by adding transaction cost to acquisition cost reflecting the fair value of the financial asset. After the recognition, financial assets at fair value through other comprehensive income are remeasured at fair value. Interest income calculated with effective interest rate method arising from financial assets at fair value through other comprehensive income and dividend income from equity securities are recorded to income statement. "Unrealized gains and losses" arising from the difference between the amortized cost and the fair value of financial assets at fair value through other comprehensive income are not reflected in the income statement of the period until the acquisition of the asset, sale of the asset, the disposal of the asset, and impairment of the asset and they are accounted under the "Accumulated other comprehensive income or expense to be reclassified through profit or loss" under shareholders' equity. Accumulated fair value differences under equity are reflected to the income statement when such securities are collected or disposed.

During initial recognition the Branch can choose in an irrevocable was to record the changes of the fair value of the investment in an equity instrument that is not held for trading purposes in the other comprehensive income. In the case of this preference, the dividend from the investment is taken into the financial statements as profit or loss.

Equity securities, which are classified as financial assets at fair value through other comprehensive income, that have a quoted market price in an active market and whose fair values can be reliably measured are carried at fair value. Equity securities that do not have a quoted market price in an active market and whose fair values cannot be reliably measured are carried at cost.

c. Financial Assets Measured at Amortized Cost:

Financial assets measured at amortized cost:

Financial assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are classified as financial assets measured at amortized cost.

Financial assets measured at amortized cost are initially recognized at acquisition cost including the transaction costs which reflect the fair value of those instruments and subsequently recognized at amortized cost by using effective interest rate method. Interest income obtained from financial assets measured at amortized cost is accounted in income statement.

Loans:

Loans are financial assets that have fixed or determinable payments terms and are not quoted in an active market. Loans are initially recognized at acquisition cost plus transaction costs presenting their fair value and thereafter measured at amortised cost using the "Effective Interest Rate (internal rate of return) Method".

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

VIII. EXPLANATIONS ON IMPAIRMENT OF FINANCIAL ASSETS

Within the scope of the authorization granted to the Branch from BRSA numbered 32521522-101.02.02.-E.225 and dated 5 January 2018, the Branch has not applied the provisions regarding the impairment of TFRS 9 effective as of 1 January 2018.

The Branch calculated and accounted allowances for impairment of financial assets in accordance with the "Regulation on the Procedures and Principles for Classification of Loans by Banks and Provisions to be set aside " published in the Official Gazette No. 29750 dated 22 June 2016 and effective as of 1 January 2018, "General and specific provisions to be allocated to banks that do not apply TFRS 9 ".

IX. EXPLANATIONS ON OFFSETTING FINANCIAL INSTRUMENTS

In cases where the fair values of financial assets at fair value through other comprehensive income are less then their recorded values, a provision for impairment is allocated, and the net value is shown on the balance sheet.

The Branch provides specific allowances for loan and other receivables in accordance with "Methods and Principles for the Determination of Loans and other Receivables to be Reserved for and Allocation of Reserves" and offset against overdue loans in the assets.

Financial assets and liabilities are offset and the net amount is reported in the balance sheet when the Branch has a legally enforceable right to offset the recognised amounts and there is an intention to collect/pay related financial assets and liabilities on a net basis or to realise the asset and settle the liability simultaneously.

X. EXPLANATIONS ON SALES AND REPURCHASE AGREEMENTS AND SECURITIES LENDING TRANSACTIONS

Securities subject to repurchase agreements ("repo") are classified as "Fair value difference through profit or loss", "Available-for-sale" and "Held-to-maturity" according to the investment purposes of the Branch and measured according to the portfolio to which they belong. Funds obtained from repurchase agreements are accounted under "Funds Provided under Repurchase Agreements" in liabilities and the difference between the sale and repurchase price is accrued over the life of repurchase agreements using the "effective interest method".

Funds given against securities purchased under agreements ("reverse repo") to resell are accounted under "Receivables from Reverse Repurchase Agreements" in the balance sheet. The difference between the purchase and determined resell price is accrued over the life of repurchase agreements using the "effective interest method".

The Branch has no sales and repurchase agreements and securities lending transactions as of 31 December 2018 and 31 December 2017.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira (“TL”).

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XI. ASSETS HELD FOR SALE AND DISCONTINUED OPERATIONS AND EXPLANATIONS ON OBLIGATIONS RELATED TO THESE ASSETS:

The Branch has no discontinued operations and obligations related to these assets as at the balance sheet date (31 December 2017: None).

XII. EXPLANATIONS ON GOODWILL AND OTHER INTANGIBLE ASSETS:

The Branch has no goodwill as of 31 December 2018 and 31 December 2017.

Intangible assets consist of softwares. The intangible assets are amortized in their useful lifes, between 3 and 5 years, on a straight-line basis. At the balance sheet date TL 303 of amortization expense (31 December 2017: TL 240).

XIII. EXPLANATIONS ON TANGIBLE FIXED ASSETS

Property and equipment is measured at its cost when initially recognised and any directly attributable costs of setting the asset in working order for its intended use are included in the initial measurement. Subsequently, property and equipment is carried at cost less accumulated depreciation and impairment, if any.

Depreciation is calculated over of the cost of property and equipment using the straight-line method. The expected useful lives are stated below:

Buildings	50 year
Furniture, fixture and vehicles	5 year

The depreciation charge for items remaining in property and equipment for less than an accounting period at the balance sheet date is calculated in proportion to the period the item remained in property and equipment.

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written-down immediately to its recoverable amount and the impairment for the diminution in value is charged to the income statement.

Gains and losses on the disposal of property and equipment are determined by deducting the net book value of the property and equipment from its sales revenue.

Expenditures for the repair and renewal of property and equipment are recognised as expense. The capital expenditures made in order to increase the capacity of the tangible asset or to increase its future benefits are capitalised over the cost of the tangible asset. The capital expenditures include the cost components which are used either to increase the useful life or the capacity of the asset or the quality of the product or to decrease the costs.

There are no pledges, mortgages or purchase commitments on property and equipment as of 31 December 2018 and 31 December 2017.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XIV. EXPLANATIONS ON LEASING TRANSACTIONS:

The Branch has no leasing transactions as of 31 December 2018 and 31 December 2017.

XV. EXPLANATIONS ON PROVISIONS AND CONTINGENT COMMITMENTS:

Provisions and contingent liabilities are accounted in accordance with “Turkish Accounting Standard for Provisions, Contingent Liabilities and Contingent Assets” (“TAS 37”).

Provisions are recognised when the Branch has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made. The provision for contingent liabilities arising from past events should be recognised in the same period of occurrence in accordance with the matching principle. When the amount of the obligation cannot be estimated and there is no possibility of an outflow of resources from the Branch, it is considered that a “contingent” liability exists and it is disclosed in the related notes to the financial statements.

XVI. EXPLANATIONS ON OBLIGATIONS RELATED TO EMPLOYEE RIGHTS:

a. Defined Benefit Plans:

Under the Turkish Labour Law, the Branch is obliged to pay a certain employment termination benefit to the employees who have been retired or whose employment is terminated other than the reasons specified in the Turkish Labour Law.

In accordance with “Turkish Accounting Standard for Employee Rights” (“TAS 19”) the reserve for employment termination benefits is calculated by using Projection Method based on personnel service completion time and previous experience gained. The reserve for employment termination benefits is discounted by the rate of return of the government bonds at the balance sheet date.

Branch Management has evaluated the impact of the actuarial profit/loss for calculating the employment termination benefit on the current balance sheets and recognized the effect in the statement of income, since it’s not material for the financial statements.

The Branch has no employees who are members of any foundation or likewise corporations.

b. Defined Contribution Plans:

In accordance with the law the Branch is obliged to pay a contribution fee to Social Security Institution (“SSI”) on behalf of the employees. The Branch has no other payment obligations to employees or “SSI”. These contribution fees are reflected to personnel expenses at the date of accrual.

c. Short-Term Benefits to Employees:

Vacation fees defined as “Short-Term Benefits to Employees” in accordance with “Turkish Accounting Standard for Employee Rights” (“TAS 19”) are accrued in the periods that they were entitled to and they cannot be discounted.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVII. EXPLANATIONS ON TAXATION

a. Current tax:

In Turkey, corporate tax rate is 20%. However, according to Law No: 7061 "The Law regarding amendments on Certain Tax Laws and their implications on Deferred Tax Calculations" published in the Official Gazette dated 5 December 2017, corporate tax rate will be applied as 22% for the three year period between 2018 and 2020. The corporate tax rate is applied to tax base which is calculated by adding certain non deductible expenses for tax purposes and deducting certain exemptions (like dividend income) and exclusion of deductions on accounting income. If there is no dividend distribution, no further tax charges are made.

Dividends paid to non-resident corporations, which have a place of business in Turkey or are resident corporations, are not subject to withholding tax. Otherwise, dividends paid are subject to withholding tax at the rate of 15% after 23 July 2006. An increase in capital via issuing bonus shares is not considered as profit distribution and thus does not incur withholding tax.

Corporations are required to pay advance corporate tax quarterly at a rate of 20% on their corporate income with current rate. Advance tax is declared by the 14th day and paid by the 17th day of the second month following each calendar quarter end. Advance tax paid by corporations which is for the current period is credited against the annual corporation tax calculated on their annual corporate income in the following year. Despite the offset, if there is temporary prepaid tax remaining, this balance can be refunded or used to offset any other financial liabilities to the government.

A 75% portion of the capital gains derived from the sale of equity investments and 50% for immovable sales, if such gains are added to paid-in capital or held in a special account under shareholders' equity for five years.

Under the Turkish Corporate Tax Law, losses can be carried forward to offset against future taxable income for up to five years. Tax losses cannot be carried back to offset profits from previous periods.

In Turkey, there is no procedure for a final and definitive agreement on tax assessments. Companies file their tax returns until the 25th day of the following fourth month after the closing of the accounting year to which they relate. Tax returns are open for five years from the beginning of the year following the date of filing during this period the tax authorities have the right to audit tax returns, and the related accounting records on which they are based, and may issue re-assessments based on their findings.

Current tax, related to items recognized directly in equity is also credited or charged directly to equity.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XVII. EXPLANATIONS ON TAXATION (Continued)

b. Deferred Tax:

The Branch calculates and accounts for deferred income taxes for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in these financial statements in accordance with "Turkish Accounting Standard for Income Taxes" ("TAS 12") and the related decrees of the BRSA concerning income taxes. In the deferred tax calculation, the enacted tax rate, in accordance with the tax legislation, is used as of the balance sheet date.

Deferred tax liabilities are recognized for all resulting temporary differences whereas deferred tax assets resulting from temporary differences are recognized to the extent that it is probable that future taxable profit will be available against which the deferred tax assets can be utilized. The calculated deferred tax assets and deferred tax liabilities are presented on a net basis in these financial statements.

Deferred tax, related to items recognized directly in equity is also credited or charged directly to equity.

Deferred tax benefit balance resulting from netting of deferred tax assets and liabilities should not be used in dividend distribution and capital increase

XVIII. EXPLANATIONS ON BORROWINGS

Trading financial liabilities and derivative instruments are valued at the fair value and other financial liabilities are carried at amortised cost using the "effective interest method".

The Bank utilises various hedging techniques to minimise the liquidity, interest rate and currency risks of its financial liabilities. The Branch has no marketable securities issued and convertible bonds.

XIX. EXPLANATIONS ON ISSUANCE OF SHARE CERTIFICATES:

Direct transaction costs regarding the issuance of share certificates are recorded under shareholders' equity after eliminating the tax effects. The Branch has no share certificates issued as of 31 December 2018 and 31 December 2017.

XX. EXPLANATIONS ON ACCEPTANCES AND AVAILED DRAFTS:

Avalied drafts and acceptances are the contingent liabilities of the Branch and are included in the off-balance sheet commitments.

XXI. EXPLANATIONS ON GOVERNMENT GRANTS:

The Branch has no government grants at as of 31 December 2018 and 31 December 2017.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXII. EXPLANATIONS ON PROFIT RESERVES AND PROFIT APPROPRIATION:

Retained earnings are available for profit distribution, subject to the written permission of BRSA.

XXIII. EXPLANATIONS ON EARNINGS PER SHARE:

Earnings per share disclosed in the income statement is calculated by dividing net profit for the year to the weighted average number of shares outstanding during the period concerned. In Turkey, companies can increase their share capital by making a pro-rata distribution of shares "bonus shares" to existing shareholders from retained earnings. Such "bonus shares" distributions are treated as issued shares in earnings per share calculations. Accordingly, the weighted average number of shares used in these calculations is determined by taking into account the retrospective effects of such share issuances. If the issued share price increases after the balance sheet date but only because of the distribution of the bonus shares prior to the preparation date of the financial statements, the calculation of earnings per share is made considering the total new share name. Earnings per share have not been calculated since the branch is not publicly traded.

XXIV. EXPLANATIONS ON RELATED PARTIES:

For the purpose of these financial statements, shareholders, key management personnel and board members together with their families and companies controlled by/affiliated with them, and associated companies are considered and referred to as related parties in accordance with "Turkish Accounting Standard for Related Parties" ("TAS 24"). The transactions with related parties are disclosed in detail in Note VII of Section Five.

XXV. EXPLANATIONS ON CASH AND CASH EQUIVALENTS:

For the purposes of the cash flow statement, cash includes cash, effectives and demand deposits including balances with the Central Bank; and cash equivalents include interbank money market placements and time deposits at banks with original maturity periods of less than three months.

XXVI. EXPLANATIONS ON SEGMENT REPORTING:

Information related with areas of operations of the bank prepared in line with the organizational and internal reporting structure of the branch and in accordance with "Turkish Financial Reporting Standards related with Segment Reporting" ("TFRS 8") are disclosed.

The Branch manages its banking operations through three strategic business units: Retail banking, Corporate and Commercial banking and Treasury operations.

Retail banking provides deposits and loans to individual and small business customers. Other products and services include foreign currency exchange, cheques and bills and money orders.

Corporate and Commercial banking provided corporate and commercial customers financial solutions and banking services. Products and services include FC and TL loans, foreign trade finance, domestic and international non-cash credit line facilities such as letters of credit and guarantees, foreign exchange and deposits.

Treasury operations are managed by the Treasury Department. The Treasury Department has transactions such as purchases-sales of domestic marketable securities and TL and FC placement transactions.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXVI. EXPLANATIONS ON SEGMENT REPORTING:(Continued)

Informations about the operating segments as of 31 December 2018 are presented on the table below:

	Retail Banking	Corporate and Commercial Banking	Treasury	Other (*)	Total operations of the Branch
1 January - 31 December 2018					
Interest Income	15	315	138.415	-	138.745
Net Fees and Commissions Income	-	40.052	-	-	40.052
Other Operating Income and Trading Income/(Loss) (Net)	-	23.461	-	-	23.461
Operating Revenue	**15**	**63.828**	**138.415**	**-**	**202.258**
Interest Expense	-	(1.629)	(10.357)	-	(11.986)
Other Operating Expenses and Provision for Impairment of Loans and Other Receivables	(2.594)	(15.135)	(4.324)	-	(22.053)
Operating Expense	**(2.594)**	**(16.764)**	**(14.681)**	**-**	**(34.039)**
Operating Profit	**(2.579)**	**47.064**	**123.734**	**-**	**168.219**
Profit Before Tax	-	-	-	**168.219**	**168.219**
Corporate Tax	-	-	-	(37.268)	(37.268)
Net Profit	-	-	-	**130.951**	**130.951**
31 December 2018					
Segment Assets (1)	1.059	4.872	973.611	12.205	991.747
Total Assets	**1.059**	**4.872**	**973.611**	**12.205**	**991.747**
Segment Liabilities (1)	37.682	97.737	413.433	20.639	569.491
Shareholders' Equity	-	-	-	422.256	422.256
Total Liabilities	**37.682**	**97.737**	**413.433**	**442.895**	**991.747**

(1) Segment assets in the other column amount to TL 12.205; TRL 8.506 includes property, plant and equipment, TL 352 of intangible assets, TL 854 of deferred tax asset and TL 2,493 of other assets, and TL 20.639 of other liabilities comprise TL 6.359 of other liabilities, TL 6.669 of provisions and TL 7.611 of current tax liability.

	Retail Banking	Corporate and Commercial Banking	Treasury	Other (*)	Total operations of the Branch
1 January-31 December 2017					
Interest Income	12	459	46.455	-	46.926
Net Fees and Commissions Income	-	26.527	-	-	26.527
Other Operating Income and Trading Income/(Loss) (Net)	-	11.660	-	-	11.660
Operating Revenue	**12**	**38.646**	**46.455**	**-**	**85.113**
Interest Expense	(4)	(477)	(2.673)	-	(3.154)
Other Operating Expense and Provision for Loan Losses and Other Receivables	(1.882)	(10.663)	(3.136)	-	(15.681)
Operating Expense	**(1.886)**	**(11.140)**	**(5.809)**	**-**	**(18.835)**
Operating Profit	**(1.874)**	**27.506**	**40.646**	**-**	**66.278**
	-	-	-	-	-
Profit Before Tax	-	-	-	**66.278**	**66.278**
Corporate Tax	-	-	-	(13.389)	(13.389)
Net Profit	-	-	-	**52.889**	**52.889**
31 December 2017					
Segment Assets (1)	2.819	5.133	993.687	10.999	1.012.638
Total Assets	**2.819**	**5.133**	**993.687**	**10.999**	**1.012.638**
Segment Liabilities (*)	5.456	192.941	510.498	11.368	720.263
Shareholders' Equity	-	-	-	292.375	292.375
Total Liabilities	**5.456**	**192.941**	**510.498**	**303.743**	**1.012.638**

(1) Segment Assets" in "Other" column amounting to TL 10.999 include tangible assets amounting to TL 8.930, intangible assets amounting to TL 452, tax assets amounting to TL 662 and other assets amounting to TL 955; "Segment Liabilities" in the "Other" column amounting to TL 11.368 include other liabilities amounting to TL 2.517, provisions amounting to TL 4.852 and tax liability amounting to TL 3.999.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXVII. RECLASSIFICATIONS

There are no reclassifications to the 31 December 2018 financial statements in order to be in conformity with the financial statements as of 31 December 2017.

XXVIII. OTHER INFORMATION

None.

XXIX. EXPLANATION ON TFRS 9 FINANCIAL INSTRUMENTS STANDARD

TFRS 9; Financial Instruments ("TFRS 9") has been adopted to replace TAS 39 Financial Instruments: Recognition and Measurement as of 1 January 2018, as issued by Public Oversight Accounting and Auditing Standards Authority published in the Official Gazette No. 29953 dated 19 January 2017.

TFRS 9 standard sets out the new principles for the classification and measurement of financial instruments, impairment for credit risk on financial assets and hedge accounting.

a. Classification and measurement of financial instruments

According to TFRS 9, each financial asset will be classified as either amortized cost, fair value through profit or loss ("FVPL"), or fair value through other comprehensive income ("FVOCI") in accordance with the business model that is determined by the Branch in terms of the manner in which assets are managed and the contractual cash flow characteristics. The business model is determined by the Bank in terms of the manner in which assets are managed and their performance is reported.

	Before TFRS 9		**In scope of TFRS 9**	
	Measurement Bases	**Book value**	**Measurement Bases**	**Book value**
Financial assets		**31 December 2017**		**1 January 2018**
Cash Balances and Central Bank	Measured at amortised cost	133.408	Measured at amortised cost	133.408
Banks and Money Markets	Measured at amortised cost	483.515	Measured at amortised cost	483.515
Marketable Securities	Fair value through profit or loss	-	Fair value through profit or loss (*)	755
	Fair value through other comprehensive income (Available for sale)	376.764	Fair value through other comprehensive income	376.009
	Measured at amortised cost	-	Measured at amortised cost	-
Derivative Financial Assets	Fair value through profit or loss (Held for sale)	-	Fair value through profit or loss	-
	Fair value through other comprehensive income	-	Fair value through other comprehensive income	-
Loans	Measured at mortised cost	7.952	Measured at amortised cost	7.952

(*) Shares that are measured as fair value through other comprehensive income before TFRS 9, are classified as fair value through profit or loss in scope of TFRS 9.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXIX. EXPLANATION ON TFRS 9 FINANCIAL INSTRUMENTS STANDARD (Continued)

a) Allowances for impairment

Within the scope of the authorization granted to the Branch from BRSA numbered 32521522-101.02.02.-E.225 and dated 5 January 2018, the Branch has not applied the provisions regarding the impairment of TFRS 9 effective as of 1 January 2018. The Branch calculated and accounted allowances for impairment of financial assets in accordance with the "Regulation on the Procedures and Principles for Classification of Loans by Banks and Provisions to be set aside" effective as of 1 January 2018, within the scope of the authorization granted to from BRSA by making justifications about the Branch's asset and liability structure and credit volume within the scope of Article 9, paragraph 6 of the Regulation, the method of provision calculation is not according to the TFRS 9 excpected credit loss model, until otherwise decided, in accordance with the "General and specific provisions to be allocated to banks that do not apply TFRS 9" within the scope of 10th, 11th, 13th and 15th articles of the Regulation.

b) Equity impacts of TFRS 9 transition

According to paragraph 15 of Article 7 of TFRS 9 Financial Instruments Standards published in the Official Gazette numbered 29953 dated 19 January 2017, it is not compulsory to restate previous period information at initial application of TFRS 9 and if the previous period information is not restated, the difference between the book value of 1 January 2018 at the date of initial application should be reflected in the opening balance of equity. The explanations about the initial application effects of TFRS 9 on equity presented below.

The Branch, has reclassified its financial investments in accordance with TFRS 9 without changing measurement requirements in the related categorizes as the previous categorizes are not valid within the scope of TFRS 9.

The Branch calculated and accounted allowances for impairment of financial assets in accordance with the "General and specific provisions to be allocated to banks that do not apply TFRS 9" of the "Regulation on the Procedures and Principles for Classification of Loans by Banks and Provisions to be set aside" effective as of 1 January 2018. Therefore there is no equity impact of TFRS 9 transition in the current period.

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXX. EXPLANATIONS ON PRIOR PERIOD ACCOUNTING POLICIES NOT VALID FOR THE CURRENT PERIOD

"TFRS 9 Financial Instruments" standard came into effect instead of "TAS 39 Financial Instruments: Recognition and Measurement" as of 1 January 2018. Accounting policies lost their validity with the transition of TFRS 9 are given below:

a. Financial Assets at Fair Value through Profit or Loss:

This category has two subcategories: "Trading financial assets" and "Financial assets designated at fair value through profit/loss at initial recognition".

Trading financial assets are financial assets which are either acquired for generating a profit from short-term fluctuations in prices or are financial assets included in a portfolio aiming at short-term profit making.

All regular purchases and sales of trading financial assets are recognized at the settlement date, which is the date that the asset is delivered to/from the Bank. Trading financial assets are initially recognized at fair value and remeasured at their fair value after recognition. Fair values of securities that are traded in active markets are determined based on quoted prices. All gains and losses arising from these valuations are reflected in the income statement. Interest earned while holding trading financial assets is accounted as interest income and dividends received are included separately in dividend income.

Derivative financial assets are classified as trading financial assets unless they are used for hedging purposes.

The Branch has no financial assets designated as financial assets at fair value through profit or loss.

b. Loans and Receivables:

Loans and receivables are financial assets raised thrpugh lending, providing services or products. Assets in this subject are reflected in the balance sheet measured at amortised cost using effective interest rate method.

If the collectability of any receivable is identified as limited or doubtful by the management through assessments and estimates; the Branch, as per the provisions "Communiqué Related to Principles and Procedures on Determining the Qualifications of Banks' Loans and Other Receivables and the Provision for These Loans and Other Receivables" as published in the Official Gazette dated 1 November 2006 with No. 26333, categorizes them under group III, IV and V loans and provides specific provisions. The Bank may allocate specific provisions above the minimum rates as provided for the tier of the relevant loans which are financially weak and/or insolvent loans.

Provision expense is recognized in the income statement. Uncollectible receivables are written-off after all the legal procedures are finalized. If there is a subsequent collection from a receivable which has already been provisioned in previous years, the recovery amount is classified under "Other Operating Income".

EXPLANATIONS ON ACCOUNTING POLICIES (Continued)

XXX. EXPLANATIONS ON PRIOR PERIOD ACCOUNTING POLICIES NOT VALID FOR THE CURRENT PERIOD (Continued)

c. Held-to-maturity financial assets:

Held-to-maturity financial assets are assets that are not classified under "loans and receivables" with fixed maturities and fixed or determinable payments where management has the intent and ability to hold the financial assets to maturity. Held-to-maturity financial assets are initially recognised at cost, and subsequently carried at amortised cost using the "effective yield method"; interest earned whilst holding held-to-maturity securities is reported as interest income. Interest income from held-to-maturity financial assets is reflected in the income statement.

There are no financial assets that were previously classified as held-to-maturity but which cannot be subject to this classification for two years due to the contradiction of classification principles.

The Branch has no financial assets that are classified as held-to-maturity as of 31 December 2018 and 31 December 2017.

d. Available-for-sale financial assets:

Debt securities classified as available-for-sale financial assets are subsequently remeasured at fair value. Unrealised gains and losses arising from changes in the fair value of securities classified as available-for-sale are recognised in shareholders' equity as "Marketable securities value increase fund", unless there is a permanent decline in the fair values of such assets or they are disposed of. When these securities are disposed of or impaired, the related fair value differences accumulated in the shareholders' equity are transferred to the income statement.

e. Explanations on impairment of financial assets

Impairment loss incurs if, there is objective evidence that the expected future cash flows of financial assets or group of financial aaset are adversely affected by an event "loss event" incurred subsequent to recognition. The Branch recognizes provisions for the impairment of financial assets, recognizes under loss accounts.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

SECTION FOUR

INFORMATION RELATED TO FINANCIAL STRUCTURE OF THE BRANCH

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY:

Total capital and capital adequacy ratio have been calculated in accordance with the "Regulation on Equity of Banks" and "Regulation on Measurement and Assessment of Capital Adequacy of Banks". The capital adequacy ratio of the Branch is 105,50% (31 December 2017: 62,83%).

a. Information on shareholders' equity:

	31 December 2018	**Amount for application before 1/1/2014 (*)**
Common Equity Tier I Capital		
Paid-in Capital to be Entitled for Compensation after All Creditors	200.000	
Share Premiums	-	
Reserves	662	
Gains reflected to equity according to Turkish Accounting Standards (TAS)	-	
Profit	223.572	
Current Period Profit	130.951	
Prior Period Profit	92.621	
Bonus Shares from Associates, Subsidiaries and Joint-Ventures not Accounted in Current Period's Profit	-	
Minority Interest	-	
Common Equity Tier I Capital Before Deductions	**424.234**	
Deductions From Common Equity Tier I Capital		
Valuation adjustments calculated as per the article 9. (i) of the Regulation on Bank Capital	-	-
Current and Prior Periods' Losses not Covered by Reserves, and Losses Accounted under Equity according to TAS (-)	(1.978)	-
Leasehold Improvements on Operational Leases (-)	-	-
Goodwill Netted with Deferred Tax Liabilities	-	-
Other Intangible Assets Netted with Deferred Tax Liabilities Except Mortgage Servicing Rights	(352)	(352)
Net Deferred Tax Asset/Liability (-)	(854)	-
Differences arise when assets and liabilities not held at fair value, are subjected to cash flow hedge accounting	-	-
Total credit losses that exceed total expected loss calculated according to the Regulation on Calculation of Credit Risk by Internal Ratings Based Approach	-	-
Securitization gains	-	-
Unrealized gains and losses from changes in bank's liabilities' fair values due to changes in creditworthiness	-	-
Net amount of defined benefit plans	-	-
Direct and Indirect Investments of the Bank on its own Tier I Capital (-)	-	-
Shares Obtained against Article 56, Paragraph 4 of the Banking Law (-)	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
Mortgage Servicing Rights Exceeding the 10% Threshold of Tier I Capital (-)	-	-
Net Deferred Tax Assets arising from Temporary Differences Exceeding the10% Threshold of Tier I Capital (-)	-	-
Amount Exceeding the 15% Threshold of Tier I Capital as per the Article 2, Clause 2 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital not deducted from Tier I Capital (-)	-	-
Mortgage Servicing Rights not deducted (-)	-	-
Excess Amount arising from Deferred Tax Assets from Temporary Differences (-)	-	-
Other items to be Defined by the BRSA (-)	-	-
Deductions from Tier I Capital in cases where there are no adequate Additional Tier I or Tier II Capitals (-)	-	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

	31 December 2018	Amount for application before 1/1/2014 (*)
Total Deductions from Common Equity Tier I Capital	**(3.184)**	
Total Common Equity Tier I Capital	**421.050**	
ADDITIONAL TIER I CAPITAL		
Preferred Stock not Included in Common Equity Tier I Capital and the Related Share Premiums	-	
Debt Instruments and the Related Issuance Premiums Defined by the BRSA	-	
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Covered by Temporary Article 4)	-	
Additional Tier I Capital before Deductions	-	
Deductions from Additional Tier I Capital		
Direct and Indirect Investments of the Bank on its own Additional Tier I Capital (-)	-	-
Investments in Equity Instruments Issued by Banks or Financial Institutions Invested in Bank's Additional Tier I Capital and Having Conditions Stated in the Article 7 of the Regulation	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital (-)	-	-
Other items to be defined by the BRSA (-)	-	-
Items to be Deducted from Tier I Capital during the Transition Period	-	-
Goodwill and Other Intangible Assets and Related Deferred Taxes not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-	-
Net Deferred Tax Asset/Liability not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-	-
Deduction from Additional Tier I Capital when there is not enough Tier II Capital (-)	-	-
Total Deductions from Additional Tier I Capital	-	-
Total Additional Tier I Capital	-	-
Total Tier I Capital (Tier I Capital= Common Equity Tier I Capital + Additional Tier I Capital)	**421.050**	
TIER II CAPITAL		
Debt Instruments and the Related Issuance Premiums Defined by the BRSA	-	
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Covered by Temporary Article 4)	-	
Provisions (Amounts explained in the first paragraph of the article 8 of the Regulation on Bank Capital)	2.916	
Total Deductions from Tier II Capital	**2.916**	
Deductions from Tier II Capital		
Direct and Indirect Investments of the Bank on its own Tier II Capital (-)	-	-
Investments in Equity Instruments Issued by Banks and Financial Institutions Invested in Bank's Tier II Capital and Having Conditions Stated in the Article 8 of the Regulation	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital and Tier II Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of Tier I Capital (-)	-	-
Other items to be defined by the BRSA (-)	-	-
Total Deductions from Tier II Capital	-	
Total Tier II Capital	**2.916**	
Total Equity (Total Tier I and Tier II Capital)	**423.966**	
Total Tier I Capital and Tier II Capital (Total Equity)	-	
Loans Granted against the Articles 50 and 51 of the Banking Law (-)	-	
Net Book Values of Movables and Immovables Exceeding the Limit Defined in the Article 57, Clause 1 of the Banking Law and the Assets Acquired against Overdue Receivables and Held for Sale but Retained more than Five Years (-)	-	
Other items to be Defined by the BRSA (-)	-	

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

	31 December 2018	Amount for application before 1/1/2014 (*)
Items to be Deducted from the Sum of Tier I and Tier II Capital (Capital) During the Transition Period		
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Tier I Capital, Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital, of the Net Deferred Tax Assets arising from Temporary Differences and of the Mortgage Servicing Rights not deducted from Tier I Capital as per the Temporary Article 2, Clause 2, Paragraph (1) and (2) and Temporary Article 2, Clause 1 of the Regulation (-)	-	-
CAPITAL		
Total Capital (Total of Tier I Capital and Tier II Capital)	423.966	-
Total Risk Weighted Assets	401.848	-
CAPITAL ADEQUACY RATIOS		
Core Capital Adequacy Ratio (%)	104,78	-
Tier I Capital Adequacy Ratio (%)	104,78	-
Capital Adequacy Ratio (%)	105,50	-
BUFFERS		
Bank-specific total CET1 Capital Ratio	-	-
Capital Conservation Buffer Ratio (%)	1,875	-
Bank-specific Counter-Cyclical Capital Buffer Ratio (%)	-	-
Additional CET1 Capital Over Total Risk Weighted Assets Ratio Calculated According to the Article 4 of Capital Conservation and Counter-Cyclical Capital Buffers Regulation	-	-
Amounts Lower Than Excesses as per Deduction Rules	-	-
Remaining Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital		
Remaining Total of Net Long Positions of the Investments in Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% or less of the Issued Share Capital	-	-
Remaining Mortgage Servicing Rights	-	-
Net Deferred Tax Assets arising from Temporary Differences	-	-
Limits for Provisions Used in Tier II Capital Calculation	-	-
General Loan Provisions for Exposures in Standard Approach (before limit of one hundred and twenty five per ten thousand)		
General Loan Provisions for Exposures in Standard Approach Limited by 1.25% of Risk Weighted Assets	3.074	-
Total Loan Provision that Exceeds Total Expected Loss Calculated According to Communiqué on Calculation of Credit Risk by Internal Ratings Based Approach	2.916	-
Total Loan Provision that Exceeds Total Expected Loss Calculated According to Communiqué on Calculation of Credit Risk by Internal Ratings Based Approach, Limited by 0.6% Risk Weighted Assets	-	-
Debt Instruments Covered by Temporary Article 4 (effective between 1.1.2018-1.1.2022)	-	-
Upper Limit for Additional Tier I Capital Items subject to Temporary Article 4		
Amount of Additional Tier I Capital Items Subject to Temporary Article 4 that Exceeds Upper Limit		
Upper Limit for Additional Tier II Capital Items subject to Temporary Article 4	-	-
Amount of Additional Tier II Capital Items Subject to Temporary Article 4 that Exceeds Upper Limit	-	-
Bank-specific total CET1 Capital Ratio	-	-
Capital Conservation Buffer Ratio (%)	-	-

(*) Amounts represent the amounts of items to be taken into consideration and subject to transition provisions in accordance with Temporary Articles of "Regulation on the Equity of Banks".

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued

I. EXPLANATIONS ON SHAREHOLDERS EQUITY (Continued)

	31 December 2017	**Amount for application before 1/1/2014 (*)**
Common Equity Tier I Capital	**293.283**	
Paid-in Capital to be Entitled for Compensation after All Creditors	200.000	
Share Premiums	-	
Reserves	698	
Gains reflected to equity according to Turkish Accounting Standards (TAS)	-	
Profit	92.585	
Current Period Profit	52.889	
Prior Period Profit	39.696	
Bonus Shares from Associates, Subsidiaries and Joint-Ventures not Accounted in Current Period's Profit	-	
Minority Interest		
Common Equity Tier I Capital Before Deductions	-	
Deductions From Common Equity Tier I Capital	**293.283**	
Valuation adjustments calculated as per the article 9. (i) of the Regulation on Bank Capital		
Current and Prior Periods' Losses not Covered by Reserves, and Losses Accounted under Equity according to TAS (-)	-	-
Leasehold Improvements on Operational Leases (-)	(908)	-
Goodwill Netted with Deferred Tax Liabilities	-	-
Other Intangible Assets Netted with Deferred Tax Liabilities Except Mortgage Servicing Rights	-	-
Net Deferred Tax Asset/Liability (-)	(362)	(362)
Differences arise when assets and liabilities not held at fair value, are subjected to cash flow hedge accounting	(530)	-
Total credit losses that exceed total expected loss calculated according to the Regulation on Calculation of Credit Risk by Internal Ratings Based Approach	-	-
Securitization gains	-	-
Unrealized gains and losses from changes in bank's liabilities' fair values due to changes in creditworthiness	-	-
Net amount of defined benefit plans	-	-
Direct and Indirect Investments of the Bank on its own Tier I Capital (-)	-	-
Shares Obtained against Article 56, Paragraph 4 of the Banking Law (-)	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
Mortgage Servicing Rights Exceeding the 10% Threshold of Tier I Capital (-)	-	-
Net Deferred Tax Assets arising from Temporary Differences Exceeding the10% Threshold of Tier I Capital (-)	-	-
Amount Exceeding the 15% Threshold of Tier I Capital as per the Article 2, Clause 2 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	-	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital not deducted from Tier I Capital (-)	-	-
Mortgage Servicing Rights not deducted (-)	-	-
Excess Amount arising from Deferred Tax Assets from Temporary Differences (-)	-	-
Other items to be Defined by the BRSA (-)	-	-
Common Equity Tier I Capital	-	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

	31 December 2017	**Amount for application before 1/1/2014 (*)**
Deductions from Tier I Capital in cases where there are no adequate Additional Tier I or Tier II Capitals (-)		
Total Deductions from Common Equity Tier I Capital	**(1.800)**	
Total Common Equity Tier I Capital	**291.483**	
ADDITIONAL TIER I CAPITAL	-	
Preferred Stock not Included in Common Equity Tier I Capital and the Related Share Premiums	-	
Debt Instruments and the Related Issuance Premiums Defined by the BRSA	-	
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Covered by Temporary Article 4)	-	
Third parties' shares in additional main capital	-	
The shares of third parties in additional main capital (those under Temporary Article 3)	-	
	-	
Additional Tier I Capital before Deductions	-	-
Deductions from Additional Tier I Capital	-	-
Direct and Indirect Investments of the Bank on its own Additional Tier I Capital (-)	-	-
Investments in Equity Instruments Issued by Banks or Financial Institutions Invested in Bank's Additional Tier I Capital and Having Conditions Stated in the Article 7 of the Regulation	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital (-)	-	-
Other items to be defined by the BRSA (-)	-	-
Items to be Deducted from Tier I Capital during the Transition Period	(90)	-
Goodwill and Other Intangible Assets and Related Deferred Taxes not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks (-)	(132)	-
Net Deferred Tax Asset/Liability not deducted from Tier I Capital as per the Temporary Article 2, Clause 1 of the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks **(-)**	-	-
Deduction from Additional Tier I Capital when there is not enough Tier II Capital (-)	**(222)**	-
Total Deductions from Additional Tier I Capital	-	-
Total Additional Tier I Capital	**291.261**	
Total Tier I Capital (Tier I Capital= Common Equity Tier I Capital + Additional Tier I Capital)	-	
TIER II CAPITAL	-	
Debt Instruments and the Related Issuance Premiums Defined by the BRSA	-	
Debt Instruments and the Related Issuance Premiums Defined by the BRSA (Covered by Temporary Article 4)	2.159	
Provisions (Amounts explained in the first paragraph of the article 8 of the Regulation on Bank Capital)	**2.159**	
Total Deductions from Tier II Capital	-	-
Deductions from Tier II Capital	-	-
Direct and Indirect Investments of the Bank on its own Tier II Capital (-)	-	-
Investments in Equity Instruments Issued by Banks and Financial Institutions Invested in Bank's Tier II Capital and Having Conditions Stated in the Article 8 of the Regulation	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital (-)	-	-
The Total of Net Long Position of the Direct or Indirect Investments in Additional Tier I Capital and Tier II Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital Exceeding the 10% Threshold of Tier I Capital (-)	-	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

	31 December 2017	Amount for application before 1/1/2014 (*)
Total Deductions from Tier II Capital	**-**	
Total Tier II Capital	**2.159**	
Total Equity (Total Tier I and Tier II Capital)	**293.420**	
Total Tier I Capital and Tier II Capital (Total Equity)	-	
Loans Granted against the Articles 50 and 51 of the Banking Law (-)	-	
Net Book Values of Movables and Immovables Exceeding the Limit Defined in the Article 57, Clause 1 ofthe Banking Law and the Assets Acquired against Overdue Receivables and Held for Sale but Retained more than Five Years (-)	-	
Other items to be Defined by the BRSA (-)	-	
Items to be Deducted from the Sum of Tier I and Tier II Capital (Capital) During the Transition Period	-	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Tier I Capital, Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-	-
The Portion of Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% of the Issued Share Capital Exceeding the 10% Threshold of above Tier I Capital not deducted from Additional Tier I Capital or Tier II Capital as per the Temporary Article 2, Clause 1 of the Regulation (-)	-	-
The Portion of Net Long Position of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or more of the Issued Share Capital, of the Net Deferred Tax Assets arising from Temporary Differences and of the Mortgage Servicing Rights not deducted from Tier I Capital as per the Temporary Article 2, Clause 2, Paragraph (1) and (2) and Temporary Article 2, Clause 1 of the Regulation (-)	-	-
CAPITAL	-	-
Total Capital (Total of Tier I Capital and Tier II Capital)	293.420	-
Total Risk Weighted Assets	467.013	-
CAPITAL ADEQUACY RATIOS		
CET1 Capital Ratio (%)	62,41	-
Tier I Capital Ratio (%)	62,37	-
Capital Adequacy Ratio (%)	62,83	-
BUFFERS		
Bank-specific total CET1 Capital Ratio	-	-
Capital Conservation Buffer Ratio (%)	1,25	-
Bank-specific Counter-Cyclical Capital Buffer Ratio (%)	-	-
Additional CET1 Capital Over Total Risk Weighted Assets Ratio Calculated According to the Article 4 of Capital Conservation and Counter-Cyclical Capital Buffers Regulation	-	-
Amounts Lower Than Excesses as per Deduction Rules		
Remaining Total of Net Long Positions of the Investments in Equity Items of Unconsolidated Banks and Financial Institutions where the Bank Owns 10% or less of the Issued Share Capital	-	-
Remaining Total of Net Long Positions of the Investments in Tier I Capital of Unconsolidated Banks and Financial Institutions where the Bank Owns more than 10% or less of the Issued Share Capital	-	-
Remaining Mortgage Servicing Rights	-	-
Net Deferred Tax Assets arising from Temporary Differences	-	-
Limits for Provisions Used in Tier II Capital Calculation		
General Loan Provisions for Exposures in Standard Approach (before limit of one hundred and twenty five per ten thousand)	2.159	-
General Loan Provisions for Exposures in Standard Approach Limited by 1.25% of Risk Weighted Assets	2.159	-
Total Loan Provision that Exceeds Total Expected Loss Calculated According to Communiqué on Calculation of Credit Risk by Internal Ratings Based Approach	-	-
Total Loan Provision that Exceeds Total Expected Loss Calculated According to Communiqué on Calculation of Credit Risk by Internal Ratings Based Approach, Limited by 0.6% Risk Weighted Assets	-	-
Debt Instruments Covered by Temporary Article 4 (effective between 1.1.2018-1.1.2022)		
Upper Limit for Additional Tier I Capital Items subject to Temporary Article 4		
Amount of Additional Tier I Capital Items Subject to Temporary Article 4 that Exceeds Upper Limit	-	-
Upper Limit for Additional Tier II Capital Items subject to Temporary Article 4	-	-
Amount of Additional Tier II Capital Items Subject to Temporary Article 4 that Exceeds Upper Limit	-	-
Total Deductions from Tier II Capital	-	-

(*) Amounts represent the amounts of items to be taken into consideration and subject to transition provisions in accordance with Temporary Articles of "Regulation on the Equity of Banks".

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

I. EXPLANATIONS ON SHAREHOLDERS 'EQUITY (Continued)

b. Items included in capital calculation:

None.

c. Reconciliation of capital items to balance sheet:

Current Period	*Carrying value*	*Amount of correction*	*Value of the capital report*	*Explanation of differences*
Paid-in capital	200.000	-	200.000	
Capital Reserves	-	-	-	
Other Comprehensive Income According to TAS	**(1.805)**	-	**(1.805)**	
Securities Value Increase Fund	(1.805)	-	(1.805)	
Revaluation Surplus on Tangible Assets	-	-	-	
Revaluation Surplus on Intangible Assets	-	-	-	
Revaluation Surplus on Investment Property	-	-	-	
Hedging Funds (Effective Portion)	-	-	-	
Accumulated valuation differences from assets held for sale and from discontinued operations				
Other Capital Reserves	(173)	-	(173)	
Bonus Shares from Investments in Associates, Subsidiaries and Joint Ventures (Business Partners)	-	-	-	
Share Premium	-	-	-	
Profit Reserves	662	-	662	
Profit or Loss	223.572	-	223.572	
Prior Periods Profit/Loss	92.621	-	92.621	
Current Period Net Profit/Loss	130.951	-	130.951	
Minority Shares	-	-	-	
Deductions from Common Equity Tier I Capital (-)	(1.206)		(1.206)	
Common Equity Tier I Capital	**421.050**		**421.050**	

Current Period	*Carrying value*	*Amount of correction*	*Value of the capital report*	*Explanation of differences*
Subordinated Debts			-	
Deductions from Tier I Capital (-)			-	
Tier I Capital			-	
Subordinated Debts			-	
General Provisions			2.916	
Deductions from Tier II Capital (-)			-	
Tier II Capital			**2.916**	
Deductions from Total Capital (-)			-	
Total			**423.966**	

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INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

I. EXPLANATIONS ON SHAREHOLDERS EQUITY (Continued)

c. Reconciliation of capital items to balance sheet (Continued):

Prior Period	*Carrying value*	*Amount of correction*	*Value of the capital report*	*Explanation of differences*
Paid-in capital	200.000	-	200.000	
Capital Reserves	-	-	-	
Other Comprehensive Income According to TAS	**(602)**	-	**(602)**	
Marketable Securities Valuation Differences	(602)	-	(602)	
Revaluation Surplus on Tangible Assets	-	-	-	
Revaluation Surplus on Intangible Assets	-	-	-	
Revaluation Surplus on Investment Property	-	-	-	
Hedging Funds (Effective Portion)	-	-	-	
Accumulated valuation differences from assets held for sale and from discontinued operations				
Other Capital Reserves	(306)	-	(306)	
Bonus Shares from Investments in Associates, Subsidiaries and Joint Ventures (Business Partners)	-	-	-	
Share Premium	-	-	-	
Profit Reserves	698	-	698	
Profit or Loss	92.585	-	92.585	
Prior Periods Profit/Loss	39.696	-	39.696	
Current Period Net Profit/Loss	52.889	-	52.889	
Minority Shares	-	-	-	
Deductions from Common Equity Tier I Capital (-)	(892)		(892)	
Common Equity Tier I Capital	**291.483**		**291.483**	

Prior Period	*Carrying value*	*Amount of correction*	*Value of the capital report*	*Explanation of differences*
Subordinated Debts			-	
Deductions from Tier I Capital (-)			(222)	
Tier I Capital			-	
Subordinated Debts			-	
General Provisions			2.159	
Deductions from Tier II Capital (-)			-	
Tier II Capital			**2.159**	
Deductions from Total Capital (-)			**(222)**	
Total			**293.420**	

d. Approaches applied to assess the adequacy of internal capital requirement in terms of current and future activities

The Branch prepares 'Internal Capital Assessment Process' document on the basis of 'Risk Management Policies and Implementation Procedures' approved by the Board of Managers on 27 November 2012 and updated on 27 April 2018. It has been aimed to determine the needed capital size in the period of next one year by evaluating and calculating effectively all risks that Branch will be met due to this document. Branch prepared taking into account the latest information 2017 "2018, 2019, 2020 Internal Capital Requirement Analysis" 29 March 2018, No. 12 was accepted by the Board of Managers. Branch prepared taking into account the latest information 2018 "2019, 2020, 2021 Internal Capital Requirement Analysis" 28 March 2019, No. 7 was accepted by the Board of Managers.

In the Analysis of Internal Capital Requirement, the Branch's activities and services, the main and sub-risk elements that may be exposed to them and the current legal capital requirement are analyzed based on the recent developments over the financial data of the previous year and the forecasts and anticipations calculated for the next three years of operation within the scope of the scenario submitted by BRSA. Besides of these matters, the main and sub-types of risk that has been considered for Branch, and the quantification of these risks are included in the calculation of internal capital requirements for these risks has been placed. In the Analysis of Internal Capital Requirement for 2017 and 2018 credit risk (in general, country), market risk (currency and interest rate) and operational risk in addition to banking accounts that cannot quantify with re-pricing risk with reputational risk has been considered.

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK

a. The Branch tries to reduce credit risk by classifying the credibility with high banks and financial institutions. The Branch requires additional guarantees from the real persons and entities that the Branch extends loans to who were assessed as high risk after performing detailed risk ratings on individual loans. Due to the imposed sanctions, the credit transactions of the Branch decreased after 2014. Following that some Iran-based financial and industrial institutions, including Bank Mellat, the main shareholder of the branch, were included in the list of secondary sanctions on 17 October 2018, the decrease in the credit transactions of the Branch has continued.

The credit worthiness of borrowers is monitored regularly. Audited information is obtained for the new rendered loans if possible. Unaudited information is examined in detail by loan department of the Branch.

b. At 31 December 2018, the Branch has no forward and option contracts or any other similar agreements.

c. At 31 December 2018, the Branch has been faced with an insignificant amount of credit risk exposure.

d. The Branch subjects the non-cash loans which are reimbursed, to the same risk weight as the loans which are passed due but not collected.

Rescheduled or restructured loans are monitored by the Branch according to the risk management and monitoring principles of the Branch. The financial conditions and commercial operations of the related customers are continuously analysed where interest and capital payments according to new payment plans are closely monitored.

e. The Branch's transactions in foreign countries with regard to banking operations and credit facilities are mainly held with corporations based in Islamic Republic of Iran, where the head office of the Branch is also based.

f. The Branch is not active in international banking market.

g. **1.** The proportion of the largest 100 cash loan balances in the total cash loan portfolio of the Branch is 100% (31 December 2017: 100%).

2. The proportion of the largest 100 non-cash loan balances in the total non-cash loan portfolio of the Branch is 100% (31 December 2017: 100%).

3. The proportion of the cash and non-cash loan balances in the total assets and non-cash loans is %0,71 (31 December 2017: %1,67).

h. The general loan loss provision amount provided for credit risk is TL 3.074 (31 December 2017: TL 2.159).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK: (Continued)

Exposure Categories (Current Year)	**Current Period Risk Amount (*)**	**Current Period Average Risk Amount (**)**
Conditional and unconditional receivables from central governments or central banks	118.641	278.797
Conditional and unconditional receivables from regional or local governments	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-
Conditional and unconditional receivables from multilateral development banks	-	-
Conditional and unconditional receivables from international organizations	-	-
Conditional and unconditional receivables from banks and brokerage houses	399.679	1.056.213
Conditional and unconditional receivables from corporates	83	2.776
Conditional and unconditional retail receivables	1.269	2.705
Conditional and unconditional receivables secured by mortgages	-	-
Past due receivables	5.210	5.267
Items in regulatory high-risk categories	-	-
Exposures in the form of bonds secured by mortgages	-	-
Securitization positions	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-
Exposures in the form of collective investment undertakings	-	-
Shares	492	538
Other items	348.055	137.776
Total	**873.429**	**1.484.072**

(*) Includes total risk amounts before the effect of credit risk mitigation but after credit conversions.
(**) Average risk amounts are the arithmetical average of the amounts in monthly reports prepared according to "the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks.

Exposure Categories (Current Year)	**Current Period Risk Amount (*)**	**Current Period Average Risk Amount (**)**
Conditional and unconditional receivables from central governments or central banks	221.283	160.181
Conditional and unconditional receivables from regional or local governments	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-
Conditional and unconditional receivables from multilateral development banks	-	-
Conditional and unconditional receivables from international organizations	-	-
Conditional and unconditional receivables from banks and brokerage houses	763.224	632.525
Conditional and unconditional receivables from corporates	3.138	1.420
Conditional and unconditional retail receivables	4.350	3.419
Conditional and unconditional receivables secured by mortgages	-	-
Past due receivables	8.706	5.552
Items in regulatory high-risk categories	-	-
Exposures in the form of bonds secured by mortgages	-	-
Securitization positions	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-
Exposures in the form of collective investment undertakings	-	-
Shares	1.237	876
Other items	36.421	37.363
Total	**1.038.359**	**841.336**

(*) Includes total risk amounts before the effect of credit risk mitigation but after credit conversions.
(**) Average risk amounts are the arithmetical average of the amounts in monthly reports prepared according to "the Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks.

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INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

i. Profile of significant exposures in major regions:

	Exposure Categories (*)																	
31 December 2018	**Conditional and unconditional receivables from central governments or central banks**	**Conditional and unconditional receivables from regional or local governments**	**Conditional and unconditional receivables from administrative units and non-commercial enterprises**	**Conditional and unconditional receivables from multilateral development banks**	**Conditional and unconditional receivables from international organizations**	**Conditional and unconditional receivables from banks and brokerage houses**	**Conditional and unconditional receivables from corporates**	**Conditional and unconditional retail receivables**	**Conditional and unconditional receivables secured by mortgages**	**Past due receivables**	**Receivables defined in high risk category by BRSA**	**Securities collateralized by mortgages**	**Securitization positions**	**Short-term receivables from banks, brokerage houses and corporates**	**Investments similar to collective investment funds**	**Other receivables**	**Total**
Current Period																	
1. Domestic	264.968	-	-	-	-	243.226	121	1.262	-	9.012	-	-	-	-	-	352.573	871.162
2. European Union (EU)	-	-	-	-	-	156.726	-	-	-	-	-	-	-	-	-	-	156.726
3. OECD Countries (**)	-	-	-	-	-	45	-	-	-	-	-	-	-	-	-	-	45
4. Off-Shore Banking Regions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
5. USA, Canada	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6. Other Countries	-	-	-	-	-	919	45	215	-	-	-	-	-	-	-	-	1.179
7. Associates, Subsidiaries and Joint –Ventures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
8. Unallocated Assets/Liabilities (***)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	**264.968**	**-**	**-**	**-**	**-**	**400.916**	**166**	**1.477**	**-**	**9.012**	**-**	**-**	**-**	**-**	**-**	**352.573**	**1.029.112**

(*) The risk classes in the Regulation on Measurement and Evaluation of Capital Adequacy of Banks shall be taken into consideration.
(**) Includes OECD countries other than EU countries, USA and Canada
(***) Includes asset and liability items that can not be allocated on a consistent basis.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

	Exposure Categories (*) (*)																
31 December 2017	**Conditional and unconditional receivables from central governments or central banks**	**Conditional and unconditional receivables from regional or local governments**	**Conditional and unconditional receivables from administrative units and non-commercial enterprises**	**Conditional and unconditional receivables from multilateral development banks**	**Conditional and unconditional receivables from international organizations**	**Conditional and unconditional receivables from banks and brokerage houses**	**Conditional and unconditional receivables from corporates**	**Conditional and unconditional retail receivables**	**Conditional and unconditional receivables secured by mortgages**	**Past due receivables**	**Receivables defined in high risk category by BRSA**	**Securities collateralized by mortgages**	**Securitization positions**	**Short-term receivables from banks, brokerage houses and corporates**	**Investments similar to collective investment funds**	**Other receivables**	**Total**
Prior Period																	
1. Domestic	221.283	-	-	-	-	592.437	3.138	4.135	-	8.706	-	-	-	-	-	36.421	866.120
2. European Union (EU)	-	-	-	-	-	126.319	-	-	-	-	-	-	-	-	-	-	126.319
3. OECD Countries (**)	-	-	-	-	-	34	-	-	-	-	-	-	-	-	-	-	34
4. Off-Shore Banking Regions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
5. USA, Canada	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
6. Other Countries	1.491	-	-	-	-	44.180	-	215	-	-	-	-	-	-	-	-	45.886
7. Associates, Subsidiaries and Joint –Ventures	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
8. Unallocated Assets/Liabilities (***)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	**222.774**	**-**	**-**	**-**	**-**	**762.970**	**3.138**	**4.350**	**-**	**8.706**	**-**	**-**	**-**	**-**	**-**	**36.421**	**1.038.359**

(*) The risk classes in the Regulation on Measurement and Evaluation of Capital Adequacy of Banks shall be taken into consideration.
(**) Includes OECD countries other than EU countries, USA and Canada
(***) Includes asset and liability items that can not be allocated on a consistent basis.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira (“TL”).

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

j. Risk profile by sectors or counterparties:

	Exposure Categories (*)																		
Current Period	**Conditional and unconditional receivables from central governments or central**	**Conditional and unconditional receivables from regional or local governments**	**Conditional and unconditional receivables from administrative units and non-commercial enterprises**	**Conditional and unconditional receivables from multilateral development banks**	**Conditional and unconditional receivables from international organizations**	**Conditional and unconditional receivables from banks and brokerage houses**	**Conditional and unconditional receivables from banks and brokerage houses**	**Conditional and unconditional retail receivables**	**Conditional and unconditional receivables secured by mortgages**	**Past due receivables**	**Receivables defined in high risk category by BRSA**	**Securities collateralized by mortgages**	**Securitization positions**	**Short-term receivables from banks, brokerage houses and corporates**	**Investments similar to collective investment funds**	**Other receivables**	**TL**	**FC**	**Total**
Agriculture	-	-	-	-	-	-	-	-	-	108	-	-	-	-	-	-	108	-	108
Farming and Stockbreeding	-	-	-	-	-	-	-	-	-	108	-	-	-	-	-	-	108	-	108
Forestry	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Fishery	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Manufacturing	-	-	-	-	-	-	-	215	-	1.336	-	-	-	-	-	-	1.551	-	1.551
Mining and Quarrying	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Production	-	-	-	-	-	-	-	215	-	1.336	-	-	-	-	-	-	1.551	-	1.551
Electricity, Gas and Water	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Construction	-	-	-	-	-	-	-	35	-	-	-	-	-	-	-	-	35	-	35
Services	264.968	-	-	-	-	400.916	121	153	-	7.310	-	-	-	-	-	352.554	619.164	406.858	1.026.022
Wholesale and Retail Trade	-	-	-	-	-	-	-	118	-	7.310	-	-	-	-	-	-	6.865	563	7.428
Accommodation and Dining	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Transportation and Telecom.	-	-	-	-	-	-	121	-	-	-	-	-	-	-	-	-	30	91	121
Financial Institutions	264.968	-	-	-	-	400.916	-	-	-	-	-	-	-	-	-	352.554	612.234	406.204	1.018.438
Real Estate and Rental Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Professional Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Educational Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	-	35	-	-	-	-	-	-	-	-	35	-	35
Others	-	-	-	-	-	-	45	1.074	-	258	-	-	-	-	-	19	1.289	107	1.396
Total	**264.968**	**-**	**-**	**-**	**-**	**400.916**	**166**	**1.477**	**-**	**9.012**	**-**	**-**	**-**	**-**	**-**	**352.573**	**622.147**	**406.965**	**1.029.112**

(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

	Exposure Categories (*)																		
Prior Period	**Conditional and unconditional receivables from central governments or central**	**Conditional and unconditional receivables from regional or local governments**	**Conditional and unconditional receivables from administrative units and non-commercial enterprises**	**Conditional and unconditional receivables from multilateral development banks**	**Conditional and unconditional receivables from international organizations**	**Conditional and unconditional receivables from banks and brokerage houses**	**Conditional and unconditional receivables from banks and brokerage houses**	**Conditional and unconditional retail receivables**	**Conditional and unconditional receivables secured by mortgages**	**Past due receivables**	**Receivables defined in high risk category by BRSA**	**Securities collateralized by mortgages**	**Securitization positions**	**Short-term receivables from banks, brokerage houses and corporates**	**Investments similar to collective investment funds**	**Other receivables**	**TL**	**FC**	**Total**
Agriculture	-	-	-	-	-	-	-	-	-	108	-	-	-	-	-	-	108	-	108
Farming and Stockbreeding	-	-	-	-	-	-	-	-	-	108	-	-	-	-	-	-	108	-	108
Forestry	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Fishery	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Manufacturing	-	-	-	-	-	-	-	2	-	1.325	-	-	-	-	-	-	1.327	-	1.327
Mining and Quarrying	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Production	-	-	-	-	-	-	-	2	-	1.325	-	-	-	-	-	-	1.327	-	1.327
Electricity, Gas and Water	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Construction	-	-	-	-	-	-	-	571	-	-	-	-	-	-	-	-	571	-	571
Services	127.138	-	-	-	-	593.636	4.629	2.950	-	7.016	-	-	1.237	-	-	-	509.203	227.403	736.606
Wholesale and Retail Trade	-	-	-	-	-	-	4.491	2.833	-	7.016	-	-	-	-	-	-	9.914	4.426	14.340
Accommodation and Dining	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Transportation and Telecom.	-	-	-	-	-	-	138	87	-	-	-	-	-	-	-	-	100	125	225
Financial Institutions	127.138	-	-	-	-	593.636	-	-	-	-	-	-	1.237	-	-	-	499.159	222.852	722.011
Real Estate and Rental Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Professional Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Educational Services	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	-	30	-	-	-	-	-	-	-	-	30	-	30
Others	94.145	-	-	-	-	168.097	-	827	-	257	-	-	-	-	-	36.421	25.744	274.003	299.747
Total	**221.283**	**-**	**-**	**-**	**-**	**761.733**	**4.629**	**4.350**	**-**	**8.706**	**-**	**-**	**1.237**	**-**	**-**	**36.421**	**536.953**	**501.406**	**1.038.359**

(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

k. Distribution of risk bearing maturities according to the remaining maturities:

	Term to Maturity				
31 December 2018	*1 month*	*1–3 months*	*3–6 mounts*	*6–12 months*	*Over 1 year*
Exposure Classifications (*) (**)					
Conditional and unconditional receivables from central governments or central banks	-	2.004	91.203	53.991	24.808
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	-	67.133	-	-	7.420
Conditional and unconditional receivables from corporates	-	-	15	60	-
Conditional and unconditional retail receivables	-	306	11	140	516
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-
Past due receivables	-	-	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	-
Securities collateralized by mortgages	-	-	-	-	-
Securitization positions	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-
Other receivables	-	-	-	-	-
TOTAL	**-**	**69.443**	**91.229**	**54.191**	**32.744**

(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.
(**) Credit risk amounts which have no maturities do not comprise in the table.

	Term to Maturity				
31 December 2017	*1 month*	*1 month*	*1 month*	*1 month*	*1 month*
Exposure Classifications (*) (**)					
Conditional and unconditional receivables from central governments or central banks	-	-	19.429	40.687	40.111
Conditional and unconditional receivables from regional or local governments	-	-	-	-	-
Conditional and unconditional receivables from administrative units and non-commercial enterprises	-	-	-	-	-
Conditional and unconditional receivables from multilateral development banks	-	-	-	-	-
Conditional and unconditional receivables from international organizations	-	-	-	-	-
Conditional and unconditional receivables from banks and brokerage houses	178.966	118.172	71.813	18.401	-
Conditional and unconditional receivables from corporates	68	-	-	-	-
Conditional and unconditional retail receivables	85	215	16	1.442	2.154
Conditional and unconditional receivables secured by mortgages	-	-	-	-	-
Past due receivables	-	-	-	-	-
Receivables defined in high risk category by BRSA	-	-	-	-	-
Securities collateralized by mortgages	-	-	-	-	-
Securitization positions	-	-	-	-	-
Short-term receivables from banks, brokerage houses and corporates	-	-	-	-	-
Investments similar to collective investment funds	-	-	-	-	-
Other receivables	-	-	-	-	-
TOTAL	**179.119**	**118.387**	**91.258**	**60.530**	**42.265**

(*) Includes risk amounts before the effect of credit risk mitigation but after the credit conversions.
(**) Credit risk amounts which have no maturities do not comprise in the table.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

l. Exposure Categories:

External risk ratings are not used to determine the risk weights of the risk categories as per the Article 6 of the "Regulation on Measurement and Assessment of Capital Adequacy Ratios of Banks".

m. Exposures by risk weights:

Current Period Risk weights	0%	10%	20%	50%	75%	100%	150%	200%	1250%	Deductions from Equity
Exposures before Credit Risk Mitigation	349.480	-	362.534	-	692	160.723	-	-	-	-
Exposures after Credit Risk Mitigation	349.927	-	362.534	-	692	160.276	-	-	-	-

Prior Period Risk weights	0%	10%	20%	50%	75%	100%	150%	200%	1250%	Deductions from Equity
Exposures before Credit Risk Mitigation	243.743	-	486.711	41.224	-	256.920	458	-	-	-
Exposures after Credit Risk Mitigation	244.184	-	486.711	41.224	-	256.479	458	-	-	-

n. Information by major sectors and type of counterparties:

The Branch, provides specifiv provisions for the non performing loans not less than the determined minimum rates according to 10th, 11th, 13th and 15th articles of the "Regulation on Procedures and Principles for Determination of Qualifications of Loans by Banks and Provisions to be set aside" published in the Official Gazette dated 22 June 2016 and numbered 29750. In addition to the non-performing loans, the Branch provides general loan loss provisions for the loans and receivables which are defined in the same comminique.

Impaired Credits; are the credits that either overdue more than 90 days as of the reporting date or are treated as impaired due to their creditworthiness. For such credits, "specific provisions" are allocated as per the Provisioning Regulation.

Past Due Credits; are the credits that overdue up to 90 days but not impaired. For such credits, "general provisions" are allocated as per the Provisioning Regulation.

31 December 2018	Credits			
	Impaired Credits	Past Due Credits	Impaired Credits	Past Due Credits
Agriculture	**108**	**-**	**-**	**108**
Farming and Stockbreeding	108	-	-	108
Forestry	-	-	-	-
Fishery	-	-	-	-
Manufacturing	**1.336**	**-**	**-**	**565**
Mining and Quarrying	-	-	-	-
Production	1.336	-	-	565
Electricity, Gas and Water	-	-	-	-
Construction	**-**	**-**	**-**	**-**
Services	**6.747**	**-**	**-**	**2.792**
Wholesale and Retail Trade	6.747	-	-	2.792
Accommodation and Dining	-	-	-	-
Transportation and Telecom.	-	-	-	-
Financial Institutions	-	-	-	-
Real Estate and Rental Services	-	-	-	-
Professional Services	-	-	-	-
Educational Services	-	-	-	-
Health and Social Services	-	-	-	-
Others	**258**	**-**	**-**	**112**
Total	**8.449**	**-**	**-**	**3.577**

(*) The figures represent the general provision amount for past due loans.
(**) The figures represent the specific provisions amount for impaired loans.
(***) The figures represent the non-cash loan risk is not included in the related table.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

II. EXPLANATIONS ON CREDIT RISK (Continued)

31 December 2017	Credits			
	Impaired Credits	**Past Due Credits**	**Impaired Credits**	**Past Due Credits**
Agriculture	**108**	**-**	**-**	**108**
Farming and Stockbreeding	108	-	-	108
Forestry	-	-	-	-
Fishery	-	-	-	-
Manufacturing	**1.325**	**-**	**-**	**362**
Mining and Quarrying	-	-	-	-
Production	1.325	-	-	362
Electricity, Gas and Water	-	-	-	-
Construction	**-**	**-**	**-**	**-**
Services	**6.614**	**-**	**-**	**2.627**
Wholesale and Retail Trade	6.614	-	-	2.627
Accommodation and Dining	-	-	-	-
Transportation and Telecom.	-	-	-	-
Financial Institutions	-	-	-	-
Real Estate and Rental Services	-	-	-	-
Professional Services	-	-	-	-
Educational Services	-	-	-	-
Health and Social Services	-	-	-	-
Others	**258**	**-**	**-**	**75**
Total	**8.305**	**-**	**-**	**3.172**

(*) The figures represent the general provision amount for past due loans.
(**) The figures represent the specific provisions amount for impaired loans.
(***) The figures represent the non-cash loan risk is not included in the related table.

o. Movements in value adjustments and provisions:

Current Period	Opening Balance	Provision for Period	Provision Reversals	ther Adjustments	Closing Balance
Specific Provisions	3.172	405	-	-	3.577
General Provisions	2.159	807	-	108	3.074

Prior Period	Opening Balance	Provision for Period	Provision Reversals	ther Adjustments	Closing Balance
Specific Provisions	2.787	388	(3)	-	3.172
General Provisions	1.797	1.281	(919)	-	2.159

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

III. EXPLANATIONS ON CURRENCY RISK

The Branch with the change in the currency system to floating currency, limits the total foreign currency position in accordance with the legal limits because of the increasing uncertainties in the changing currency path. The Branch does not hedge its foreign exchange debt instruments and net foreign exchange investments by the hedging derivatives.

The Branch holds position in line with the currency basket of CBRT to hedge the currency risk. Foreign Exchange asset-liability management has been effected as such all rates may be kept to be within liquidity and credit risks determined within the framework of risk-return profile of the Branch and in a way to ensure the sustainable profitability. Measurable and manageable risks have been undertaken as per the ratios that must be adhered to.

The foreign currency position risk of the Branch is monitored as per the limits and measured by "standard method".

The Branch's foreign exchange bid rates as of the date of the financial statements and for the last five days prior to that date are presented below:

	USD	Euro	100 Japanese Yen	U.A.E. Dirham
31 December 2018	5,2810	6,0422	4,7830	1,43900
28 December 2018	5,2889	6,0245	4,7579	1,44120
27 December 2018	5,2832	6,0185	4,7690	1,43960
26 December 2018	5,3034	6,0419	4,7973	1,44510
25 December 2018	5,2926	6,0291	4,7538	1,44220

The simple arithmetical averages of the Branch's foreign exchange bid rates for the last thirty days are:

USD:	5,3006 TL
EUR:	6,0328 TL
100 Japanese Yen	4,7064 TL
U.A.E. Dirham	1,4444 TL

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued

III. EXPLANATIONS ON CURRENCY RISK: (Continued)

Information on the foreign currency exchange rate risk of the Branch:

	Euro	USD	Other FC	Total
31 December 2018				
Assets				
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	108.625	83.539	-	192.164
Banks	188.693	25.106	136	213.935
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	-
Available-for-Sale Financial Assets	-	-	-	-
Loans and Receivables	-	-	-	-
Investments in Associates, Subsidiaries and Joint Ventures	-	-	-	-
Held to Maturity Securities	-	-	-	-
Hedging Derivative Financial Assets	-	-	-	-
Tangible Assets	-	-	-	-
Intangible Assets	-	-	-	-
Other Assets	-	105	-	105
Total Assets	**297.318**	**108.750**	**136**	**406.204**
Liabilities				
Bank Deposits	135.721	71.425	3	207.149
Foreign Currency Deposits	109.196	7.952	641	117.789
Funds from Interbank Money Market	-	-	-	-
Borrowings	-	-	-	-
Marketable Securities Issued	-	-	-	-
Sundry Creditors	-	107	-	107
Hedging Derivative Financial Liabilities	-	-	-	-
Other Liabilities	3.207	104	-	3.311
Total Liabilities	**248.124**	**79.588**	**644**	**328.356**
Net On-Balance Sheet Position	**49.194**	**29.162**	**(508)**	**77.848**
Net Off Balance Sheet Position				
Financial Derivative Assets	-	-	-	-
Financial Derivative Liabilities	-	-	-	-
Non-Cash Loans	**91**	**445**	**-**	**536**
31 December 2017				
Total Assets	407.736	90.442	323	498.501
Total Liabilities	383.053	73.091	503	456.647
Net On-Balance Sheet Position	**24.683**	**17.351**	**(180)**	**41.854**
Net Off Balance Sheet Position				
Financial Derivative Assets	-	-	-	-
Financial Derivative Liabilities	-	-	-	-
Non-Cash Loans	**2.658**	**443**	**-**	**3.101**

The table above summarizes the Branch's exposure to foreign currency exchange rate risk, categorised by currency. Foreign currency indexed assets, classified as Turkish lira assets according to the Uniform Chart of Accounts, are considered as foreign currency assets for the calculation of net foreign currency position.

As of 31 December 2018, the Branch has no foreign currency indexed loans (31 December 2017: None) that is recorded on the TL column in the balance sheet has not been included in the table above. Besides, general loan loss provision amounting to TL 2.501 (31 December 2017: TL 1.291 has also not been included in the table above. The provision was determined for non-cash loan in the amount of TL 225 (31 December 2017: TL 100).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IV. EXPLANATIONS ON INTEREST RATE RISK

"Interest rate risk" is defined as the impact of interest rate changes on interest-sensitive assets and liabilities of the Branch.

The Branch evaluates interest rate in two dimensions. This is maturity risk originating from the differences of maturity structures and repricing risk originating from the fluctuations of net interest margin. Interest rate risk is managed using natural hedges that arise from offsetting interest rate sensitive assets with interest rate sensitive liabilities.

a. Interest rate sensitivity of assets, liabilities and off-balance sheet items (based on repricing dates):

31 December 2018	Up to 1 Month	1 – 3 Months	3 – 12 Months	1– 5 years	Over 5 years	Non Interest Bearing	Total
Assets							
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	79.145	-	-	-	-	323.801	402.946
Banks	-	-	-	-	-	325.126	325.126
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	492	492
Interbank Money Market Placements	-	-	-	-	-	-	-
Available-for-Sale Financial Assets	32.229	69.137	143.681	-	-	-	245.047
Loans and Receivables	-	334	133	592	-	4.872	5.931
Held to Maturity Securities	-	-	-	-	-	-	-
Other Assets (1)	-	-	-	-	-	12.205	12.205
Total Assets	**111.374**	**69.471**	**143.814**	**592**	**-**	**666.496**	**991.747**
Liabilities							
Bank Deposits	-	-	-	-	-	413.433	413.433
Other Deposits	37	-	-	-	-	135.382	135.419
Funds From Interbank Money Market	-	-	-	-	-	-	-
Sundry Creditors	-	-	-	-	-	652	652
Marketable Securities Issued	-	-	-	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-
Other Liabilities (2)	4.269	9	-	-	-	437.965	442.243
Total Liabilities	**4.306**	**9**	**-**	**-**	**-**	**987.432**	**991.747**
Balance Sheet Long Position	**107.068**	**69.462**	**143.814**	**592**	**-**	**-**	**320.936**
Balance Sheet Short Position	**-**	**-**	**-**	**-**	**-**	**(320.936)**	**(320.936)**
Off-Balance Sheet Long Position	-	-	-	-	-	-	-
Off-Balance Sheet Short Position	-	-	-	-	-	-	-
Total Position	**107.068**	**69.462**	**143.814**	**592**	**-**	**(320.936)**	**-**

(1) "Other Assets'' line includes Deferred Tax Assets, Tangible Assets, Assets Held for Resale and Other Assets.

(2) Shareholders' equity, provisions and tax liability is presented under "Other liabilies" item in "Non-interest bearing".

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued

IV. EXPLANATIONS ON INTEREST RATE RISK (Continued)

31 December 2017	Up to 1 Month	1 – 3 Months	3 – 12 Months	1– 5 years	Over 5 years	Non Interest Bearing	Total
Assets							
Cash (Cash in Vault, Effectives, Cash in Transit, Cheques Purchased) and Balances with the Central Bank of the Republic of Turkey	79.566	-	-	-	-	53.842	133.408
Banks	96.861	33.545	2.724	-	-	350.385	483.515
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-
Interbank Money Market Placements	-	-	-	-	-	-	-
Available-for-Sale Financial Assets	106.003	87.221	142.674	40.111	-	755	376.764
Loans and Receivables	1.514	215	624	466	-	5.133	7.952
Held to Maturity Securities	-	-	-	-	-	-	-
Other Assets (1)	-	-	-	-	-	10.999	10.999
Total Assets	**283.944**	**120.981**	**146.022**	**40.577**	**-**	**421.114**	**1.012.638**
Liabilities							
Bank Deposits	120.120	9.968	-	-	-	380.410	510.498
Other Deposits	21	-	-	-	-	197.726	197.747
Funds From Interbank Money Market	-	-	-	-	-	-	-
Sundry Creditors	-	-	-	-	-	650	650
Marketable Securities Issued	-	-	-	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-
Other Liabilities (2)	1.093	-	83	-	-	302.567	303.743
Total Liabilities	**121.234**	**9.968**	**83**	**-**	**-**	**881.353**	**1.012.638**
Balance Sheet Long Position	**162.710**	**111.013**	**145.939**	**40.577**	-	-	**460.239**
Balance Sheet Short Position	-	-	-	-	-	**(460.239)**	**(460.239)**
Off-Balance Sheet Long Position	-	-	-	-	-	-	-
Off-Balance Sheet Short Position	-	-	-	-	-	-	-
Total Position	**162.710**	**111.013**	**145.939**	**40.577**	-	**(460.239)**	**-**

(1) "Other Assets'' line includes Deferred Tax Assets, Tangible Assets, and Other Assets.

(2) Shareholders' equity is presented under "Other liabilies" item in the "Non-interest bearing" column.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

IV. EXPLANATIONS ON INTEREST RATE RISK (Continued)

b. Effective average interest rates for monetary financial instruments:

Interest rates in the below tables are the weighted average rates of the related balance sheet items.

31 December2018	Euro	USD	Yen	TL
	(%)	(%)	(%)	(%)
Assets				
Cash and Central Bank of Turkey	-	-	-	11,13
Banks and Other Institutions	-	-	-	-
Financial Assets at Fair Value Through Profit / Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	-
Financial Assets at Fair Value through Other Comprehensive Income	-	-	-	17,91
Loans and Receivables	-	-	-	10,30
Financial Assets Measured at Amortised Cost	-	-	-	-
Liabilities				
Bank Deposits	-	-	-	-
Other Deposits	-	-	-	4,00
Funds From Interbank Money Market	-	-	-	-
Sundry Creditors	-	-	-	-
Marketable Securities Issued	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-

31 December2017	Euro	USD	Yen	TL
	(%)	(%)	(%)	(%)
Assets				
Cash and Central Bank of Turkey	-	1,29	-	3,94
Banks and Other Institutions	1,01	2,50	-	10,32
Financial Assets at Fair Value Through Profit / Loss	-	-	-	-
Interbank Money Market Placements	-	-	-	-
Available-for-Sale Financial Assets	-	-	-	13,27
Loans and Receivables	8,00	-	-	13,57
Held to Maturity Securities	-	-	-	-
Liabilities				
Bank Deposits	-	-	-	5,89
Other Deposits	-	-	-	4,00
Funds From Interbank Money Market	-	-	-	-
Sundry Creditors	-	-	-	-
Marketable Securities Issued	-	-	-	-
Funds Borrowed From Other Financial Institutions	-	-	-	-

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued

IV. EXPLANATIONS ON INTEREST RATE RISK (Continued)

Interest rate risk resulting from banking book:

According to "Regulation on Equities of Banks" published in the official gazette no 28756 dated 5 September 2013 and items followed in the trading book; interest rate risk is arising from all balance sheet and off-balance sheet items which are sensitive to interest except subordinated debts which are taken into account when equity is calculated. The interest rate risk resulting repricing risk, yield-curve risk, base risk and option risk.

Repricing Risk

The repricing risk is defined as probable loss from bank's net interest income and negative economic value caused by the interest rate fluctuations. On demand assets and liabilities in the Branch's balances sheet are not affected the fluctuations of interest rate change. Assets and liabilities, which having a fixed term, are sensitive to the repricing risk.

Yield Curve Risk

The yield curve risk is defined as probable loss from bank's net interest income and negative economic value caused by the alteration of yield curve. The Branch has not used financial instruments which are exposed to the yield curve risk. The Branch has not exposed to the yield curve risk.

Base Risk

The base risk is defined as probable loss from bank's net interest income and negative economic value caused by the base of interest rate increase or decrease in the Bank's operations. The Branch has not used the different base of the operations.

Option risk

The option risk is defined as probable loss from bank's net interest income and negative economic value caused by the option right/liability included embedded. The Branch has not used derivative instruments. There is no interest sensitive items including option except time deposit and the part of amount is immaterial.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

EXPLANATIONS ON POSITION RISK OF EQUITY SECURITIES IN BANKING BOOK

Position risk of equity shares on banking book:

a) Relation of risks with gains accounted under equity and analyzing according to their aims including strategic reasons and the accounting policies applied and general information about valuation techniques with assumptions in this application, the elements that manipulate valuation and important changes:

The branch does not have stocks that are not traded on the stock exchange.

b) For balance sheet values of equity investments, fair value and for those traded on the stock exchange, the comparison with the market price if the market value differs significantly from the fair value:

31 December 2018		**Comparison**		
	Equity Investments	**Carrying Value**	**Carrying Value**	**Market Value**
1	**Financial Assets at Fair Value Through Profit / Loss**	**492**	**492**	**-**
	Traded on Stock Exchange	492	492	-
2	**Associates**	**-**	-	-
	Traded on Stock Exchange	-	-	-
3	**Subsidiaries**	**-**	-	-
	Traded on Stock Exchange	-	-	-

31 December 2017		**Comparison**		
	Carrying Value	**Carrying Value**	**Carrying Value**	**Market Value**
1	**Securities Available for Sale**	**755**	**755**	-
	Traded on Stock Exchange	755	755	-
2	**Associates**	**-**	-	-
	Traded on Stock Exchange	-	-	-
3	**Subsidiaries**	**-**	-	-
	Traded on Stock Exchange	-	-	-

c) Realized gains/losses, revaluation surpluses and unrealized gains/losses on equity securities and results included in core and supplementary capital:

None.

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

VI. EXPLANATIONS ON LIQUIDITY RISK

The liquidity risk of the Branch is the risk of being unable to fulfill its payment obligations on time due to not having enough cash sources or cash inflows to finance its cash outflows fully and on time due to cash flow instabilities. It has been evaluated in two main categories:

Funding Liquidity Risk: It is a kind of risk which does not meet the any unexpected loss and non defaulting debts and liabilities.

Market Liquidity Risk: It is a kind of risk which consists of the position that cannot be sold without affecting market price due to insufficient market depth or market conditions' deterioration or that cannot be completed with the position of market price for any reasons.

a. Information on liquidity risk management, including the risk capacity of the branch, the responsibilities and structure of the liquidity risk management, the reporting of the liquidity risk within the bank, the liquidity risk strategy, and how the policies and practices are communicated to the board and lines of business:

The applications and responsibilities related to the liquidity risk has been determined according to the Treasury Liquidity and Market Management Policies and Practices approved by Board of Managers. The Branch's liquidity policy is to own sufficient liquidity reserve and opportunities to meet its liabilities even in cases of stress, resulting from the market conditions or other conditions specific to the Branch.

Branch has a high risk coverage ratio due to its capital and asset / liability structure. The liquidity coverage ratio of the Branch which is able to meet the cash outflows with high quality liquid asset stake is considered to be well above the market averages and quite high. There are also ready-to-use limits for the CBRT

In the daily / weekly / periodically structured meetings of the Assets and Liabilities Committee and the Risk Committee attended by the senior management, the indicators related to the liquidity status are examined and the liquidity risk is addressed. In addition, the Board of Managers is informed through the regular reports prepared by the Risk Management Department and the Audit Committee.

For liquidity risk management, the Risk Management Unit monitors the funding and liquidity risk, market conditions, the distribution of accounts in different foreign currency types, the maturity structure, costs and expected future cash flow obligations.

The Risk Management Unit monitors the limits on liquidity risk determined by the Board of Managers. In addition to these, the Risk Management Unit implements periodic liquidity stress tests to measure the effects of adverse scenarios on the liquidity situation of the Branch. The Fund Management Department manages the funding and liquidity risk to prevent inadequate funding at any time or any source and regularly reports on the liquidity position of the Assets and Liabilities Committee and the Branch's liquidity position. The General Accounting Unit Financial Reporting Service monitors the liquidity coverage ratio and regularly reports to the BRSA.

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

VI. EXPLANATIONS ON LIQUIDITY RISK (Continued)

b. Information on the centralization degree of liquidity management and funding strategy and the functioning between the Bank and the Bank's subsidiaries:

The Branch's liquidity management is performed by the Asset and Liability Management. The branch has no subsidiary subject to consolidation.

c. Information on the Bank's funding strategy including the policies on funding types and variety of maturities:

Branch spread to the base of demand current and time deposit accounts and that a stable, long-term diversification and aims to be the source of the funds used. Ratio of liquid assets to total assets ratio and risk indicators related to liquidity, credit and the ratio of funds, issues such as the concentration in provided funds are being closely monitored.

ç. Information on liquidity management on the basis of currencies constituting a minimum of five percent of the Branch's total liabilities:

The total liabilities of branches are in Turkish Lira, Euro or US Dollar, and GBP and Iranian Riyal are in foreign currency. TL liquidity of the branch is managed by cash and cash convertible securities held by CBRT and Banks. TL assets are used for funding TL assets and FC liabilities are used for funding of FX assets. Foreign currency funds are provided from foreign currency denominated borrowings and foreign bank deposits held in our Branch. Foreign currency liquidity is held in correspondent bank accounts within limits.

d. Information on liquidity risk mitigation techniques:

Liquidity risk is mitigated by using techniques such as maintaining high quality liquid asset buffer to cover possible fund outflows, diversification of funding sources so far as possible and inclusion to the base, homogenizing the maturity distribution of repayments as far as possible, obtaining limits from funding institutions to use when necessary and ensuring that a determined portion of funding sources are comprised of deposits. In addition, core deposit analysis is performed and concentration on collected funds are closely monitored.

e. Information on the use of stress tests lama:

In order to analyze the source of the possible liquidity insufficiencies and whether comfortably move exists on existing off-balance sheet and balance sheet positions relevant with liquidity risk expectation, the scenarios are implemented by Risk Management Directorate and 3 types liquidity stress tests are prepared by Banking Regulation and Supervision Agency (BRSA). These includes stress test scenarios are special to the Branch, related with the overall market or scenarios take in consideration both of the situations. Stress tests related with liquidity risk are repeated at monthly periods. Results are tracked with key risk indicators and monitored by Senior Management.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

VI. EXPLANATIONS ON LIQUIDITY RISK (Continued)

f. General information on urgent and unexpected liquidity situation plans:

Necessary strategy and procedures for the management of possible liquidity crisis are determined with the Liquidity Contingency Plan, which is approved and reviewed by the Board of Managers. The plan ultimately aims to protect current and participating account holders, lenders and shareholders. The basic indicators of the Liquidity Emergency Action Plan have been identified, and if the unexpected developments in the liquidity situation or other indicators are triggered, the plan is put into practice. The Risk Committee is responsible for monitoring the plan, and the Asset and Liability Committee is responsible for its implementation.

Analysis of financial liabilities by remaining contractual maturities:

The following table is prepared before the Branch's liabilities are undiscounted and based on the earliest date to the payment.

31 December 2018	Demand and Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 Months	Over 5 Years	Total
Liabilities						
Deposits	548.815	-	-	-	-	548.815
Borrowings	-	-	-	-	-	-
Total	**548.815**	**-**	**-**	**-**	**-**	**548.815**

31 December 2017	Demand and Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 Months	Over 5 Years	Total
Liabilities						
Deposits	698.749	-	10.015	-	-	708.764
Borrowings	-	-	-	-	-	-
Total	**698.749**	**-**	**10.015**	**-**	**-**	**708.764**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

VI. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Breakdown of assets and liabilities according to their outstanding maturities:

	Demand	Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 years	Over 5 years	Unclassified (*)	Total
31 December 2018								
Assets								
Cash and the Central Bank of the Republic of Turkey	323.801	79.145	-	-	-	-	-	402.946
Banks	325.126	-	-	-	-	-	-	325.126
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	492	492
Interbank Money Market Placements	-	-	-	-	-	-	-	-
Financial Assets at Fair Value through Other Comprehensive Income	-	32.229	69.137	143.681	-	-	-	245.047
Loans and Receivables	-	-	334	133	592	-	4.872	5.931
Financial Assets Measured at Amortised Cost	-	-	-	-	-	-	-	-
Other Assets (*)	-	-	333	-	-	-	11.872	12.205
Total Assets	**648.927**	**111.374**	**69.804**	**143.814**	**592**	**-**	**17.236**	**991.747**
Liabilities								
Bank Deposits	413.433	-	-	-	-	-	-	413.433
Other Deposits	135.382	37	-	-	-	-	-	135.419
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-	-
Funds From Interbank Money Market	-	-	-	-	-	-	-	-
Marketable Securities Issued	-	-	-	-	-	-	-	-
Sundry Creditors	652	-	-	-	-	-	-	652
Other Liabilities (**)	-	4.269	9	-	-	-	437.965	442.243
Total Liabilities	**549.467**	**4.306**	**9**	**-**	**-**	**-**	**437.965**	**991.747**
Net Liquidity Gap	**99.460**	**107.068**	**69.795**	**143.814**	**592**	**-**	**(420.729)**	**-**

(*) Assets that are necessary for banking activities and that cannot be liquidated in the short-term, such as tangible assets, subsidiaries, stationary, pre-paid expenses and non-performing loans, are classified in this column.

(**) Shareholders' Equity is presented under the "Other Liabilities" item in the "Unallocated" column.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

VI. EXPLANATIONS ON LIQUIDITY RISK (Continued):

Breakdown of assets and liabilities according to their outstanding maturities:

	Demand	Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 5 years	Over 5 years	Unclassified (*)	Total
31 December 2017								
Assets								
Cash and the Central Bank of the Republic of Turkey	21.984	111.424	-	-	-	-	-	133.408
Banks	350.385	96.861	33.545	2.724	-	-	-	483.515
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-	-	-	-
Interbank Money Market Placements	-	-	-	-	-	-	-	-
Available-for-sale Financial Assets	-	106.003	87.221	142.674	40.111	-	755	376.764
Loans and Receivables	-	1.514	215	624	466	-	5.133	7.952
Held-to-maturity Securities	-	-	-	-	-	-	-	-
Other Assets (*)	-	-	-	284	-	-	10.715	10.999
Total Assets	**372.369**	**315.802**	**120.981**	**146.306**	**40.577**	-	**16.603**	**1.012.638**
Liabilities								
Bank Deposits	380.410	120.120	9.968	-	-	-	-	510.498
Other Deposits	197.726	21	-	-	-	-	-	197.747
Funds Borrowed From Other Financial Institutions	-	-	-	-	-	-	-	-
Funds From Interbank Money Market	-	-	-	-	-	-	-	-
Marketable Securities Issued	-	-	-	-	-	-	-	-
Sundry Creditors	650	-	-	-	-	-	-	650
Other Liabilities (**)	-	1.093	-	83	-	-	302.567	303.743
Total Liabilities	**578.786**	**121.234**	**9.968**	**83**	-	-	**302.567**	**1.012.638**
Net Liquidity Gap	**(206.417)**	**194.568**	**111.013**	**146.223**	**40.577**	-	**(285.964)**	-

(*) Assets that are necessary for banking activities and that cannot be liquidated in the short-term, such as tangible assets, subsidiaries, stationary, pre-paid expenses and non-performing loans, are classified in this column.

(**) Shareholders' Equity is presented under the "Other Liabilities" item in the "Unallocated" column.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

VI. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Liquidity Coverage Ratio:

		Total Unweighted Value (Average) (*)		Total Weighted Value (Average) (*)	
Current Period		TL+FC	FC	TL+FC	FC
High-Quality Liquid Assets				**582.556**	**166.018**
1	Total high-quality liquid assets (HQLA)	582.797	166.018	582.556	166.018
Cash Outflows					
2	Retail deposits and deposits from small business customers	**68.471**	**68.186**	**4.915**	**4.901**
3	Stable deposits	38.627	38.348	1.931	1.917
4	Less stable deposits	29.844	29.838	2.984	2.984
5	Unsecured wholesale funding	**781.896**	**356.544**	**595.597**	**274.191**
6	Operational deposits	1.200	1.200	300	300
7	Non-operational deposits	308.998	135.756	123.599	54.303
8	Unsecured funding	471.698	219.588	471.698	219.588
9	Secured wholesale funding			-	-
10	Other cash outflows of which:	-	-	-	-
11	Outflows related to derivative exposures and other collateral requirements	-	-	-	-
12	Outflows related to restructured financial instruments	-	-	-	-
13	Payment commitments and other off-balance sheet commitments granted for debts to financial markets	-	-	-	-
14	Other revocable off-balance sheet commitments and contractual obligations	-	-	-	-
15	Other irrevocable or conditionally revocable off-balance sheet obligations	**738**	**674**	**248**	**242**
16	**Total Cash Outflows**			**600.760**	**279.334**
Cash Inflows		-	-	-	-
17	Secured receivables	-	-	-	-
18	Unsecured receivables	-	-	-	-
19	Other cash inflows	394.940	298.880	394.940	298.880
20	**Total Cash Inflows**	**394.940**	**298.880**	**394.940**	**298.880**
21	**Total HQLA**			582.556	166.018
22	**Total Net Cash Outflows**			216.135	69.833
23	**Liquidity Coverage Ratio (%)**			269,53	237,74

(*) The average of last three months' liquidity coverage ratio calculated by weekly simple averages

The table below presents lowest, highest and average liquidity coverage ratios as of 31 December 2018

Current Period	**Highest**	**Date**	**Lowest**	**Date**	**Average**
TL+FC	504,29	31.12.2018	114,07	23.10.2018	296,97
FC	373,09	10.12.2018	95,64	17.10.2018	282,39

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

VI. EXPLANATIONS ON LIQUIDITY RISK (Continued)

Liquidity Coverage Ratio (Continued):

		Total Unweighted Value (Average) (*)		Total Weighted Value (Average) (*)	
Prior Period		**TP+YP**	**YP**	**TP+YP**	**YP**
High-Quality Liquid Assets				**214.029**	**102.867**
1	Total high-quality liquid assets (HQLA)	214.029	102.867	214.029	102.867
Cash Outflows					
2	Retail deposits and deposits from small business customers	**6.162**	**6.027**	**469**	**460**
3	Stable deposits	2.954	2.843	148	142
4	Less stable deposits	3.208	3.184	321	318
5	Unsecured wholesale funding	**639.862**	**449.194**	**521.901**	**348.916**
6	Operational deposits	927	926	232	232
7	Non-operational deposits	195.444	165.973	78.178	66.389
8	Unsecured funding	443.491	282.295	443.491	282.295
9	Secured wholesale funding			-	-
10	Other cash outflows of which:	-	-	-	-
11	Outflows related to derivative exposures and other collateral requirements	-	-	-	-
12	Outflows related to restructured financial instruments	-	-	-	-
13	Payment commitments and other off-balance sheet commitments granted for debts to financial markets	-	-	-	-
14	Other revocable off-balance sheet commitments and contractual obligations	-	-	-	-
15	Other irrevocable or conditionally revocable off-balance sheet obligations	**7.630**	**2.148**	**884**	**336**
16	**Total Cash Outflows**			**523.254**	**349.712**
Cash Inflows		-	-	-	-
17	Secured receivables	-	-	-	-
18	Unsecured receivables	-	-	-	-
19	Other cash inflows	434.526	374.680	434.526	374.680
20	**Total Cash Inflows**	**434.526**	**374.680**	**434.526**	**374.680**
21	**Total HQLA**			214.029	102.867
22	**Total Net Cash Outflows**			130.813	87.428
23	**Liquidity Coverage Ratio (%)**			163,90	117,66

(*) The average of last three months' liquidity coverage ratio calculated by weekly simple averages

The table below presents lowest, highest and average liquidity coverage ratios as of 31 December 2017

Prior Period	Highest	Date	Lowest	Date	Average
TL+FC	189,13	10.10.2017	139,43	23.10.2017	164,07
FC	138,97	26.12.2017	96,11	23.10.2017	117,58

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

VII. EXPLANATIONS ON LIQUIDITY RISK (Continued)

The leverage ratio table prepared in accordance with the communiqué "Regulation on Measurement and Assessment of Leverage Ratios of Banks" published in the Official Gazette no. 28812 dated 5 November 2013 is presented below. As of 31 December 2018, the leverage ratio calculated by three-month average amounts is 39,40% (31 December 2017: 28,94%).

	On-balance sheet assets	**Current Period (*)**	**Prior Period (*)**
1	On-balance sheet items (excluding derivative financial instruments and credit derivatives but including collateral)	1.057.379	983.759
2	(Assets deducted in determining Tier I capital)	(1.193)	(1.074)
3	Total on-balance sheet risks (sum of lines 1 and 2)	1.056.186	982.685
	Derivative financial instruments and credit derivatives	-	-
4	Replacement cost associated with all derivative instruments and credit derivatives	-	-
5	Add-on amounts for PFE associated with all derivative instruments and credit derivatives	-	-
6	Total risks of derivative financial instruments and credit derivatives (sum of lines 4 to 5)	-	-
	Securities or commodity financing transactions (SCFT)	-	-
7	Risks from SCFT assets (excluding on-balance sheet)	-	-
8	Risks from brokerage activities related exposures	-	-
9	Total risks related with securities or commodity financing transactions (sum of lines 7 to 8)	-	-
	Other off-balance sheet transactions	-	-
10	Gross notional amounts of off-balance sheet transactions	1.153	8.848
11	(Adjustments for conversion to credit equivalent amounts)	-	-
12	Total risks of off-balance sheet items (sum of lines 10 and 11)	1.153	8.848
	Capital and total risks		
13	Tier I capital	416.539	286.819
14	Total risks (sum of lines 3, 6, 9 and 12)	1.057.339	991.533
	Leverage ratio		
15	Leverage ratio	39,40	28,94

(*) Amounts in the table are three-month average amounts.

VIII. EXPLANATIONS ON FAIR VALUES OF FINANCIAL ASSETS AND LIABILITIES

The estimated fair value of demand deposits refers to the amount to be paid on demand. Estimated fair value of fixed rate deposits is calculated by using discounted cash flow using market interest rates applied to similar loans and other debts.

Fair values of loans are calculated discounting future cash flows at current market interest rates for fixed rateloans. The carrying values of floating-rate loans are deemed an approximation for their fair values.

The table summarizes the book value and fair value of the financial assets and liabilities that were not accounted by the values in Bank's financial statements. Book value is the sum of the acquisition value and accumulated profit share accruals.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira (“TL”).

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

VIII. EXPLANATIONS ON FAIR VALUES OF FINANCIAL ASSETS AND LIABILITIES (Continued)

TFRS 7 the standard of "Financial Instruments: Disclosures" requires to be classified according to certain levels, with items presented with fair values on the financial statements. These levels are based on the observability of the data used to calculate the fair value. The classification of the fair value is as follows:

	Carrying Value	**Fair Value**
	31 December 2018	**31 December 2018**
Financial Assets	**576.596**	**576.596**
Interbank Money Market Placements	-	-
Banks	325.126	325.126
Financial Assets at Fair Value Through Profit or Loss	492	492
Financial Assets at Fair Value through Other Comprehensive Income	245.047	245.047
Loans (*)	5.931	5.931
Financial Liabilities	**549.503**	**549.503**
Bank Deposits	413.433	413.433
Other Deposits	135.419	135.419
Miscellaneous Payables	651	651

(*) It is observed that the fair value approximates to the recorded value.

	Carrying Value	**Fair Value**
	31 December 2017	**31 December 2017**
Financial Assets	**868.231**	**868.231**
Interbank Money Market Placements	-	-
Banks	483.515	483.515
Financial Assets Available-for-Sale	376.764	376.764
Loans (*)	7.952	7.952
Financial Liabilities	**708.895**	**708.895**
Bank Deposits	309.411	309.411
Other Deposits	398.834	398.834
Miscellaneous Payables	650	650

(*) It is observed that the fair value approximates to the recorded value.

IX. EXPLANATIONS ON THE ACTIVITIES CARRIED OUT ON BEHALF AND ACCOUNT OF OTHER PERSONS

The Branch does not perform purchases, sales and custody services in the name of others. The Branch has no fiduciary based transactions.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

EXPLANATIONS ON FAIR VALUES OF FINANCIAL ASSETS AND LIABILITIES

The estimated fair value of demand deposits refers to the amount to be paid on demand. Estimated fair value of fixed rate deposits is calculated by using discounted cash flow using market interest rates applied to similar loans and other debts. Fair values of loans are calculated discounting future cash flows at current market interest rates for fixed rateloans. The carrying values of floating-rate loans are deemed an approximation for their fair values. The table summarizes the book value and fair value of the financial assets and liabilities that were not accounted by the values in Bank's financial statements. Book value is the sum of the acquisition value and accumulated profit share accruals.

a. Explanation on risk management and risk weighted amounts:

1. Risk weighted amounts:

	Overview of Risk Weighted Amounts	**Risk Weighted Amounts**		**Minimum Capital Requirements**
		Current Period	**Prior Period**	**Current Period**
1	Credit risk (excluding counterparty credit risk) (CCR)	232.811	374.365	18.625
2	Of which standardised approach (SA)	232.811	374.365	18.625
3	Of which internal rating-based (IRB) approach	-	-	-
4	Counterparty credit risk	-	-	-
5	Of which standardised approach for counterpary credit risk (SA-CCR)	-	-	-
6	Of which internal model method (IMM)	-	-	-
7	Equity position in banking book under basic risk weighting or internal rating-based	492	755	39
8	Equity investments in funds – look-through approach	-	-	-
9	Equity investments in funds – mandate-based approach	-	-	-
10	Equity investments in funds – 1250% risk weighting approach	-	-	-
11	Settlement risk	-	-	-
12	Securitisation exposures in banking book	-	-	-
13	Of which IRB ratings-based approach (RBA)	-	-	-
14	Of which IRB supervisory formula approach (SFA)	-	-	-
15	Of which SA/simplified supervisory formula approach (SSFA)	-	-	-
16	Market risk	78.842	42.075	6.307
17	Of which standardised approach (SA)	78.842	42.075	6.307
18	Of which internal model approaches (IMM)	-	-	-
19	Operational risk	89.705	49.818	7.176
20	Of which basic indicator approach	89.705	49.818	7.176
21	Of which standardised approach	-	-	-
22	Of which advanced measurement approach	-	-	-
23	Amounts below the thresholds for deduction from capital (subject to 250% risk weight)	-	-	-
24	Floor adjustment	-	-	-
25	**Total (1+4+7+8+9+10+11+12+16+19+23+24)**	**401.850**	**467.013**	**32.147**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued mı)

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

2. Differences and matching between asset and liabilities' carrying values in financial statements and risk amounts in capital adequacy calculation:

		Carrying values of items in accordance with Turkish Accounting Standards			
31 December 2018	*Carrying values in financial statements prepared as per TAS*	*Subject to credit risk*	*Carrying values in financial statements prepared as per TAS*	*Subject to credit risk*	*Carrying values in financial statements prepared as per TAS*
Assets					
Cash and Cash Equivalents	728.072	169.926	-	-	558.146
Financial Assets at Fair Value Through Profit or Loss	492	-	-	-	492
Financial Assets at Fair Value through Other Comprehensive Income	245.047	75.740	-	-	169.307
Financial Assets measured at Amortised Cost	-	-	-	-	-
Derivative Financial Assets					
Non-Performing Financial Assets	-	-	-	-	-
Expected Loss Provision	-	-	-	-	-
Loans (Net)	**5.931**	**8.290**	-	-	**4.794**
Loans	*1.059*	*982*	-	-	*77*
Lease Receivables	-	-	-	-	-
Factoring Receivables	-	-	-	-	-
Non-Performing Loans	*8.449*	*7.308*	-	-	*1.141*
Specific Provisions (-)	*(3.577)*	-	-	-	*(3.577)*
Non-current Assets or Disposal Groups "Held for Sale" and "Held from Discontinued Operations" (net)	-	-	-	-	-
Equity Investments					
Tangible Assets (net)	8.506	8.506	-	-	-
Intangible Assets (net)	352	352	-	-	-
Investment Property (net)	-	-	-	-	-
Current Tax Asset	854	854	-	-	-
Deferred Tax Asset	-	-	-	-	-
Other Assets	2.493	2.493	-	-	-
Total Assets	**991.747**	**266.162**	-	-	**732.739**
Liabilities					
Deposits	548.852	-	-	-	-
Derivative Financial Liabilities Held for Trading	-	-	-	-	-
Interbank Money Markets	-	-	-	-	-
Securities Issued	-	-	-	-	-
Funds	-	-	-	-	-
Financial Liabilities at Fair Value through Profit or Loss	-	-	-	-	-
Derivative financial liabilities	-	-	-	-	-
Factoring liabilities	-	-	-	-	-
Lease liabilities	-	-	-	-	-
Provisions	6.669	-	-	-	-
Current tax liability	7.611	-	-	-	-
Deferred tax liability	-	-	-	-	-
Liabilities for Assets Held for Sale and Assets of Discontinued Operations	-	-	-	-	-
Subordinated Debt	-	-	-	-	-
Other Liabilities	6.359	-	-	-	-
Shareholders' Equity	422.256	-	-	-	-
Total Liabilities	**991.747**	-	-	-	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

2. Differences and matching between asset and liabilities' carrying values in financial statements and risk amounts in capital adequacy calculation):

		Carrying values of items in accordance with Turkish Accounting Standards			
31 December 2017	***Carrying values in financial statements prepared as per TAS***	***Subject to credit risk***	***Carrying values in financial statements prepared as per TAS***	***Subject to credit risk***	***Carrying values in financial statements prepared as per TAS***
Assets					
Cash (Cash on Hand, Money in Transit, Purchased Cheques) and Balances With Central Bank of Turkey	133.408	3	-	-	133.405
Financial Assets Held for Trading	-	-	-	-	-
Financial Assets at Fair Value Through Profit or Loss	-	-	-	-	-
Banks	483.515	483.515	-	-	-
Interbank Money Markets Placements	-	-	-	-	-
Financial Assets Available-for-Sale	376.764	5.535	-	-	371.229
Loans	7.952	7.952	-	-	-
Factoring Receivables	-	-	-	-	-
Investment Held-to-Maturity	-	-	-	-	-
Investment in Associates	-	-	-	-	-
Investment in Subsidiaries	-	-	-	-	-
Investment in Joint-Ventures	-	-	-	-	-
Lease Receivables	-	-	-	-	-
Derivative Financial Assets Held for Risk Management	-	-	-	-	-
Tangible Assets	8.930	8.930	-	-	-
Intangible Assets	452	-	-	-	452
Investment Property	-	-	-	-	-
Tax Asset	662	662	-	-	-
Assets Held for Sale and Assets of Discontinued Operations	-	-	-	-	-
Other Assets	955	955	-	-	-
Total Assets	**1.012.638**	**507.552**	**-**	**-**	**505.086**
Liabilities					
Deposits	708.245	-	-	-	-
Derivative Financial Liabilities Held for Trading	-	-	-	-	-
Funds Borrowed	-	-	-	-	-
Interbank Money Markets	-	-	-	-	-
Securities Issued	-	-	-	-	-
Funds	-	-	-	-	-
Miscellaneous Payables	650	-	-	-	-
Other External Fundings Payable	2.517	-	-	-	-
Factoring Payables	-	-	-	-	-
Lease Payables	-	-	-	-	-
Derivative Financial Liabilities Held for Risk Management	-	-	-	-	-
Provisions	4.852	-	-	-	-
Tax Liability	3.999	-	-	-	-
Liabilities for Assets Held for Sale and Assets of Discontinued Operations	-	-	-	-	-
Subordinated Loans	-	-	-	-	-
Shareholders' Equity	292.375	-	-	-	-
Total Liabilities	**1.012.638**	**-**	**-**	**-**	**-**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

3. Main sources of differences between regulatory exposure amounts and carrying values in financial statements:

31 December 2018	Total	Items subject to credit risk framework	Items subject to securitisation framework	Items subject to counterparty credit risk framework	Items subject to market risk framework
1- Carrying Value of Assets in Accordance with TAS (as per template 1B)	991.747	365.428	-	-	-
2- Carrying Value of Liabilities in Accordance with TAS (as per template 1B)	-	-	-	-	-
3- Total net amount	991.747	365.428	-	-	-
4- Off-balance sheet amounts	602	94	-	-	-
5- Differences in valuations	-	-	-	-	-
6- Differences due to different netting rules (other than those already included in row 2)	-	-	-	-	-
7- Differences due to consideration of provisions	-	-	-	-	-
8- Differences due to prudential filters	-	-	-	-	-
9- Risk Amount	**992.349**	**365.522**	**-**	**-**	**-**

31 December 2017	Total	Items subject to credit risk framework	Items subject to securitisation framework	Items subject to counterparty credit risk framework	Items subject to market risk framework
1- Carrying Value of Assets in Accordance with TAS (as per template 1B)	1.012.638	518.549	-	-	-
2- Carrying Value of Liabilities in Accordance with TAS (as per template 1B)	-	-	-	-	-
3- Total net amount	1.012.638	518.549	-	-	-
4- Off-balance sheet amounts	3.638	1.572	-	-	-
5- Differences in valuations	-	-	-	-	-
6- Differences due to different netting rules (other than those already included in row 2)	-	-	-	-	-
7- Differences due to consideration of provisions	-	-	-	-	-
8- Differences due to prudential filters	-	-	-	-	-
9- Risk Amount	**1.016.276**	**520.121**	**-**	**-**	**-**

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

b. General qualitative information on credit risk:

1. How the business model translates into the components of the Branch's credit risk profile:

The business model of the Branch basically consists of two main business fields: collecting funds by means of demand current accounts, scattered customer time deposit accounts, especially with Bank Melllat Iran and other foreign Iranian banks repo accounts subject to the interest-free banking rules, and using those funds and equity funds to make funds available to customers. Because of these main business fields, the branch's assets have a low credit-weighted structure. Reflecting this business model, its total assets consist mainly of government bonds and domestic marketable bond securities, while the loans provided to customers remain in small proportions. The branch aims to increase the loan amount, taking into account the risk-return balance, and thus to achieve a sustainable growth.

The risk profile of the Branch indicates the types of risks to which it is exposed or expects to be exposed, and its risk level by type of risk. The largest type of risk to which the Branch is exposed or expects to be exposed within its current and target business model is not the SME or commercial customer credit risk. Although the credits remain in the active ratios, the sectoral concentration and maturity structure are followed in the scope of the risk of concentration. Conversion rates and limitations are followed for exposure risk. Intrinsic limits have been set for borrowers and credit risk groups in terms of credit risk intensities, taking into account the coherent size orders. Country limits have been established in order to prevent concentration in the countries determined within the scope of the country risk. Although it is a branch status and ownership structure is naturally higher country risk is Iran, it is considered to include a reasonably low risk. In legal reporting, risks in Iran and other countries are monitored in accordance with BRSA regulations.

2. Criteria and approach used for defining credit risk policy and for setting credit risk limits:

The main purpose of the credit risk policy is to measure the counterparty risk undertaken as part of a credit transaction, to monitor the risk against the legal limits and the Branch's internal limits, to research new techniques and applications for measuring and controlling the risk, to monitor overdue receivables, to analyze the reason of overdue, and to take measures to prevent such reasons from repeating. The term 'credit risk' refers to the potential loss the branch might be exposed to because of credit borrowers' partial or full default of the credit agreements they signed with the branch. This term also includes the loss of market value because of the breakdown of the counterparty's financial position. This term includes on-balance sheet and off-balance sheet transactions too.

Risk limits; as part of the risk appetite structure, are determined by considering the size of the branch in the capital structure and the financial system. In this context the appetite for risk approved by the Board of Managers are divided between and allocated to other levels considered necessary by type of risk. The uses of the limits are closely monitored, and overdrafts are reported to the executive management for ensuring the necessary measures to be taken.

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

3. Structure and organization of the credit risk management and control function:

Risk Management, by Internal Control - Compliance and Internal Audit Units, works under the Audit Committee is affiliated to the Board of Managers. Risk Management Unit to which it is affiliated are responsible for implementing the strategies and policies approved by the Branch Management Board and for carrying out other duties assigned by the Internal Systems Supervisor performing the Audit Committee mission.

4. Relations between the credit risk management, risk control, compliance and internal audit functions:

The units within the scope of the internal systems were established in accordance with the Board of Managers within the branch organization structure. The board of managers has delegated its duties and responsibilities within internal systems to the Audit Committee, which is designated as Internal Systems Responsible. These units carry out their activities under the supervision of the Internal Systems Supervisor.

The internal control function of the Branch is performed by the Internal Control Department. Internal Control System has been founded in such a manner to be capable and efficient to mitigate, manage, monitor and control the exposure risks of the Branch in accordance with the Branch's organizational structure and business fields as well as changing circumstances, and covers all domestic and international branches, head office, consolidated subsidiaries and all business activities of the Branch. The internal control system and internal control activities of the Branch are designed by the Internal Control Department in cooperation with the relevant management executives and are performed at a sufficient and efficient extent.

Compliance checks are carried out within the Internal Control Unit in accordance with the legislation in accordance with the structure of the Branch efforts are being made to ensure that the risk of compliance in the branch is effectively managed and controlled, that such risks are identified and prevented before they occur, and that the activities of the Branch are carried out in accordance with the relevant legislation and regulations in a continuous manner.

Risk Management Department performs the tasks of determining, measuring and managing the exposure risks of the branch. An efficient risk management system infrastructure has been established for credit risk management tasks, credit policy, and risk management activities falling within the credit risk policy. The internal credit risk limits set by the Board of Managers are measured and reported at regular intervals to the Audit Committee.

Internal audit department is in charge of assuring the Board of Managers and the executive management that the Branch's business activities are performed in accordance with the Banking Law, other applicable laws and regulations and the internal strategies, policies, principles and targets of the branch, and that the internal control and risk management systems are efficient and sufficient.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

5. Scope and main content of the reporting on credit risk exposure and on the credit risk management function to the executive management and to the Board of Managers

Risks exposed to the Branch are reported on the basis of risk types in daily / monthly and periodic regular reports provided to the Board of Managers and senior management. Credit risk reporting includes the following main content.

The asset quality is analyzed and compared to the previous period in the framework of the Regulation on the Procedures and Principles for the Determination of the Qualifications of Loans and Other Receivables by Banks and the Provisions to be subscribed and thus the sustainability of the asset quality is monitored. Credit risk limits and realizations in the related period. Loan disbursements are monitored on the basis of cash, non-cash and total loans. Risk limits and realizations are defined for the risk appetite of the Branch.

Distribution of cash loans according to cash flows is monitored. Administrative and legal follow-up customers are monitored as well. In addition, the limits and limits of the Branch Risk Group are being reported.

Country ratings, limits and limit achievements are being followed and compared with the previous period.

In order to observe whether there is an increase or decrease in the value of the real estate collateral acquired during the fund disbursement process, the analysis of the real estate price index is examined and the appraisal values are updated routinely and at necessary intervals.

Credit quality of assets:

	31 December 2018	**Gross carrying value as per TAS**		**Allowances/ amortisation and impairments**	**Net values**
		Defaulted	**Non-defaulted**		
1	Loans	8.449	5.931	3.577	10.803
2	Debt securities	-	247.798	2.259	245.539
3	Off-balance sheet exposures (*)	563	826	225	1.164
4	**Total**	**9.012**	**254.555**	**6.061**	**257.506**

(*) Non-indemnified cash non-cash loans are included.

	31 December 2017	**Gross carrying value as per TAS**		**Allowances/ amortisation and impairments**	**Net values**
		Defaulted	**Non-defaulted**		
1	Loans	8.305	2.819	3.172	7.952
2	Debt securities	-	377.246	482	376.764
3	Off-balance sheet exposures (*)	401	8.709	100	9.010
4	**Total**	**8.706**	**388.774**	**3.754**	**393.726**

(*) Non-indemnified cash non-cash loans are included.

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

Changes in stock of defaulted loans and debt securities:

		Current Period (*)
1	Defaulted loans and debt securities at end of the previous reporting period	8.706
2	Loans and debt securities that have defaulted since the last reporting period	-
3	Receivables back to non-defaulted status	-
4	Amounts written off	-
5	Other changes	306
6	**Defaulted loans and debt securities at end of the reporting period (1+2-3-4±5)**	**9.012**

(*) Non-indemnified cash non-cash loans are included.

		Prior Period (*)
1	Defaulted loans and debt securities at end of the previous reporting period	7.332
2	Loans and debt securities that have defaulted since the last reporting period	1.350
3	Receivables back to non-defaulted status	-
4	Amounts written off	-
5	Other changes	24
6	**Defaulted loans and debt securities at end of the reporting period (1+2-3-4±5)**	**8.706**

(*) Non-indemnified cash non-cash loans are included.

6. Qualitative disclosures related to the credit quality of assets:

a) Scope and definitions of "overdue" and "provision allocated" receivables for accounting purposes and the differences of definitions between "overdue" and "provision allocated", if any.

Overdue receivables and provision allocated receivables are determined according to the Communique on Principles and Procedures for the Determination of the Quality of Loans and Other Receivables and Reserves.

b) The part of the overdue receivables (past 90 days) for which provision is not allocated and reasons for this application

Provisions are made on time and at the required rates within the scope of the legislation. Within the branch capital structure, the amount of credits required to allocate both loans and special provisions in general is very low.

c) Definitions of the methods used when determining the provision amount

The minimum legal reserve requirement ratios stated in the same 7th and 8th articles of the Regulation on loans or other receivables classified in the third, fourth, fifth group defined in Article 4 of the Regulation on the Procedures and Principles for the Determination of the Qualifications of Loans and Other Receivables and the Provisions to be Forbidden by Banks, Including the minimum legal guarantees defined in Articles 9 and 10.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

d) Definitions of restructured receivables

According to the Principles and Procedures for the Determination of the Quality of Loans and Other Receivables and Reserves, restructuring for the performing and non-performing loans means new contractural conditions only for the loan obligators encountered or likely to be encountered in repayment as a result of financial difficulties, excluding loan obligators with no repayment difficulties.

e) Breakdown of exposures by geographical areas, industry and aging:

Current Period (*)	Non-performing Loans	Special Provision	Write-Offs
Domestic	9.012	3.577	-
European Union (EU) Countries	-	-	-
OECD Countries	-	-	-
Off-Shore Banking Countries	-	-	-
USA, Canada	-	-	-
Other Countries	-	-	-
Total	**9.012**	**3.577**	**-**

(*) Indemnified- non cash loan amounts which are not included.

Prior Period (*)	Non-performing Loans	Special Provision	Write-Offs
Domestic	8.706	3.172	-
European Union (EU) Countries	-	-	-
OECD Countries	-	-	-
Off-Shore Banking Countries	-	-	-
USA, Canada	-	-	-
Other Countries	-	-	-
Total	**8.706**	**3.172**	**-**

(*) Indemnified- non cash loan amounts which are not included.

Current Period	Up to 3 Months	3-12 Months	1-3 Years	3-5 Years	5 Years and Over
Corporate and Commercial Loans	333	-	35	-	-
Retail Loans	1	133	557	-	-
Credit cards	-	-	-	-	-
Other	-	-	-	-	-
Total	**334**	**133**	**592**	**-**	**-**

Prior Period	Up to 3 Months	3-12 Months	1-3 Years	3-5 Years	5 Years and Over
Corporate and Commercial Loans	1.728	572	56	-	-
Retail Loans	1	52	410	-	-
Credit cards	-	-	-	-	-
Other	-	-	-	-	-
Total	**1.729**	**624**	**466**	**-**	**-**

f) Credit risk mitigation techniques:

In accordance with Article 33 of the Communique on Credit Risk Reduction Techniques, the Branch reduces the credit risk according to the simple financial guarantee method in which the risk reduction effects are calculated based on the fair value determined in accordance with Article 19 of the Communiqué on financial guarantees.

In the credit risk reduction calculations, no tools other than cash or similar assets are considered.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

Financial collateral can not be used for credit reduction if the remaining maturity of the collateral is less than the remaining maturity (maturity mismatch) and / or currency incompatibility of receivables.

	31 December 2018	Exposures unsecured: carrying amount as per TAS	Exposures secured by collateral	Collateralized amount of exposures secured by collateral	Exposures secured by financial guarantees	Collateralized amount of exposures secured by financial guarantees	Exposures secured by credit derivatives	Collateralized amount of exposures secured by credit derivatives
1	Loans	5.931	585	585	-	-	-	-
2	Debt securities	232.222	-	-	-	-	-	-
3	**Total**	**238.153**	**585**	**585**	**-**	**-**	**-**	**-**
4	Overdue	8.449	-	-	-	-	-	-

	31 December 2017	Exposures unsecured: carrying amount as per TAS	Exposures secured by collateral	Collateralized amount of exposures secured by collateral	Exposures secured by financial guarantees	Collateralized amount of exposures secured by financial guarantees	Exposures secured by credit derivatives	Collateralized amount of exposures secured by credit derivatives
1	Loans	2.819	8.639	8.639	-	-	-	-
2	Debt securities	376.764	-	-	-	-	-	-
3	**Total**	**379.583**	**8.639**	**8.639**	**-**	**-**	**-**	**-**
4	Overdue	8.305	5.133	-	-	-	-	-

c. Information on counterparty credit risk (CCR):

a) Risk management objectives and policies for CCR:

Determination of the creditworthiness of financial counterparties has been made in addition to the Credit Policy of the Branch in accordance with the regulations published by BRSA and the international practices in order to limit the exposure to be suffered by the Branch in case of financial counterparty default. This annex describes allocation of limit to financial counterparties and continuous monitoring activities. In this respect, the creditworthiness assessments of the financial and non-financial entities for CCRs especially including sovereign assessments and limits are finally decided by the committees specified under the Policy.

b) The method used to allocate the operational limits defined in terms of internal capital for CCR and central counterparty risks:

Internal model method is not used for calculating the capital requirements for counterparty credit risk and central counterparty risks.

c) Policies relating to guarantees and other risk mitigation and assessments concerning counterparty credit risk, including central counterparty risk:

When it is necessary, cash collateral is taken if it is possible and the risk is reduced. As a general principle in risk hedging, risk can be reduced by taking a real estate mortgage lien which has high value margin according to the risk. However, only cash and similar collateral are taken into account in the calculation of credit risk mitigation techniques.

d) Rules with respect to wrong-way risk:

Internal model is not used for CCR; and as such, no calculation is made with respect to the wrong-way risk.

e) The impact in terms of the amount of collateral that the bank is required to provide in case of a credit rating downgrade:

For the cash risk-bearing transactions that the Branch owes, Borrowing is not ensured by providing collateral in the current situation. Therefore, there will be no such influence in the downgrading of a possible rating of the Branch, such contracts do not include such articles.

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

f) Counterparty credit risk (CCR) approach analysis:

	Current Period	Replacement cost	Potential future exposure	EEPE (Effective Expected Positive Exposure)	Alpha used for computing regulatory EAD	EAD post-CRM	RWA
1	Standardised Approach CCR (for derivatives)						
2	Internal Model Method (for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions)	-	-	-	-	-	-
3	Simple Approach for credit risk mitigation (for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions)	-	-	-	-	-	-
4	Comprehensive Approach for credit risk mitigation (for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions)	-	-	-	-	-	-
5	Value-at-Risk (VaR) for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions	-	-	-	-	-	-
6	**Total**	-	-	-	-	-	-

	Prior Period	Replacement cost	Potential future exposure	EEPE (Effective Expected Positive Exposure)	Alpha used for computing regulatory EAD	EAD post-CRM	RWA
1	Standardised Approach CCR (for derivatives)						
2	Internal Model Method (for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions)	-	-	-	-	-	-
3	Simple Approach for credit risk mitigation (for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions)	-	-	-	-	-	-
4	Comprehensive Approach for credit risk mitigation (for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions)	-	-	-	-	-	-
5	Value-at-Risk (VaR) for repo transactions, securities or commodity lending or borrowing transactions, long settlement transactions and securities financing transactions	-	-	-	-	-	-
6	**Total**	-	-	-	-	-	-

g) Capital requirement for credit valuation adjustment (CVA):

	Current Period	EAD post-CRM	Risk Weighted Amounts
	Total portfolios subject to the Advanced CVA capital obligation	-	-
1	(i) VaR component (including the 3×multiplier)	-	-
2	(ii) Stressed VaR component (including the 3×multiplier)	-	-
3	All portfolios subject to the Standardised CVA capital obligation	-	-
4	**Total subject to the CVA capital obligation**	**-**	**-**

	Prior Period	EAD post-CRM	Risk Weighted Amounts
	Total portfolios subject to the Advanced CVA capital obligation	-	-
1	(i) VaR component (including the 3×multiplier)	-	-
2	(ii) Stressed VaR component (including the 3×multiplier)	-	-
3	All portfolios subject to the Standardised CVA capital obligation	-	-
4	**Total subject to the CVA capital obligation**	**-**	**-**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

a) CCR exposures by risk class and risk weights

31 December 2018

Risk Classes / Risk Weights		%0	%10	%20	%50	%75	%100	%150	%200	Others	Total credit risk
1	Receivables from central governments and Central Banks	118.641	-	-	-	-	-	-	-	-	118.641
2	Receivables from regional and local government	-	-	-	-	-	-	-	-	-	-
3	Receivables from administrative bodies and non-commercial entities	-	-	-	-	-	-	-	-	-	-
4	Receivables from multilateral development banks	-	-	-	-	-	-	-	-	-	-
5	Receivables from international organizations	-	-	-	-	-	-	-	-	-	-
6	Receivables from banks and brokerage houses	-	-	362.534	-	-	37.145	-	-	-	399.679
7	Receivables from corporate	-	-	-	-	-	83	-	-	-	83
8	Retail receivables	-	-	-	-	692	577	-	-	-	1.269
9	Receivables secured by residential property	-	-	-	-	-	-	-	-	-	-
10	Receivables secured by commercial property	-	-	-	-	-	-	-	-	-	-
11	Non-performing receivables	-	-	-	-	-	5.210	-	-	-	5.210
12	Receivables in high-risk categories	-	-	-	-	-	-	-	-	-	-
13	Mortgage-backed securities	-	-	-	-	-	-	-	-	-	-
14	Short term receivables to banks, brokerage houses and corporates	-	-	-	-	-	-	-	-	-	-
15	Investments similar to collective investment funds	-	-	-	-	-	-	-	-	-	-
16	Equity share investments	-	-	-	-	-	492	-	-	-	492
17	Other receivables	230.839	-	-	-	-	117.216	-	-	-	348.055
18	**Total**	**349.480**	**-**	**362.534**	**-**	**692**	**160.723**	**-**	**-**	**-**	**873.429**

31 December 2017

Risk Sınıfları / Risk Ağırlığı		%0	%10	%20	%50	%75	%100	%150	%200	Diğerleri	Toplam kredi riski
1	Receivables from central governments and Central Banks	221.266	-	-	-	-	3	-	-	-	221.269
2	Receivables from regional and local government	-	-	-	-	-	-	-	-	-	-
3	Receivables from administrative bodies and non-commercial entities	-	-	-	-	-	-	-	-	-	-
4	Receivables from multilateral development banks	-	-	-	-	-	-	-	-	-	-
5	Receivables from international organizations	-	-	-	-	-	-	-	-	-	-
6	Receivables from banks and brokerage houses	-	-	486.711	41.224	-	235.284	-	-	-	763.219
7	Receivables from corporate	-	-	-	-	-	1.547	-	-	-	1.547
8	Retail receivables	-	-	-	-	-	3.876	458	-	-	4.334
9	Receivables secured by residential property	-	-	-	-	-	-	-	-	-	-
10	Receivables secured by commercial property	-	-	-	-	-	-	-	-	-	-
11	Non-performing receivables	-	-	-	-	-	5.535	-	-	-	5.535
12	Receivables in high-risk categories	-	-	-	-	-	-	-	-	-	-
13	Mortgage-backed securities	-	-	-	-	-	-	-	-	-	-
14	Short term receivables to banks, brokerage houses and corporates	-	-	-	-	-	-	-	-	-	-
15	Investments similar to collective investment funds	-	-	-	-	-	-	-	-	-	-
16	Equity share investments	-	-	-	-	-	755	-	-	-	755
17	Other receivables	22.477	-	-	-	-	9.919	-	-	-	32.396
18	**Total**	**243.743**	**-**	**486.711**	**41.224**	**-**	**256.919**	**458**	**-**	**-**	**1.029.055**

d. Explanations on securitization positions:

None.

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

e. Qualitative explanations on market risk:

1. Bank's processes and strategies:

The Branch defines market risk as market prices and changes in market parameters such as interest, exchange rate and stocks as the value of assets in the resulting trading accounts.

The Risk Management Policies and Implementation Procedures prepared in the framework of "Regulation on Assessment of Internal Systems and Internal Capital Adequacy of Banks" and "Regulation on Measurement and Assessment of Capital Adequacy of Banks" published in the Official Gazette No. 29057 dated 11 July 2014.

The Branch does not actively trade on its own behalf and account, it does not carry any trading securities or commodity position and does not use derivative instruments.

The effects of fluctuations in the interest rates of the Turkish lira, especially due to the securities available for sale, are assessed using the method of durations.

Another market risk that the bank is exposed to is the currency risk. This authority has been transferred to the Risk Committee by the Board of Managers together with the authority of the Board of Managers in principle to determine the rules and limitations regarding the direction, amount and composition of the Branch foreign exchange position. Risk Committee evaluates economic developments in Turkey and in the world at appropriate intervals and makes amendments that are appropriate for limits and limitations on foreign exchange position.

The components of the market risk are closely monitored within the limits accepted by the Board of Managers.

2. The organization and structure of the market risk management function:

Definition of the market risk management structure established for the implementation of the Branch's strategies and processes and the communication mechanism and relationship between the different parties involved in market risk management, as described in part 1.

The market risk service operates under Risk Management Department. This service directly reports to the Board Member responsible for Internal Systems. The results of risk measurement and risk monitoring are shared with other related units. The activities coordinated within the Internal Capital Adequacy Assessment Process are carried out together with other relevant departments of the Branch

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

3. Structure and scope of risk reporting and/or measurement systems:

Within the scope of risk management system, the Branch established a reporting system which ensures effective analysis and evaluation for market risks. The risk measurement and risk monitoring results is reported to the Board Member responsible for Internal Systems and Board of Managers on a timely manner.

There is a risk measurement system which covers the scope and complexity of significant market risk components including transactions and operations exposed to market risk.

Notes and explanations prepared in accordance with "the Communiqué on Disclosures about Risk Management to be Announced to Public by Banks" published in Official Gazette no. 29511 on 23 October 2015 and became effective as of 31 March 2016 are presented in this section. The notes to be presented within the scope of internal rating based approach have not been presented due to use of standard approach for the calculation of capital adequacy ratio by the Bank.

4. Market risk under standardised approach:

		Risk Weighted Amounts	
		Current Period	**Current Period**
	Direct (Pre-paid) Products	**6.268**	**3.366**
1	Profit share risk (general and specific)	-	-
2	Equity risk (general and specific)	-	-
3	Foreign exchange risk	6.268	3.366
4	Commodity risk	-	-
	Options	-	-
5	Simplified approach	-	-
6	Delta-plus method	-	-
7	Scenario approach	-	-
8	**Securitisation**	-	-
9	**Total**	**6.268**	**3.366**

f. Explanation on Operational Risk:

The operational risk base amount is calculated according to the basic indicator method in accordance with Article 14 of the Regulation on Measurement and Evaluation of Capital Adequacy of Banks.

Annual gross income is calculated as the sum of the net amounts of interest incomes and non-interest income after deducting the profit / loss arising from the sale of marketable securities that are available for sale and securities held to maturity and the amounts compensated from extraordinary income and insurance.

Current Year

Basic Indicator Method	31.12.2015	31.12.2016	31.12.2017	Total/ No. of Years of Positive Gross	Rate (%)	Total
Gross Income	22.957	41.071	79.499	47.842	15	7.176
Value at Operational Risk (Total*12.5)						89.704

Prior Year

Basic Indicator Method	31.12.2014	31.12.2015	31.12.2016	Total/ No. of Years of Positive Gross	Rate (%)	Total
Gross Income	15.680	22.957	41.071	26.569	15	3.985
Value at Operational Risk (Total*12.5))						49.817

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

g. Profit-share rate risk related to banking book:

1. Economic value differences arising from fluctuations in profit share rates in accordance with the regulation on measurement and evaluation of profit share rates derived from banking accounts with standard shock method

Current Period

Currency	Applied Shock (+/- basis points)	Gains/Losses	Gains/Shareholder's equity-Losses/shareholder's equity
1. TL	(+) 500	(4.473)	%(1,06)
	(-) 400	3.801	%0,90
2. USD	(+) 200	-	%0,00
	(-) 200	-	%0,00
3. EUR	(+) 200	-	%0,00
	(-) 200	-	%0,00
Total (For negative shocks)		**3.801**	**%0,90**
Total (For positive shocks)		**(4.473)**	**%(1,06)**

Prior Period

Currency	Applied Shock (+/- basis points)	Gains/Losses	Gains/Shareholder's equity-Losses/shareholder's equity
1. TL	(+) 500	(4.792)	%(1,63)
	(-) 400	4.099	%1,40
2. USD	(+) 200	(1)	%0,00
	(-) 200	1	%0,00
3. EUR	(+) 200	(33)	%(0,011)
	(-) 200	(11)	%(0,004)
Total (For negative shocks)		**4.089**	**%1,39**
Total (For positive shocks)		**(4.826)**	**%(1,64)**

h. Risk management objectives and policies:

Risk is defined as the probability of a loss of monetary loss related to a transaction or activity, or a decrease in economic benefit if a loss or damage occurs.

The Branch is exposed to some risks due to the activities it has undertaken to achieve its objectives. The aim of risk management is to identify, measure, report, monitor and control the risks exposed through defined application procedures and limits and to determine the internal capital requirement in accordance with the risk profile to be adopted in this context.

In defining risk management policy and implementation procedures, the following points are taken into consideration.

- The vision, mission, strategy and goals of the Branch
- Priority and weighted areas of activity of the Branch, products and their volume and characteristics
- The organizational structure of the Branch, human resources
- Past events and experiences related to exposure risks
- Database coverage and quality of risk management,
- The level of technological competence of the Branch and its contribution to risk monitoring and management activities,
- Intrinsic capital requirement and actual equity level and the level of risk compatible with them.

Risk management policies and procedures are determined and developed taking into account such factors as the size of the bank, the scope and complexity of the activities, and the product variety used. Management of credit risk is of great importance when evaluated from these angles.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

INFORMATION RELATED TO FINANCIAL STRUCTURE AND RISK MANAGEMENT OF THE BRANCH (Continued)

X. EXPLANATIONS ON RISK MANAGEMENT (Continued)

Hierarchy of valuation techniques which establishes basis for fair value calculation of financial assets and liabilities:

Level 1: Quoted prices in active markets for identical assets and liabilities

Level 2: Inputs other than quoted prices included within Level 1 that are observable market information for the assets or liability, either directly or indirectly.

Level 3: Inputs for the asset or liability that is not based on observable market information.

According to the classification principles, the fair value classification of the financial assets and liabilities for which the Branch is carrying at fair value is as follows:

31 December 2018	**Level 1**	**Level 2**	**Level 3**	**Total**
Financial Assets at Fair Value Through Profit or Loss	**492**	**-**	**-**	**492**
Government Debt Securities	-	-	-	-
Share Certificates	492	-	-	492
Other Financial Assets	-	-	-	-
Financial Assets at Fair Value Through Other Comprehensive Income	**153.106**	**91.941**	**-**	**245.047**
Government Debt Securities	78.552	91.941	-	170.493
Share Certificates	-	-	-	-
Other Financial Assets	74.554	-	-	74.554
Total Assets	**153.598**	**91.941**	**-**	**245.539**
Derivative financial liabilities held for trading	-	-	-	-
Funds Borrowed	-	-	-	-
Derivative financial liabilities for hedging purposes	-	-	-	-
Total Liabilities	**-**	**-**	**-**	**-**
31 December 2017	**Level 1**	**Level 2**	**Level 3**	**Total**
Financial Assets in Fair Value Reflected to Profit or Loss	**-**	**-**	**-**	**-**
Government Debt Securities	-	-	-	-
Securities Representing Shareholding in the Company	-	-	-	-
Derivative Financial Assets Held for Trading	-	-	-	-
Financial Assets Available for Sale	**168.572**	**208.192**	**-**	**376.764**
Government Debt Securities	100.228	-	-	100.228
Other Marketable Securities	68.344	208.192	-	276.536
Total Assets	**168.572**	**208.192**	**-**	**376.764**
Derivative financial liabilities held for trading	-	-	-	-
Derivative financial liabilities for hedging purposes	-	-	-	-
Total Liabilities	**-**	**-**	**-**	**-**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

SECTION FIVE

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS

I. EXPLANATIONS AND NOTES RELATED TO ASSETS

a. Information related to cash and the account of the Central Bank of the Republic of Turkey (the "CBRT):

1. Information related to cash and the account of CBRT:

	31 December 2018	
	TL	**FC**
Cash	38.675	192.164
The CBRT	172.107	-
Other	-	-
Total	**210.782**	**192.164**

	31 December 2017	
	TL	**FC**
Cash	244	21.455
The CBRT	22.798	88.911
Other	-	-
Total	**23.042**	**110.366**

2. Information related to the account of the CBRT:

	31 December 2018	
	TL	**FC**
Demand Unrestricted Account	92.962	-
Time Unrestricted Account	-	-
Time Restricted Account	-	-
Reserve Requirement (1)	79.145	-
Total	**172.107**	**-**

(1) According to the CBRT correspondence dated 7 August 2018, the reserve requirement for foreign currency liabilities are established in TL with the reserve requirement for TL liabilities classified under "Reserve Requirement".

	31 December 2017	
	TL	**FC**
Demand Unrestricted Account (1)	286	-
Time Unrestricted Account	-	4.503
Time Restricted Account	22.512	-
Reserve Requirement	-	84.408
Total	**22.798**	**88.911**

(1) The TL reserve requirement has been classified in "Central Bank Demand Unrestricted Account".

3. Information on reserve requirements:

The reserve rates for TL liabilities vary between 1,5% and 8% for TL deposits and other liabilities according to their maturities as of 31 December 2018 (31 December 2017: 4% and 10,5% for all TL liabilities). The reserve rates for foreign currency liabilities vary between 4% and 20% for deposit and other foreign currency liabilities according to their maturities as of 31 December 2018 (31 December 2017: 4% and 24% for all foreign currency liabilities). According to the CBRT correspondence dated 7 August 2018, as of the reserve requirement period dated 10 August 2018, the reserve requirement for foreign currency liabilities are established in TL.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued)

3. Information on reserve requirements (Continued):

Within the scope of the reserve facility, the reserve requirements for FC liabilities are calculated at a margin of 10% with the US dollar foreign exchange buying rates announced in the Official Gazette on the date of calculating the TL equivalent liabilities.

b. Information on financial assets at fair value through profit or loss:

As of 31 December 2018, the financial assets at fair value thrugh profit or loss is net TL 492 (31 December 2017: None).

c. Information on Banks:

1. Information on banks:

	31 December 2018	
	TL	**FC**
Banks		
Domestic	111.190	56.245
Foreign	-	157.201
Head Quarters and Branches Abroad	1	489
Other Financial Institutions	-	-
Total	**111.191**	**213.935**

	31 December 2017	
	TL	**FC**
Banks		
Domestic	97.166	218.252
Foreign	-	126.670
Head Quarters and Branches Abroad	1	41.426
Other Financial Institutions	-	-
Total	**97.167**	**386.348**

1. Information on foreign banks account:

	Unrestricted Amount	**Restricted Amount**	**Unrestricted Amount**	**Restricted Amount**
	31 December 2018	**31 December 2018**	**31 December 2017**	**31 December 2017**
EU Countries	156.726	-	126.319	-
USA, Canada	-	-	-	-
OECD Countries (1)	45	-	34	-
Off-Shore Banking Regions	-	-	-	-
Other	919	-	41.744	-
Total	**157.690**	**-**	**168.097**	**-**

(1) OECD countries except EU countries, USA and Canada

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued)

d. Information on financial assets at fair value through other comprehensive income:

1. As of 31 December 2018 there are no available for-sale-financial assets subject to repo transactions (31 December 2017: None).

2. As of 31 December 2018 there are no available-for-sale financial assets given as collateral/blocked amount (31 December 2017: None).

3. Information on financial assets at fair value through other comprehensive income:

	31 December 2018
Debt Securities	246.560
Quoted on Stock Exchange	246.560
Not Quoted	-
Share Certificates	-
Quoted on Stock Exchange	-
Not Quoted	-
Impairment Provision (-)(1)	(1.513)
Total	**245.047**

(1) As of 31 December 2018, impairment provision of financial assets at fair value through other comprehensive income is TL 1.513.

4. Information on available-for-sale financial assets:

	31 December 2017
Debt Securities	376.133
Quoted on Stock Exchange	376.133
Not Quoted	-
Share Certificates	1.237
Quoted on Stock Exchange	1.237
Not Quoted	-
Impairment Provision (-)(1)	(606)
Total	**376.764**

(1) As of 31 December 2017 impairment provision for share certificates is TL 482, impairment provision for debt securities is TL 124.

e. Information on loans:

1. Information on all types of loans and advances given to shareholders and employees of the Branch:

	31 December 2018	
	Cash	Non-cash
Direct Loans Granted to Branch's Shareholders	-	-
Corporate Shareholders	-	-
Real Person Shareholders	-	-
Indirect Loans Granted to Branch's Shareholders	-	-
Loans Granted to Branch's Employees	692	-
Total	692	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued)

e. Information on loans (Continued):

	31 December 2017	
	Cash	**Non-cash**
Direct Loans Granted to Branch's Shareholders	**-**	**-**
Corporate Shareholders	-	-
Real Person Shareholders	-	-
Indirect Loans Granted to Branch's Shareholders	**-**	**-**
Loans Granted to Branch's Employees	**463**	**-**
Total	**463**	**-**

2. Information on the first and second group loans, other receivables and loans that have been restructured or rescheduled and other receivables:

Cash Loans (31 December 2018)	**Standard Loans and Other Receivables**			**Loans and Other Receivables Under Close Monitoring**		
	Loans and Other Receivables (Total)	**Loans and Receivables with Revised Contract Terms**			**Loans and Other Receivables (Total)**	
		Extension of Repayment Plan	**Other**		**Extension of Repayment Plan**	**Other**
Non-specialized Loans	**1.059**	**-**	**-**	**-**	**-**	**-**
Working Capital Loans	-	-	-	-	-	-
Export Loans	-	-	-	-	-	-
Import Loans	-	-	-	-	-	-
Loans to Financial Sector	-	-	-	-	-	-
Consumer Loans	692	-	-	-	-	-
Credit Cards	-	-	-	-	-	-
Others [1]	367	-	-	-	-	-
Specialization Loans	**-**	**-**	**-**	**-**	**-**	**-**
Other Receivables	**-**	**-**	**-**	**-**	**-**	**-**
Total	**1.059**	**-**	**-**	**-**	**-**	**-**

(1) Discount notes are included that the balance.

Cash Loans (31 December 2017)	**Standard Loans and Other Receivables**			**Loans and Other Receivables Under Close Monitoring**		
	Loans and Other Receivables (Total)	**Loans and Receivables with Revised Contract Terms**			**Loans and Other Receivables (Total)**	
		Extension of Repayment Plan	**Other**		**Extension of Repayment Plan**	**Other**
Non-specialized Loans	**2.819**	**-**	**-**	**-**	**-**	**-**
Working Capital Loans	-	-	-	-	-	-
Export Loans	-	-	-	-	-	-
Import Loans	-	-	-	-	-	-
Loans to Financial Sector	-	-	-	-	-	-
Consumer Loans	463	-	-	-	-	-
Credit Cards	-	-	-	-	-	-
Others [1]	2.356	-	-	-	-	-
Specialization Loans	**-**	**-**	**-**	**-**	**-**	**-**
Other Receivables	**-**	**-**	**-**	**-**	**-**	**-**
Total	**2.819**	**-**	**-**	**-**	**-**	**-**

(1) Discount notes are included that the balance.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued)

3. Loans and other receivables with extended payment plans:

   None (31 Aralık 2017: None).

4. Information on consumer loans, consumer credit cards, personnel loans and personnel credit cards:

31 December 2018	**Short-term**	**Long and medium term**	**Total**
Consumer Loans - TL	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Consumer Loans - FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Consumer Loans - FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Consumer Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Consumer Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Loans - TL	**25**	**667**	**692**
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	25	667	692
Other	-	-	-
Personnel Loans – FC indexed	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Personnel Loans-FC	-	-	-
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Personnel Credit Cards – TL	-	-	-
With installment	-	-	-
Without installment	-	-	-
Personnel Credit Cards – FC	-	-	-
With installment	-	-	-
Without installment	-	-	-
Overdraft-TL (Real Person)	-	-	-
Overdraft-FC (Real Person)	-	-	-
Total	**25**	**667**	**692**

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued)

4. Information on consumer loans, consumer credit cards, personnel loans and personnel credit cards (continued):

31 December 2017	**Short-term**	**Long and medium term**	**Total**
Consumer Loans - TL	**-**	**-**	**-**
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Consumer Loans - FC indexed	**-**	**-**	**-**
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Consumer Loans - FC	**-**	**-**	**-**
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Consumer Credit Cards - TL	**-**	**-**	**-**
With installment	-	-	-
Without installment	-	-	-
Consumer Credit Cards - FC	**-**	**-**	**-**
With installment	-	-	-
Without installment	-	-	-
Personnel Loans - TL	**-**	**463**	**463**
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	463	463
Other	-	-	-
Personnel Loans - FC indexed	**-**	**-**	**-**
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Personnel Loans - FC	**-**	**-**	**-**
Housing loans	-	-	-
Automotive loans	-	-	-
General Purpose Loans	-	-	-
Other	-	-	-
Personnel Credit Cards - TL	**-**	**-**	**-**
With installment	-	-	-
Without installment	-	-	-
Personnel Credit Cards - FC	**-**	**-**	**-**
With installment	-	-	-
Without installment	-	-	-
Overdraft-TL (Real Person)	**-**	**-**	**-**
Overdraft-FC (Real Person)	**-**	**-**	**-**
Total	**-**	**463**	**463**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

KONSOLİDE OLMAYAN FİNANSAL TABLOLARA İLİŞKİN AÇIKLAMA VE DİPNOTLAR (Devamı)

I. BİLANÇONUN AKTİF KALEMLERİNE İLİŞKİN AÇIKLAMA VE DİPNOTLAR (Devamı)

5. Information on commercial installment loans and corporate credit cards:

	31 December 2018			31 December 2017		
	Short Term	**Medium and Long Term**	**Total**	**Short Term**	**Medium and Long Term**	**Total**
Commercial Loans with Installment Facility - TL	**-**	**34**	**34**	**300**	**56**	**356**
Business Loans	-	-	-	-	-	-
Vehicle Loans	-	-	-	-	-	-
General Purpose Loans	-	34	34	300	56	356
Other	-	-	-	-	-	-
Commercial Loans with Installment Facility – Indexed to FC	-	-	-	-	-	-
Business Loans	-	-	-	-	-	-
Vehicle Loans	-	-	-	-	-	-
General Purpose Loans	-	-	-	-	-	-
Other	-	-	-	-	-	-
Commercial Loans with Installment Facility – FC	-	-	-	-	-	-
Business Loans	-	-	-	-	-	-
Vehicle Loans	-	-	-	-	-	-
General Purpose Loans	-	-	-	-	-	-
Other	-	-	-	-	-	-
Corporate Credit Cards – TL	-	-	-	-	-	-
Installment	-	-	-	-	-	-
Non – Installment	-	-	-	-	-	-
Corporate Credit Cards – FC	-	-	-	-	-	-
Installment	-	-	-	-	-	-
Non – Installment	-	-	-	-	-	-
Overdraft Accounts – TL (Legal Entities)	-	-	-	-	-	-
Overdraft Accounts – FC (Legal Entities)	-	-	-	-	-	-
Total	**-**	**34**	**34**	**300**	**56**	**356**

6. Loans according to type of borrowers:

	31 December 2018	31 December 2017
Public	-	-
Private	1.059	2.819
Total	**1.059**	**2.819**

7. Distribution of domestic and foreign loans: Loans are classified according to the locations of the customers.

	31 December 2018	31 December 2017
Domestic Loans	844	1.118
Foreign Loans	215	1.701
Total	**1.059**	**2.819**

8. Loans granted to investments in associates and subsidiaries:

None (31 Aralık 2017: None).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued)

9. Specific provisions provided against loans:

	31 December 2018	31 December 2017
Loans and other receivables with limited collectability	-	-
Loans and other receivables with doubtful collectability	-	-
Uncollectible loans and other receivables	(3.577)	(3.172)
Total	**(3.577)**	**(3.172)**

10. Information on non-performing loans (Net):

(i) Information on loans and other receivables rescheduled or restructured from non-performing loans:

The Branch has no loans and other receivables rescheduled or restructured from non-performing loans.

(ii) Information on the movement of total non-performing loans:

	III. Group	IV. Group	V. Group
	Loans and Other Receivables with Limited Collectability	Loans and Other Receivables with Doubtful Collectability	Uncollectible Loans and Other Receivables
31 December 2017	**-**	**-**	**8.305**
Additions (+)	-	-	365
Transfers from other categories of non-performing loans (+)	-	-	-
Transfers to other categories of non-performing loans (-)	-	-	-
Collections (-)	-	-	(221)
Write-offs (-)	-	-	-
Corporate and commercial loans	-	-	-
Consumer loans	-	-	-
Credit cards	-	-	-
Others	-	-	-
31 December 2018	**-**	**-**	**8.449**
Specific provisions (-)	-	-	(3.577)
Net Balance on Balance Sheet	**-**	**-**	**4.872**

	III. Group	IV. Group	V. Group
	Loans and Other Receivables with Limited Collectability	Loans and Other Receivables with Doubtful Collectability	Uncollectible Loans and Other Receivables
31 December 2016	**-**	**-**	**6.957**
Additions (+)	-	-	1.351
Transfers from other categories of non-performing loans (+)	-	-	-
Transfers to other categories of non-performing loans (-)	-	-	-
Collections (-)	-	-	(3)
Write-offs (-)	-	-	-
Corporate and commercial loans	-	-	-
Consumer loans	-	-	-
Credit cards	-	-	-
Others	-	-	-
31 December 2017	**-**	**-**	**8.305**
Specific provisions (-)	-	-	(3.172)
Net Balance on Balance Sheet	**-**	**-**	**5.133**

(iii) Information on non-performing loans granted as foreign currency loans:

The Branch has no foreign currency loans and other receivables in non-performing loans.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued)

(iv) Breakdown of non-performing loans according to their gross and net values:

	III. Group	IV. Group	V. Group
	Loans and Other Receivables with Limited Collectability	**Loans and Other Receivables with Doubtful Collectability**	**Uncollectible Loans and Other Receivables**
31 December 2018 (Net)	-	-	**4.872**
Loans to real and legal persons (Gross)	-	-	8.449
Specific provisions (-)	-	-	(3.577)
Loans to real and legal persons (Net)	-	-	4.872
Banks (Gross)	-	-	-
Specific provisions (-)	-	-	-
Banks (Net)	-	-	-
Other loans and receivables (Gross)	-	-	-
Specific provisions (-)	-	-	-
Other loans and receivables (Net)	-	-	-
31 December 2017 (Net)	-	-	**5.133**
Loans to real and legal persons (Gross)	-	-	8.305
Specific provisions (-)	-	-	(3.172)
Loans to real and legal persons (Net)	-	-	5.133
Banks (Gross)	-	-	-
Specific provisions (-)	-	-	-
Banks (Net)	-	-	-
Other loans and receivables (Gross)	-	-	-
Specific provisions (-)	-	-	-
Other loans and receivables (Net)	-	-	-

11. The policy followed for the collection of uncollectible loans and other receivables:

Uncollectible loans and other receivables are aimed to be liquidated through the collection of collaterals and legal procedures. The policy of the Branch regarding the writing-off the non – performing loans is as writing-off the ones that are proved as uncollectible.

f. Information on financial assets measured at amortised cots:

As of 31 December 2018, the Branch has no financial assets measured at amortised cost. As of 31 December 2017, the Branch has no financial assets that are classified as held-to-maturity.

g. Information on investment in associates (Net):

As of 31 December 2018 and 31 December 2017, the Branch has no investments in associates.

h. Information on subsidiaries (Net):

As of 31 December 2018 and 31 December 2017, the Branch has no subsidiaries.

i. Information on joint ventures:

As of 31 December 2018 and 31 December 2017, the Branch has no joint ventures.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued)

j. Information on finance lease receivables (Net):

None (31 December 2017: None).

k. Explanations on hedging derivative instruments:

None (31 December 2017: None).

l. Explanations on property and equipment:

	Immovables	Vehicles	Other Tangible Fixed Assets	Total
31 December 2018				
Cost	11.133	-	1.247	12.380
Accumulated depreciation	(3.489)	-	(385)	(3.874)
Net book value	**7.644**	**-**	**862**	**8.506**
31 December 2018				
Net book value at beginning of the year	**7.818**	**4**	**1.108**	**8.930**
Additions	-	-	70	70
Disposals	-	-	-	-
Transfers	-	(4)	(313)	(317)
Depreciation	(174)	-	(3)	(177)
Depreciation, Disposals	-	-	-	-
Depreciation, Transfers	-	-	-	-
Closing net book value	**7.644**	**-**	**862**	**8.506**
Cost at year end	11.133	-	1.247	12.380
Accumulated depreciation at year end	(3.489)	-	(385)	(3.874)
Closing net book value	**7.644**	**-**	**862**	**8.506**

m. Explanations on intangible assets:

	Software	Total
31 December 2018		
Cost	980	980
Accumulated depreciation	(628)	(628)
Net book value	**352**	**352**
31 December 2018		
Net book value at beginning of the year	**452**	**452**
Additions	202	202
Disposals	-	-
Transfers	(259)	(259)
Depreciation	(43)	(43)
Depreciation, Disposals	-	-
Depreciation, Transfers	-	-
Closing net book value	**352**	**352**
Cost at year end	980	980
Accumulated depreciation at year end	(628)	(628)
Closing net book value	**352**	**352**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

I. EXPLANATIONS AND NOTES RELATED TO ASSETS (Continued)

n. Explanations on investment property:

None (31 December 2017: None).

o. Explanations on investment property:

The Branch has no carry forward tax loss that can be deducted from current tax liability. Assets and liabilities, which are calculated over the temporary differences arising between applied accounting policies and valuation principles and tax legislation are accounted as TL 854 (31 December 2017: TL 662) on net basis to deferred tax assets.

	31 December 2018		**31 December 2017**	
	Tax Base	**Deferred Tax**	**Tax Base**	**Deferred Tax**
Property, equipment and intangibles, net	901	180	715	143
Reserves for employment termination benefit	3.315	663	2.537	508
Court case provision	56	11	56	11
Shares		**854**		**662**
Other				
Total deferred tax asset		-		-
Total deferred tax liability		**854**		**662**

p. Explanations on assets held for resale:

Net carrying value of assets held for sale is not available as of 31 December 2018 (31 December 2017: None).

r. Explanations on other assets:

Other assets amount to TL 2.493 (31 December 2017: TL 955) and do not exceed 10% of the total balance sheet, excluding off-balance sheet commitments.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITI

a. Information on deposits:

1. Information on maturity structure of the deposits:

There are no deposits with seven days notification and accumulative deposits.

(i) 31 December 2018:

	Demand	Up to 1 Month	1 - 3 Months	3 - 6 Months	6 month - 1 year	1 year and over	Total
Saving Deposits	46	-	-	-	-	-	46
Foreign Currency Deposits	117.788	-	-	-	-	-	117.788
Residents in Turkey	47.844	-	-	-	-	-	47.844
Residents Abroad	69.944	-	-	-	-	-	69.944
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposits	17.535	37	-	-	-	-	17.572
Other Institutions Deposits	13	-	-	-	-	-	13
Gold Vault	-	-	-	-	-	-	-
Bank Deposits	413.433	-	-	-	-	-	413.433
The CBRT	-	-	-	-	-	-	-
Domestic Banks	-	-	-	-	-	-	-
Foreign Banks	413.433	-	-	-	-	-	413.433
Special Finance Institutions	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	**548.815**	**37**	**-**	**-**	**-**	**-**	**548.852**

(ii) 31 December 2017:

	Demand	Up to 1 Month	1 - 3 Months	3 - 6 Months	6 month - 1 year	1 year and over	Total
Saving Deposits	67	-	-	-	-	-	67
Foreign Currency Deposits	194.420	-	-	-	-	-	194.420
Residents in Turkey	26.933	-	-	-	-	-	26.933
Residents Abroad	167.487	-	-	-	-	-	167.487
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposits	3.227	21	-	-	-	-	3.248
Other Institutions Deposits	12	-	-	-	-	-	12
Gold Vault	-	-	-	-	-	-	-
Bank Deposits	380.410	120.120	-	9.968	-	-	510.498
The CBRT	-	-	-	-	-	-	-
Domestic Banks	-	-	-	-	-	-	-
Foreign Banks	380.410	120.120	-	9.968	-	-	510.498
Special Finance Institutions	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	**578.136**	**120.141**	**-**	**9.968**	**-**	**-**	**708.245**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued)

2. Information on saving deposits insurance:

(i) Information on saving deposits under the guarantee of the saving deposits insurance fund and amounts exceeding the limit of the deposit insurance fund:

	Under the Guarantee of Deposit Insurance		Exceeding the Limit of Deposit Insurance	
	31 December 2018	31 December 2017	31 December 2018	31 December 2017
Saving Deposits	46	67	-	-
Foreign Currency Saving Deposits	2.635	2.085	34.907	3.304
Other Deposits in the Form of Saving Deposits	-	-	-	-
Foreign Branches' Deposits under Foreign Authorities' Insurance	-	-	-	-
Off-Shore Banking Regions' Deposits under Foreign Authorities'Insurance	-	-	-	-

(ii) Saving deposits which are not under the guarantee of deposit insurance fund:

None (31 December 2017: None).

(iii) Saving deposits which are not under the guarantee of saving deposit insurance fund of real persons:

	31 December 2018	31 December 2017
Foreign Branches' Deposits and other accounts	-	-
Saving Deposits and Other Accounts of Controlling Shareholders and Deposits of their Mother, Father, Spouse, Children in care	-	-
Saving Deposits and Other Accounts of President and Members of Board of Managers, CEO and Vice Presidents and Deposits of their Mother, Father, Spouse, Children in care	153	225
Saving Deposits and Other Accounts in Scope of the Property Holdings Derived from Crime Defined in Article 282 of Turkish Criminal Law No:5237 dated 26.09.2004	-	-
Saving Deposits in Deposit Bank Which Established in Turkey in Order to Engage in Off-shore Banking Activities Solely	-	-

b. Information on trading derivative financial liabilities:

As of 31 December 2018 and 31 December 2017, the Branch has no trading derivative financial liabilities.

c. Information on borrowings:

1. Information on banks and other financial institutions:

As of 31 December 2018, the Branch has no borrowings (31 December 2017: None).

2. Information on maturity structure of borrowings:

As of 31 December 2018, the Branch has no borrowings (31 December 2017: None).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued)

d. Information on other liabilities:

Other liabilities amount to TL 6.359 (31 December 2017: TL 2.517) and do not exceed 10% of the total balance sheet.

e. Information on financial leasing agreements:

As of 31 December 2018 and 31 December 2017, the Branch has no financial lease payables.

f. Information on hedging derivative financial liabilities:

None (31 December 2017: None).

g. Information on provisions:

1. Information on general loan loss provisions:

	31 December 2018	31 December 2017
General Loan Loss Provisions		
Loans and Receivables in Group I	19	26
- Additional Provision for Loans and Receivables with extended maturities	-	-
Loans and Receivables in Group II	-	-
- Additional Provision for Loans and Receivables with extended maturities	-	-
Non-Cash Loans	10	18
Others	3.045	2.115
Total	**3.074**	**2.159**

2. Information on reserve for employee rights:

The provision for employee rights has been calculated by estimating the present value of the future probable obligation of the Branch arising from the retirement of its employees. TAS 19 requires actuarial valuation methods to be developed to estimate the enterprise's obligation for such benefits. Accordingly, the following actuarial assumptions were used in the calculation of the total liability:

	31 December 2018	31 December 2017
Discount rate (%)	4,77	4,69
Rate for the Probability of Retirement (%)	96,65	95,12

The principal actuarial assumption is that the maximum liability will increase in line with inflation. Thus, the discount rate applied represents the expected real rate after adjusting for the effects of future inflation. As the maximum liability is revised semi-annually, the maximum amount of TL 6.017,60 (31 December 2017: TL 5.001,76) effective from January 1, 2019 has been taken into consideration in calculating the reserve for employment termination benefits.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued)

Movements in the reserve for employment termination benefits during the periods are as follows:

	1 January - 31 December 2018	1 January - 31 December 2017
Prior Period Ending Balance	**2.215**	**1.509**
Provisions Recognised During the Period	790	709
Actuarial loss / (Gain)	(133)	53
Paid During the Period (-)	(78)	(56)
Reversed During the Period (-)	-	-
Balance at the End of the Period	**2.794**	**2.215**

In addition as of, the Branch has provided a provision for unused vacation rights amounting to TL 520 (31 December 2017: TL 322)

3. Information on Provisions Related with Foreign Currency Difference of Foreign Indexed Loans:

As of 31 December 2018, the Branch has no provision related to foreign currency difference of foreign indexed loans (31 December 2017: None).

4. Specific provisions for non-cash loans that are non-funded and non-transformed into cash:

As of 31 December 2018, the Branch has specific provision for non-cash loans amounting to TL 225 (31 December 2017: TL 100).

5. Information on other provisions:

(i) Information on provisions for possible risks:

As of 31 December 2018 and 31 December 2017, the Branch has no provisions for possible risks.

(ii) Other provisions if they exceed 10% of total provisions:

From the previous period of 2007 some employees and previous employees of the Branch sued the Branch claiming their employee benefits related to previous periods. As of 31 December 2018, the Branch had prudently provided a provision amounting to TL 56 (31 December 2017: TL 56). As of 31 December 2018, the Branch has specific provision for non-cash loans amounting to TL 225 that are classified in "Other Provisions" item at Balance Sheet (31 December 2017: TL 100).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued)

h. Information on tax payable:

1. Information on current tax payable:

(i) Information on taxes payable:

	31 December 2018	31 December 2017
Corporate Tax Payable	6.904	3.579
Taxation of Marketable Securities	-	-
Property Tax	2	2
Banking Insurance Transaction Tax (BITT)	330	114
Foreign Exchange Transaction Tax	-	-
Value Added Tax Payable	33	11
Other	193	156
Total	**7.462**	**3.862**

(ii) Information on premium payables:

	31 December 2018	31 December 2017
Social Security Premiums – Employee	55	51
Social Security Premiums – Employer	82	75
Bank Social Aid Pension Fund Premiums – Employee	-	-
Bank Social Aid Pension Fund Premiums – Employer	-	-
Pension Fund Membership Fees and Provisions – Employee	-	-
Pension Fund Membership Fees and Provisions – Employer	-	-
Unemployment Insurance – Employee	4	4
Unemployment Insurance – Employer	8	7
Other	-	-
Total	**149**	**137**

2. Information on deferred tax liability:

The Branch has no deferred tax liability (31 December 2017: None).

i. Information on liabilities for property and equipment held for sale and related to discontinued operations:

None (31 December 2017: None).

j. Explanations on subordinated loans:

None (31 December 2017: None).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

II. EXPLANATIONS AND NOTES RELATED TO LIABILITIES (Continued)

k. Information on Shareholders' Equity:

1. Presentation of paid-in capital:

Since the entity has the status of a Branch, paid-in capital is not received in exchange for shares.

2. The amount of paid-in capital, explanation on whether the registered share capital system is used, if this system is used the amount of registered share capital:

Capital system	Paid-in capital	Ceiling
Registered Share Capital	200.000	200.000

3. Information on share capital increases and their sources; other information on increased capital shares in current period:

None (31 December2017: None).

4. Information on share capital increases from capital reserves in current period:

None (31 December 2017: None).

5. Information on capital commitments, the general purpose and the estimated sources needed for these commitments until the end of the fiscal year and the subsequent interim period:

None.

6. Information on income, profitability and liquidity of the Group by taking into consideration prior period indicators and uncertainities and their possible effects on shareholders' equity:

There is no adverse change expected in the profitability and liquidty of the Branch.

7. Summarised information about privileges given to shares representing the capital:

None (31 December 2017: None).

l. Information on marketable securities value increase fund:

	31 December 2018		31 December 2017	
	TL	FC	TL	FC
From Investments in Associates, Subsidiaries and Joint Ventures	-	-	-	-
Valuation Difference	(1.805)	-	(602)	-
Foreign Currency Difference	-	-	-	-
Total	**(1.805)**	-	**(602)**	-

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS

a. Explanations on off-balance sheet commitments:

Type and amount of irrevocable commitments:

1. As of 31 December 2018, all commitments of the Branch are irrevocable. The commitments for cheques is TL 19 (31 December 2017: TL 87).

2. Type and amount of probable losses and obligations arising from off-balance sheet items:

The Branch has no probable losses arising from off-balance sheet items. Obligations arising from the off-balance sheet are disclosed in "Off-balance sheet commitments."

(i) Non-cash loans including guarantees, bank avalized and acceptance loans, collaterals that are accepted as financial commitments and other letters of credit:

	31 December 2018	**31 December 2017**
Bank acceptance loans	-	-
Letters of credit	563	2.935
Other guarantees	19	87
Total	**582**	**3.022**

(ii) Information on sectoral risk concentrations of non-cash loans:

	31 December 2018				**31 December 2017**			
	TL	**(%)**	**FC**	**(%)**	**TL**	**(%)**	**FC**	**(%)**
Agricultural	-	-	-	-	-	-	-	-
Farming and Raising livestock.	-	-	-	-	-	-	-	-
Forestry	-	-	-	-	-	-	-	-
Fishing	-	-	-	-	-	-	-	-
Manufacturing	-	-	-	-	-	-	-	-
Mining	-	-	-	-	-	-	-	-
Production	-	-	-	-	-	-	-	-
Electric, Gas and Water	-	-	-	-	-	-	-	-
Construction	-	-	-	-	-	-	-	-
Services	**65**	**16,88**	**654**	**85,94**	**5.402**	**94,41**	**3.156**	**98,59**
Wholesale and Retail Trade	-	-	563	73,98	3.002	52,46	402	12,56
Hotel, Food and Beverage	-	-	-	-	-	-	-	-
Transportation and Telecommunication	30	7,79	91	11,96	30	0,52	125	3,91
Financial Institutions	-	-	-	-	2.340	40,89	2.629	82,13
Real Estate and Leasing Services	-	-	-	-	-	-	-	-
Self-Employment Services	35	9,09	-	-	30	0,54	-	-
Education Services	-	-	-	-	-	-	-	-
Health and Social Services	-	-	-	-	-	-	-	-
Other	**320**	**83,12**	**107**	**14,06**	**320**	**5,59**	**45**	**1,41**
Total	**385**	**100,00**	**761**	**100,00**	**5.722**	**100,00**	**3.201**	**100,00**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

III. EXPLANATIONS AND NOTES RELATED TO OFF BALANCE SHEET ACCOUNTS (Continued)

(iii) Revocable, irrevocable guarantees and other similar commitments and contingencies:

	31 December 2018	**31 December 2017**
Revocable letters of guarantee	-	-
Irrevocable letters of guarantee	583	551
Letters of guarantee given in advance	-	-
Guarantees given to customs	-	3.000
Other letters of guarantees	-	2.437
Total	**583**	**5.988**

3. (i) Total amount of non-cash loans:

	31 December 2018	**31 December 2017**
Non-cash Loans Given for the Purpose of Obtaining Cash Loans	-	-
With Original Maturity of 1 Year or Less Than 1 Year	-	-
With Original Maturity of More Than 1 Year	-	-
Other Non-cash Loans	1.146	8.923
Total	**1.146**	**8.923**

(ii) Information on non-cash loans classified in Group I and Group II:

31 December 2018	**Group I**		**Group II**	
	TL	**FC**	**TL**	**YP**
Non- Cash Loans				
Letters of Guarantee	385	198	-	-
Bank Acceptances	-	-	-	-
Letters of Credit	-	563	-	-
Endorsements	-	-	-	-
Underwriting Commitments	-	-	-	-
Factoring Guarantees	-	-	-	-
Other Commitments and Contingencies	-	-	-	-
Total	**385**	**761**	-	-

31 December k 2017	**Group I**		**Group II**	
	TL	**FC**	**TL**	**YP**
Non- Cash Loans				
Letters of Guarantee	5.722	266	-	-
Bank Acceptances	-	-	-	-
Letters of Credit	-	2.935	-	-
Endorsements	-	-	-	-
Underwriting Commitments	-	-	-	-
Factoring Guarantees	-	-	-	-
Other Commitments and Contingencies	-	-	-	-
Total	**5.722**	**3.201**	-	-

b. Explanations on derivative financial instruments:

The Branch has no derivative financial instruments as of 31 December 2018 and 31 December 2017.

c. Explanations on contingent liabilities and assets:

As of 31 December 2018, the Branch had prudently provided a provision amounting to TL 56 (31 December 2017: 56 TL). As of 31 December 2018, the Branch has specific provision for non-cash loans amounting to TL 225 that are classified in "Other Provisions" item at Balance Sheet (31 December 2017: TL 100).

d. Explanations on activities carried out on behalf and account of other parties:

The Branch does not carry out trading, custody and fund management services on behalf of others and on their account as of 31 December 2018 and 31 December 2017.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT

a. Information on interest income:

1. Information on interest income on loans:

	31 December 2018		31 December 2017	
	TL	**FC**	**TL**	**FC**
Short-Term Loans	115	163	87	222
Medium and Long-Term Loans	28	-	101	20
Interest on Non-Performing loans	16	-	21	20
Premiums Received from the Resource Utilisation Support Fund	-	-	-	-
Total	**159**	**163**	**209**	**262**

2. Information on interest income on banks:

	31 December 2018		31 December 2017	
	TL	**FC**	**TL**	**FC**
From the CBRT [(1)]	23.274	577	725	522
From Domestic Banks	37.042	589	8.019	323
From Foreign Banks	-	-	-	-
Headquarters and Branches Abroad	-	120	-	10
Total	**60.316**	**1.286**	**8.744**	**855**

(1) Interest received from Money Market Transactions are included.

3. Information on interest income on marketable securities:

	31 December 2018	
	TL	**FC**
Financial Assets at Fair Value Through Profit or Loss	-	-
Financial Assets at Fair Value Through Other Comprehensive Income	76.813	-
Financial Assets measured at Amortised Cost	-	-
Total	**76.813**	**-**

	31 December 2017	
	TL	**FC**
From Trading Financial Assets	-	-
From Financial Assets at Fair Value Through Profit or Loss	-	-
From Available-for-Sale Financial Assets	36.856	-
From Held-to-Maturity Investments	-	-
Total	**36.856**	**-**

4. Information on interest income received from investments in associates and subsidiaries:

The Branch has no interest income received from investments in associates and subsidiaries (31 December 2017: None).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued)

b. Information on interest expense:

1. Information on interest expense on borrowings:

The Branch has no interest expense on borrowings (31 December 2017: None).

2. Information on interest expense given to investments in associates and subsidiaries:

The Branch has no interest expense given to investments in associates and subsidiaries (31 December 2017: None).

3. Maturity structure of the interest expense on deposits:

There are no deposits with seven days notification and accumulative deposits.

		Time Deposit					
1 January - 31 December 2018	**Demand Deposits**	**Up to 1 Month**	**1 – 3 Months**	**3 – 6 Months**	**6 Months - 1 Year**	**1 Year and Over**	**Total**
TL							
Bank Deposits	-	-	-	-	10.887	-	10.887
Saving Deposits	-	-	-	-	-	-	-
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposit	-	1	-	-	-	-	1
Other Deposits	-	-	-	-	-	-	-
Total	**-**	**1**	**-**	**-**	**10.887**	**-**	**10.888**
FC							
Foreign Currency Deposits	-	-	-	-	-	-	-
Bank Deposits	1.098	-	-	-	-	-	-
Gold Vault	-	-	-	-	-	-	-
Total	**1.098**	**-**	**-**	**-**	**-**	**-**	**-**
Grand Total	**1.098**	**1**	**-**	**-**	**10.887**	**-**	**11.986**

		Time Deposit					
1 January - 31 December 2017	**Demand Deposits**	**Up to 1 Month**	**1 – 3 Months**	**3 – 6 Months**	**6 Months - 1 Year**	**1 Year and Over**	**Total**
TL							
Bank Deposits	-	-	-	-	3.124	-	3.124
Saving Deposits	-	-	-	-	-	3	3
Public Sector Deposits	-	-	-	-	-	-	-
Commercial Deposit	-	26	-	-	-	-	26
Other Deposits	-	-	-	-	-	-	-
Total	**-**	**26**	**-**	**-**	**3.124**	**3**	**3.153**
FC							
Foreign Currency Deposits	-	-	-	-	-	1	1
Bank Deposits	-	-	-	-	-	-	-
Gold Vault	-	-	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**	**1**	**1**
Grand Total	**-**	**26**	**-**	**-**	**3.124**	**4**	**3.154**

c. Explanations on dividend income:

None (31 December 2017: None).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued)

d. Explanations on trading loss/income (Net):

	31 December 2018	31 December 2017
Income	**86.032**	**15.187**
Income from Capital Market Transactions	-	-
Derivative Financial Transactions	-	-
Foreign Exchange Loss	86.032	15.187
Loss (-)	**(63.171)**	**(4.712)**
Loss from Capital Market Transactions	-	-
Derivative Financial Transactions	-	-
Foreign Exchange Loss	(63.171)	(4.712)
Net Income / Loss	**22.861**	**10.475**

e. Explanations on other operating income:

There are no extraordinary income accounted under other operating income.

f. Provision expenses related to loans and other receivables of the Branch:

	31 December 2018
Specific Provisions for Loans and Other Receivables	465
Loans and Receivables with Limited Collectibility	-
Loans and Receivables with Doubtful Collectibility	-
Uncollectible Loans and Receivables	465
General Provision Expenses	807
Marketable Securities Impairment Expense	1.776
Financial Assets at Fair Value Through Profit or Loss	263
Financial Assets at Fair Value Through Other Comprehensive Income	1.513
Investments in Associates, Subsidiaries and Held-to-Maturity Securities Value Decrease	-
Investments in Associates	-
Subsidiaries	-
Joint Ventures	-
Other	-
Total	**3.048**

	31 December 2017
Specific Provisions for Loans and Other Receivables	385
III. Group Loans and Receivables	-
IV. Group Loans and Receivables	-
V. Group Loans and Receivables	385
General Provision Expenses	1.281
Provision Expense for Possible Risks	-
Marketable Securities Impairment Expense	606
Financial Assets at Fair Value Through Profit or Loss	-
Available-for-sale Financial Assets	606
Investments in Associates, Subsidiaries and Held-to-Maturity Securities Value Decrease	-
Investments in Associates	-
Subsidiaries	-
Joint Ventures	-
Held–to-maturity Securities	-
Other	-
Total	**2.272**

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued)

g. Information related to other operating expenses:

	31 December 2018
Personnel Expenses [1]	10.524
Reserve for Employee Termination Benefits	790
Bank Social Aid Provision Fund Deficit Provision	-
Impairment Expenses of Fixed Assets	-
Depreciation Expenses of Fixed Assets	493
Impairment Expenses of Intangible Assets	-
Goodwill Impairment Expenses	-
Amortization Expenses of Intangible Assets	303
Impairment Expenses of Equity Participations for Which Equity Method is Applied	-
Impairment Expenses of Assets Held for Resale	-
Depreciation Expenses of Assets Held for Resale	-
Impairment Expenses of Fixed Assets Held for Sale	-
Other Operating Expenses	1.962
Operational Leasing Expenses	144
Maintenance Expenses	121
Advertisement Expenses	10
Other Expenses	1.687
Loss on Sales of Assets	-
Other	4.933
Total	**19.005**

[1] "Information related to other operating expenses" includes, "Personnel Expenses" which does not exist in "Other Operating Expenses" in the Income Statement.

	31 December 2017
Personnel Expenses	8.162
Reserve for Employee Termination Benefits	709
Bank Social Aid Provision Fund Deficit Provision	-
Impairment Expenses of Fixed Assets	-
Depreciation Expenses of Fixed Assets	317
Impairment Expenses of Intangible Assets	-
Goodwill Impairment Expenses	-
Amortization Expenses of Intangible Assets	240
Impairment Expenses of Equity Participations for Which Equity Method is Applied	-
Impairment Expenses of Assets Held for Resale	-
Depreciation Expenses of Assets Held for Resale	-
Impairment Expenses of Fixed Assets Held for Sale	-
Other Operating Expenses	1.617
Operational Leasing Expenses	140
Maintenance Expenses	115
Advertisement Expenses	11
Other Expenses	1.351
Loss on Sales of Assets	-
Other	2.364
Total	**13.409**

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

IV. EXPLANATIONS AND NOTES RELATED TO ON INCOME STATEMENT (Continued)

h. Explanations on profit and loss from continuing operations before tax:

Profit and loss before tax consists of net interest income amounting to TL 126.759 (31 December 2017: TL 43.772) net fee and commission income amounting to TL 40.052 (31 December 2017: TL 26.527) and total other operating expense amounting TL 19.005 (31 December 2017: TL 13.409).

i. Explanations on tax provision:

1. Explanations on calculated current tax income or expense and deferred tax income or expense:

As of 31 December 2017, the Branch has a current tax expense of TL 36.951 (31 December 2017: TL 13.300) and deferred tax expense of TL 539 and deferred tax income of TL 222 (31 December 2017: TL 89 deferred tax expense).

2. Explanations on deferred tax income or expense arising from the temporary differences occurred or closed:

The Branch calculated net deferred tax expense of TL 317 due to the occurrence of temporary differences as of 31 December 2018 (31 December 2017: TL 89 deferred tax expense).

3. Explanations on deferred tax income or expense arising from the temporary differences occurred or closed:

None.

j. Explanation on net profit and losses:

To understand the Branch's current year performance, the characteristics of income or expense items arising from common banking transactions, and the dimension and recurrence of these transactions are not required.

k. Other items do not exceed 10% of the total income statement.

Information related to other operating expenses is included in section IV-Explanations and Notes Related to on Income Statement title "g".

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

V. EXPLANATIONS AND NOTES RELATED TO CHANGES IN SHAREHOLDERS' EQUITY

a. Explanation on profit distributions:

Retained earnings of the Branch can be distributed through the permission of the BRSA.

b. Amounts transferred to legal reserves:

None (31 December 2017: None).

c. Information on capital increase:

None (31 December 2017: None).

d. Information on financial assets at fair value through other comprehensive income:

"Unrealized gains and losses" arising from changes in the fair value of securities classified as financial assets at fair value through other comprehensive income are not recognized in current year income statements; they are recognized in the "Accumulated Revaluation and/or Classification Gains /(Losses) of Financial Assets at Fair Value Through Other Comprehensive Income" account under equity, until the financial assets are sold, disposed of or impaired.

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

VI. EXPLANATIONS AND DISCLOSURES ON STATEMENT OF CASH FLOWS

a. Information on cash and cash equivalents:

1. Components of cash and cash equivalents and the accounting policy applied in their determination:

Cash and effectives together with demand deposits at banks including the CBRT are defined as "Cash"; interbank money market placements and time deposits in banks with original maturities less than three months are defined as "Cash Equivalents. The Branch calculates the effect of change in foreign exchange rate on cash and cash equivalents by the difference between the rates used at the balance sheet date and the exchange rates at the end of the previous month.

2. Effect of a change on the accounting policies:

None (31 December 2017: None).

3. Reconciliation of cash and cash equivalent items with balance sheet and cash flow statements:

(i) Information on cash and cash equivalents at the beginning of the year:

	31 December 2017	31 December 2016
Cash	**483.401**	**205.967**
Cash and Effectives	21.698	12.482
Demand Deposits in Banks	461.703	193.485
Cash Equivalents	**133.012**	**69.328**
Interbank Money Market Placements	-	-
Time Deposits in Banks	133.012	69.328
Total Cash and Cash Equivalents	**616.413**	**275.295**

The total amount from the operations the in prior period gives the total cash and cash equivalents amount at the beginning of the current period.

(ii) Information on cash and cash equivalents at the end of year:

	31 December 2018	31 December 2017
Cash	**723.887**	**483.401**
Cash and Effectives	230.839	21.698
Demand Deposits in Banks	493.048	461.703
Cash Equivalents	**-**	**133.012**
Interbank Money Market Placements	-	-
Time Deposits in Banks	-	133.012
Total Cash and Cash Equivalents	**723.887**	**616.413**

b. Information on cash and cash equivalent assets of the Branch that is not available for free use due to legal restrictions or other reasons:

None (31 December 2017: None).

c. Explanations on the other cash flow items and effect of changes in foreign exchange rates on cash and cash equivalents:

"İncrease in the "Other" item amounting to TL 6.189 (31 December 2017: TL 2.537 decrease) which is classified under "Cash flows from banking operations"consists mainly of items such as fees and commissions, foreign exchange gains/losses and other operating expenses excluding personnel expenses

The effect of changes in the foreign currency rates on the cash and cash equivalents is calculated approximately TL 10.371 as of 31 December 2018 (31 December 2017: TL 9.561).

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

VII. EXPLANATIONS AND NOTES RELATED TO BRANCH'S RISK GROUP

The volume of transactions relating to the Branch's risk group, outstanding loan and deposit transactions and profit and loss of the period:

1. 31 December 2018:

	Investments in associates, subsidiaries and joint ventures		Direct and indirect shareholders of the Branch		Other real and legal persons that have been included in the risk group	
Branch's Risk Group (1), (2)	**Cash**	**Non-Cash**	**Cash**	**Cash**	**Non-Cash**	**Cash**
Loans and Other Receivables						
Balance at the Beginning of the Period	-	-	-	-	169.391	-
Balance at the End of the Period (2)	-	-	-	-	156.894	-
Interest and Commission Income Received	-	-	-	-	**180**	**279**

(1) Defined in the 49th article of subsection 2 of the Banking Act No. 5411.

(2) The information in table above includes banks as well as loans.

2. 31 December 2017:

	Investments in associates, subsidiaries and joint ventures		Direct and indirect shareholders of the Branch		Other real and legal persons that have been included in the risk group	
Branch's Risk Group (1), (2)	**Cash**	**Non-Cash**	**Cash**	**Cash**	**Non-Cash**	**Cash**
Loans and Other Receivables						
Balance at the Beginning of the Period	-	-	-	-	24.878	-
Balance at the End of the Period (2)	-	-	-	-	169.391	-
Interest and Commission Income Received	-	-	-	-	**366**	**240**

(1) Defined in the Subsection 2, article 49 of the Banking Act No. 5411.

(2) The information in table above includes banks as well as loans.

3. Information on deposits of the Branch's risk group:

Branch's risk group (1)	**Investments in Associates, Subsidiaries and Joint Ventures**		**Direct and Indirect Shareholders of the Branch**		**Other Real and Legal Persons That Have Been Included in the Risk Group**	
Deposit	**31 December 2018**	**31 December 2017**	**31 December 2018**	**31 December 2017**	**31 December 2018**	**31 December 2017**
Balance at the Beginning of the Period	-	-	-	-	415.495	108.901
Balance at the End of the Period (2)	-	-	-	-	327.741	415.495
Interest Expense on Deposits (3)	-	-	-	-	**9.259**	**2.977**

(1) Defined in the Subsection 2, article 49 of the Banking Act No. 5411.

(2) (As of 31 December 2018, TL 323.603 and TL 4.138 of the deposit of the amount of TL 327.741 belong to Bank Mellat Iran Central – Central Bank of Iran, respectively.)

(3) (As of 31 December 2017, TL 98.859 of deposits denominated in the deposit-risk group line of the balance sheet of the amount of TL 415.495 belongs to Bank Mellat Iran Central and TL 316.636 to the Central Bank of Iran.)

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

VII. EXPLANATIONS AND NOTES RELATED TO BRANCH'S RISK GROUP (Continued)

4. Information on borrowings from the Branch's risk group:

Branch's risk group [1]	Investments in Associates, Subsidiaries and Joint Ventures		Direct and indirect shareholders of the Branch		Other items that have been included in the risk group[2]	
Borrowings	**31 December 2018**	**31 December 2017**	**31 December 2018**	**31 December 2017**	**31 December 2018**	**31 December 2017**
Beginning of the Period	-	-	-	-	-	-
End of the Period	-	-	-	-	-	-
Interest Expense	-	-	-	-	-	-

(1) Defined in the Subsection 2, article 49 of the Banking Act No. 5411

(2) As of 31 December 2018: None (31 December 2017: None).

5. Information on forward and option agreements and other similar derivative transactions with the Branch's risk group:

The Branch has no forward and option agreements and other similar derivative transactions as of 31 December 2018 and 31 December 2017.

6. Information on benefits provided to key management:

As of 31 December 2018, benefits provided to the Branch's key management amount to TL 3.696 (31 December 2017 TL: 2.309).

VIII. EXPLANATIONS RELATED TO THE DOMESTIC, FOREIGN, OFF-SHORE BRANCHES AND FOREIGN REPRESENTATIVES OF THE BRANCH

	Number	**Number of Employees**			
Domestic Branch	3	51			
			Country of Incorporation		
Foreign Rep. Offices					
				Total Assets	**Statutory Share Capital**
Foreign Branch					
Off-Shore Banking Region Branch					

Unless otherwise stated amounts are expressed in thousands of Turkish Lira ("TL").

EXPLANATIONS AND NOTES RELATED TO UNCONSOLIDATED FINANCIAL STATEMENTS (Continued)

IX. EXPLANATIONS AND NOTES RELATED TO SUBSEQUENT EVENTS

Shareholding structure of the Bank Mellat of Tehran-Iran presented herein below as of 31 December 2018, holding the whole equity of the Branch:

31 December 2018

No	Shareholder	Rate
1	JUSTICE SHARE RECIPIENTS (PROVINCIAL INVESTORS	30,00
2	ISLAMIC REPUBLIC OF IRAN	17,00
3	SABA TAMIN INVESTMENT CO	6,70
4	BANK MELLAT'S STAFF FUTURE SECURITY FUND	6,45
5	SOCIAL SECURITY ORGANISATION OF IRAN	3,81
6	MELLAT FINANCIAL GROUP CO	3,15
7	MOEIN ATIYE KHAHAN COOPERATIVE CO	2,90
8	MEHR AYANDEGAN FINANCIAL GRUP CO	2,03
9	MELLAT INVESTMENT FUND BFM	1,76
10	NATIONAL IRANIAN OIL REFINING AND DISTRIBUTION CO	1,44
11	1.BANK KESHAVARZİ CORRESPONDENT FUNDS	1,27
12	SHIRIN ASAL CO	1,21
13	IRAN NATIONAL INVESTMENT CO.	1,14
14	OTHER SHARES (LOWER THAN 1%)	21,14
	TOTAL	**100**

31 December 2017

No	Shareholder	Rate
1	JUSTICE SHARE RECIPIENTS (PROVINCIAL INVESTORS)	30,00
2	ISLAMIC REPUBLIC OF IRAN	17,00
3	SABA TAMIN INVESTMENT CO.	6,45
4	BANK MELLAT'S STAFF FUTURE SECURITY FUND	4,22
5	SOCIAL SECURITY ORGANISATION OF IRAN	3,81
6	MELLAT FINANCIAL GROUP CO.	3,77
7	MOEIN ATIYE KHAHAN COOPERATIVE CO.	2,90
8	MELLAT INVESTMENT FUND BFM	2,62
9	MODABBERAN EGHTESAD INVESTMENT	1,78
10	MEHR AYANDEGAN FINANCIAL GRUP CO	1,53
11	NATIONAL IRANIAN OIL REFINING AND DISTRIBUTION CO	1,44
12	1.BANK KESHAVARZİ CORRESPONDENT FUNDS	1,41
13	AHDAF MANAGEMENT SERVICES DEVELOPMENT CO.	1,23
14	SHIRIN ASAL CO.	1,21
15	IRAN NATIONAL INVESTMENT CO	1,14
16	OTHER SHARES (LOWER THAN 1%)	19,49
	TOTAL	**100**

SECTION SIX

OTHER EXPLANATIONS AND NOTES

I. OTHER EXPLANATIONS ON THE BRANCH'S OPERATIONS

On 17 October 2018, it was announced by Foreign Assets Control Office ("OFAC"), operating under US Treasury Department, that some Iran-based financial and industrial institutions, including Bank Mellat, the main shareholder of the Branch, were included in the list of secondary sanctions. In addition, after the US announced sanctions, SWIFT, headquartered in Belgium, announced that some Iranian banks on the sanctions list would be suspended for access to the system. Access of the Branch to SWIFT has been cancelled.

Following the transfer of the Branch to the secondary sanctions list; Central Bank of the Republic of Turkey ("CBRT") removed the Branch from the EFT system, and the Branch accounts at the CBRT were closed, except for obligatory provisions. Similarly, the closure of the placements of the Branch in the domestic public banks and in some domestic private banks was requested by the related banks and the funds in question were withdrawn to a large extent and are still being withdrawn. The Branch is not able to enter into Treasury tenders and cannot use the cash it owns, as placements in other banks. Consequently, there is a significant decrease in the interest and commission income of the Branch.

The Branch does not foresee any shortage of capital adequacy and liquidity ratios in the following periods but if necessary, it is considered that resources/capital can be provided from Iran Headquarters to the branches in Turkey, and that there would be no problems in meeting the current obligations of the Branch. In the next period, alternative opportunities will be researched, alternative possibilities will continue to be investigated. Activities have been initiated to opt for different financial banking products, which would bring different types of operational income. The first limit allocations were made for the purpose of growth in loans. In addition, the budget activities of the Branch for the year 2019 are in the process of approval by the Headquarters, and have not been finalized as of the date of this report.

The effects on the financial statement of the abovementioned issue are explained below;

The balance sheet of the Branch amounted to 2.567.335 thousand TRY on 30 September 2018, and it was 991.747 thousand TL on 31 December 2018. When the liabilities of the balance sheet are compared with 30 September 2018, foreign banks deposits have decreased by TL 1.260.159 thousand and other deposits have decreased by TL 180.599 thousand. When the assets of the balance sheet were compared with 30 September 2018, the Central Bank accounts decreased by TL 534.042 thousand, the receivables from banks decreased by TL 864.603 thousand and cash values increased by TL 88.026 thousand.

As the capital adequacy ratio of the Branch is 33,28% as of 30 September 2018, since the bank placements considered as loans have been closed down to a great extent the capital adequacy ratio is calculated as 105,50% as of 31 December 2018.

SECTION SEVEN

EXPLANATIONS ON INDEPENDENT AUDITOR'S REPORT

I. EXPLANATIONS ON INDEPENDENT AUDITOR'S REPORT

The financial statements and disclosures of the Bank as of 31 December 2018 were audited by PwC Bağımsız Denetim ve Serbest Muhasebeci Mali Müşavirlik A.Ş. and the independent auditor's report dated 10 April 2019 is presented preceding the financial statements.

II. EXPLANATIONS AND NOTES PREPARED BY INDEPENDENT AUDITOR

There is no significant matter or disclosure which may be in connection with the Bank's operations but not explained in the above sections.

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